INTESA SANPAOLO BANK
Albania

2022 Annual Report

Bank of INTESA SANPAOLO

GALLERIE D'ITALIA.
FOUR MUSEUMS, ONE NATIONWIDE CULTURAL NETWORK.

Gallerie d'Italia enables Intesa Sanpaolo to share its artistic and architectural heritage with the general public:the art collections of the Bank, ranging from archaeological artefacts to contemporary works of art, are housed in historic buildings located in four cities, in a unique network of museums.

Gallerie d'Italia - Milano hosts, in a building of great architectural importance, a significant selection of two hundred 19th century Lombard masterpieces from art collections owned by Fondazione Cariplo and Intesa Sanpaolo, with a dedicated exhibit on 20th century Italian art.

Gallerie d'Italia - Vicenza showcases examples of 18th century art from the Veneto region, including a collection of paintings by Pietro Longhi and the extraordinary sculpture depicting *The Fall of the Rebel Angels*, with more than seventy figures carved from a single block of Carrara marble. It also holds one of the most important collections of Russian icons in the West.

Gallerie d'Italia - Napoli: the new location opened in spring 2022 through a project by Michele De Lucchi – AMDL Circle transforms the spaces of the historic monumental building of the former Banco di Napoli and expands the well-known collection of Neapolitan and southern Italian art to include masterpieces from the 17th to the 20th century, an exhibit of Attic and Magna Graecia pottery and a rich offering of modern and contemporary art.

Gallerie d'Italia - Torino: the recent architectural project designed by Michele De Lucchi - AMDL Circle transforms the spaces of Palazzo Turinetti into a place where photography and video art document and preserve images, events and reflections to promote issues related to the evolution of sustainability. Gallerie d'Italia – Torino is also home to an invaluable collection of Piedmontese works, withpaintings, sculptures, tapestries and furnishings from the 14th to the 18th centuries, including the nine large canvases produced in the second half of the 17th century for the old Oratory of the Saint Paul Company, which has since been destroyed; it also holds the Intesa Sanpaolo Publifoto Archive, which is a collection of more than seven million images from the news as well as political, cultural and social events from the 1930s to the 1980s.

Cover:

Gallerie d'Italia - Torino
Sala Turinetti
Piazza San Carlo 156, Turin
Inside the new museum complex
Project by AMDL CIRCLE and
Michele De Lucchi
Photo: DSL Studio

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Senior Management Profiles

Board of Directors

Božo Prka
Chairman of the Board of Directors

Paolo Genovese
Deputy Chairman of the
Board of Directors

Mauro Rossi
Member of Board of Directors

Gabriele Gherardi
Member
Head of People Management and
Development Sub-Department,
International Subsidiary Banks
Division, Intesa Sanpaolo, Italy

Alessandro D'Oria
Member
Chief Executive Officer,
Intesa Sanpaolo Bank Albania

Amina Carnabuci
Independent Member

Konrad Kozik
Independent Member

Audit Committee

Konrad Kozik
Independent Member

Božo Prka
Member

Zoltan Mogyorosi
Member
Office of Foreign Banks, CEE, CIS & SM,
Internal Auditing Directory,
Intesa Sanpaolo Italy

Senior Management

Alessandro D' Oria
Chief Executive Officer

Mr. Alessandro D'Oria has been appointed as Chief Executive Officer (CEO) and Member of the Board of Directors of Intesa Sanpaolo Bank Albania in September 2021. During the last months of 2021 he has initiated and led the Transformation Programme at Intesa Sanpaolo Bank Albania which aims to revolutionize internal processes and further drive digitalization in order to increase effectiveness and efficiency and offer impeccable service to the customers of the Bank.

Prior to his appointment as Chief Executive Officer of Intesa Sanpaolo Bank Albania, Mr. D'Oria held the position of Head of Retail and Wealth Management Department of International Subsidiary Banks Division at Intesa Sanpaolo directly reporting to the Chief of Division of ISBD. Based in Milan he was responsible for all retail segments (mass, upper mass, affluent, private and small business) in 11 banks belonging to the Intesa Sanpaolo Group in CEE/SEE region and Egypt. The retail ISBD network is composed by 1,000 branches and 22,000 employees.

Mr. Doria was Head of Retail sub department of ISBD, responsible for mass and small business segments, pricing, cards and payments, customers' satisfaction. The main goal achieved during this experience is the business transformation project named "Adopting Group business model", with the aim to introduce more modern technologies and a new organization in the network, revising roles, skills and commercial methodology (segmentation, portfolios for RMs, campaign management and proactive approach) to increase service level and revenues generation. More than 500 branches involved in the transformation in five main subsidiaries in two years; created 800 new roles with portfolio assignment.

Earlier in his 20-year long and extensive banking career Mr. D' Oria held the position of Head of Regional Director of Milan and province of Intesa Sanpaolo - Banca dei Territori, reporting directly to the Head of Division of Banca dei Territori, where he managed approximately 400 branches and 5,000 employees to serve 1.2 million customers. Other positions held by Mr. D'Oria were Head of Area Puglia of Banca dei Territori Division, Intesa Sanpaolo managing 200 branches coordinated and 2,000 employees, Area/Segment manager in several Italian regions – Banca Intesa Group: Puglia, Calabria, Campania, Friuli Venezia Giulia, Lombardy.

During his career, Mr. D'Oria has held the position of Deputy Chairman of ABI Lombardia (ABI – Italian banking association) and Chairman of ABI Puglia – the Italian banking association - and Member of local Chamber of Commerce, representing banking and insurance sectors.
Mr. D'Oria hold the position as non-executive board member of AlexBank where he also held the positions of Chairman of Risk Committee, Member of Audit Committee and Member of Remuneration Committee.
Mr. D'Oria has been appointed in 2022 President of FIAA (The Foreign Investors Association of Albania).

Mr. D'Oria received his Economics and Corporate Organization Degree from University LUM - Libera Università Mediterranea.

Antonio Braghò

Deputy CEO, Intesa Sanpaolo Bank Albania

Mr. Braghò is currently holding the position of Deputy CEO in charge of top managerial supervising of the regulatory framework of Risk Management, IT, Operations and CFO. In addition, he holds the role and responsibility of ESG Management and the overall supervision of all Bank Projects.

Prior to this position, Mr. Braghò had a long and successful career in Intesa Sanpaolo Group which he joined in early 90's in the Financial Risk Sector.
Mr. Braghò has held important positions in Intesa Sanpaolo Group; Head of Commercial Coordination in Retail and Wealth Management, ISBD, Head of Direct Channels in Intesa Sanpaolo and Head of Contact Center.

During his experience with the Group, Mr. Braghò managed successfully important strategic and innovative projects such as "Designing new service models for retail customers" and "Worksite banking" and "Virtual Branch".
Mr. Braghò graduated from LUISS University - Libera Università Internazionale Degli Studi Sociali with a Degree in Economics. Along with his Banking Career, Mr. Braghò has been a lecturer in LUISS - Libera Università Internazionale degli Studi Sociali for 8 years in the areas of Corporate Finance and Financial Derivative Products.

Julian Çela

Chief Financial Officer

Mr. Çela holds the position of Chief Financial Officer.

Mr. Çela is responsible for coordinating the preparation and monitoring of Strategic Plan and annual budgets, presenting and reporting accurate and timely financial information, asset liability management and treasury as well as accounting and procurement activities. He joined the Bank (former American Bank of Albania) in 2004. His prior work experience was at Procredit Bank in Internal Audit Department.

Mr. Çela has graduated in Finance and Banking at University of Tirana, Economic Faculty. In 2003-2004 he completed an accelerated finance and banking curriculum, a Georgetown University Program, at University of Wisconsin.

Alessandro Grillo
Head of Corporate & SME Division

Mr. Grillo is currently holding the position of Head of Corporate & SME Division in charge for the Domestic Corporate & Institutional Clients, Multinational, SME, Corporate Banking Products and CRM & Network Support's Departments.

Prior to this position Mr. Grillo covered several managerial positions in Intesa Sanpaolo Group both in the International Subsidiary Bank Division and in the Corporate and Investment Banking Division in Romania, in Italy and in the United States developing international skills. During his experience in Intesa Sanpaolo Bank Romania he also covered the position of Board Member in Confindustria Romania.

Mr. Grillo graduated in Trading and Economics at the University of Torino (Italy) with specialization in Business Administration.

Klodiana Piqani (Keçi)
Head of Retail Division

Mrs. Piqani holds the position of Head of Retail, covering the whole network of the Bank including Individual segment and Small Business, as well as other supporting departments for the development of these client segments. Mrs. Piqani joined Intesa Sanpaolo Bank in 2013, initially in the Risk Management Division holding for three years the position of Head of Risk Analysis, and later the current position.

Before joining the Bank, Mrs. Piqani has developed an extensive experience in other Banks such as ProCredit and Societe generale Albania, in the latter holding important managerial positions such as Branch manager of Main Branch of Tirana as well as Head of Department for the Business Promotion.

Mrs. Piqani graduated in Finance & Accounting in the University of Economics of Tirana, and is in the process of finalizing a Master's Degree in European Economic Studies at the University of Tirana in conjunction with Bamberg University. During these years she has followed and has been certified in various courses and trainings in the banking field.

Jola Dima
Head of Risk Management Division

Mrs. Dima holds the position of Head of Risk Management Division, covering the areas of Underwriting, Non-Performing Loans, Credit, Market and Operational Risks.

Following her initial experience in a Group member Bank in Milan, she joined the Bank (former American Bank of Albania) in 2005, initially at CFO Division and later managing Market, Operational and Credit Risk Departments. Ms. Dima has been Deputy Chairman of ISBA committees, including Credit, Financial, Underwriting, Asset Quality and Operational Risk Committees.

Mrs. Dima graduated with Laude in Business Economics at the University of Bologna, Italy in 2001 and later completed two master degrees, in Management and Information Technology (ALMAWEB, Bologna) and Banking Risk Management (UNSBC, Tirana). During these years she has lectured in different private universities and followed professional training courses related to her area of interest.

Albina Mançka
Head of Operations Division

Mrs. Mançka holds the position of Head of Operations Division, covering the areas of Back Office, Real Estate, Cyber and Physical Security.

Mrs. Mançka has a thirty-year successful experience in management, project financing and coordination in financial institution(s) and private companies. Prior to joining the Bank (former American Bank of Albania) in 2007, she worked for seven years for Albanian-American Enterprise Fund, where she managed the biggest and most important investments of the Fund in Real Estate area. Mss. Mançka's experience also includes management of the first private telecommunication company, managing position in different USAID projects, private consulting company as well as lecturing at the State Economic Faculty in the subjects of Strategic Management.

Mrs. Mançka graduated at the University of Tirana, Economic Faculty. In 1995 she was awarded a Fulbright Scholarship and in 1997 she obtained her MBA from Wisconsin University, USA.

In addition to her professional life, Mss. Mancka has always had a special interest and devoted her time and energy to different social projects involving children, women and those in need. She has been a very active Board Member of the Albanian Children Foundation for more than 10 years and has supported a variety of social initiatives in her community.

Alketa Lamçe
Head of IT Division

Mrs. Lamçe holds the position of Head of ICT Division, where her responsibilities include development of IT strategies, IT applications and infrastructure, IT projects and IT services support.

Mrs. Lamçe joined the Bank (former American Bank of Albania) in 1999 and she has worked in different leading positions, such as Head of Information System Department and Deputy Head of IT.

Before joining the Bank, Mrs. Lamçe worked as a Developer at INIMA and IT specialist at Savings Banks of Albania.

Mrs. Lamçe has a degree in Applied Mathematics, Faculty of Natural Sciences, University of Tirana and completed the Master in Business Administration, University of Tirana (Nebraska University Program). Throughout her outstanding career, in addition to successfully leading complex projects, she has attended numerous advanced trainings on ICT, Banking and Leadership Development Program.

Mrs. Lamçe has been appointed local project leader for the ISP group Flexcube Multi Entity Program with the aim to upgrade ISBA core banking system and the Common Integration Platform in line with ISP group convergence strategy.

Ledia Plaku
Head of Legal Department

Mrs. Plaku holds the position of Head of Legal Department.

Mrs. Plaku has a long and remarkable career in the Bank, which starts back on year 2000 at "American Bank of Albania" Sh.A and includes managerial positions such as Head of Legal, Compliance, Human Resources, General Secretariat and Physical Security Department(s). Before that, she used to work for PMU/Immovable Properties Registration System as Head of Legal Department. She has held the position of Assistant Professor at the Faculty of Law, University of Tirana (part-time).

Mrs. Plaku graduated in Law at the University of Tirana and completed the Master of Laws at Queens' University, Canada (full time). She has attended advanced courses on Leadership such as Executive Program, Emerging Leaders at London Business School, U.K and Leadership Development Program organized by Intesa Sanpaolo Group. Ms. Ledia Plaku is member of Tirana Bar Association since May 2003 and throughout the times has served as Member of various Boards/Committees.

Ediola Biçaku
Head of Internal Audit Department

Mrs. Biçaku holds the position of Head of Internal Audit, since April 2017, when she joined Intesa Sanpaolo Bank Albania.

She brings a wide range of experiences from 15+ years of career in audit.

Prior to joining Intesa Sanpaolo Bank Albania, she worked in National Commercial Bank (BKT). She began her professional banking career in 2006 at BKT Internal Audit Group achieving all hierarchical audit rankings within the Group. She has been Responsible Person for the design and maintenance of audit methodologies, as well as Manager of Internal Control Department, where she established the new function and methodologies of continuous audit for the company.

Mrs. Biçaku graduated from the Political Sciences Faculty, Ankara University in Turkey, with a Bachelor's degree in International Relations. During these years, she has attended a series of professional training courses related to her areas of responsibility. She is a passionate audit leader and has prepared and conducted several training modules on a variety of topics related to international standards of internal audit, periodic and continuous audit, COSO framework, control optimization, fraud prevention and detection.

Markeljan Rriska
Head of Compliance and AML Department

Mr. Rriska holds the position of the Head of Compliance and AML Department. Mr. Rriska joined the Bank (former American Bank of Albania) in April, 2004 and has held different positions such as Head of Legal Affairs Unit and Deputy Head of Legal Department. In September 2002, he was admitted at Tirana Bar Association where he still is a member.

Following a successful experience as Attorney at Law, he was appointed Head of Legal Department and Public Relationship at Albanian Shares Register, a position held until 2004. His vast experience in Legal Departments enabled him to accrue a depth of professional expertise and proficiency. Mr. Rriska has taught several Law Courses during his career.

Mr. Rriska graduated in Law at the University of Bucharest, Romania. He has attended the Leadership Development Program and Compliance Function Training organized by Intesa Sanpaolo Group.

Entela Zigori
Head of Human Resources and Organization Department

Mrs. Entela Zigori holds the position of Head of Human Resources and Organization Department covering the areas of Human Resources, Organization and Corporate Social Responsibility.

Mrs. Zigori is a member of Society of Human Resources Management (SHRM) and holds the credential as Senior Certified Professional (SCP-SHRM). Mrs. Zigori started her professional career in the Bank (former Banca Italo Albanese) in June 1993 and worked for about 4 years in the area of payments, guarantees and letter of credits. In the year 1997 she has been assigned as the Team Leader for the migration project of the Core Banking System and after successful implementation of the project in 1999 she was relocated for a short time as Branch Manager.

In 2000 Mrs. Zigori was appointed as Head of Accounting Department and has continued her carrier through the years, by being part of the management team of the Bank holding the position of Head of Administration Division being responsible of Financial Control & Accounting Department, HR Department, IT Department and Treasury Back Office.

Since 2008, following the reorganization of Intesa Sanpaolo Bank Albania sh.a., Mrs. Zigori is covering the area of Human Resources, where the main contribution is dedicated to the development and growth of the Human Resources capital, side by side with a distinct focus to the Corporate Social Responsibility initiatives. Mrs. Zigori graduated from Faculty of Economy - Tirana University as Economist for Industry.

The speech of the Chairman of the Board of Directors

In 2022 Intesa Sanpaolo Bank Albania delivered an outstanding profitability while further expanding its commercial reach and strengthening its balance sheet and capital levels.

This achievement is considered more remarkable because 2022 was, by any standard, an extraordinary year. A year in which we saw the emergence of a new world, geopolitically more complex and economically more volatile and uncertain.

Russia's invasion of Ukraine sparked across Europe the worst energy crisis since the 1970s. Inflation, reinforced by war, disruption of supply chains, and the continued impact of climate change, became the world's biggest macroeconomic concerns.

Central Bank reacted accordingly by implementing restrictive monetary policies, leading to several rate hikes throughout the year.

Given the urgency of today's global energy crisis, it is now even more important that we continue to actively engage our clients on how they intend to prepare their businesses for a new future.

Despite the difficulties and turbulence of 2022, we remained focused on our aim to earn the lasting loyalty of our people, customers, shareholders, and communities.

Banking sector has continued to play a major role in the economic and business support. This is not only because of the financial support and liquidity the banks have provided to businesses and households, but also because of their ability to efficiently channel financial aid to most sectors and segments of society.

Intesa Sanpaolo Bank Albania managed to overperform its 2022 targets in terms of revenues and net profit. Fee-based income, as one of our main strategic pillars improved by more than 9%. We maintained a low risk profile characterized by a conservative risk appetite, strong risk management capabilities, and stable and predictable credit exposures. The cost of risk remained well below our 2022 target. The quality of the loan portfolio improved further, and the problematic loan portfolio indicator fell to its lowest level in the last ten years, at 3.0%. The credit portfolio kept growing, while further strengthening the bank's position in the market.

As I look to the year ahead, the financial sector, like many others, is facing profound change. We have dealt with change successfully in the past, and we will do so again. We do have a clear strategy and a comprehensive plan, and more important, we have the right team to make it happen. I would like to convey my special thanks to all the staff of the Bank that continue to demonstrate dedication and passion to everyday activities, and to all the clients who continue to trust in our bank.

While we want to achieve even more in 2023 and beyond, I am very proud of what we have achieved in 2022.
We will continue to invest in our energetic staff, and take care of our clients, while being at the forefront of technological developments.

Speech of CEO, Intesa Sanpaolo Bank Albania

At the beginning of last year, several macroeconomic indicators provided warning signs of a complex year ahead, mainly due to rising of global inflation. Although it initially seemed that markets would adjust relatively quickly, the war in Ukraine triggered an additional supply shock.
Although the Central Bank reacted by implementing restrictive monetary policies, the main challenge was to ensure that the rise in interest rates keeps inflation under control without adversely affecting growth.

Intesa Sanpaolo Bank Albania has performed above set KPIs in 2022, both in terms of economic results and commercial production. We did so by meeting the main financial objectives announced at the beginning of 2022. The net profit was ALL 1.3 bln, with an increase by 18% y/y compared to 2021 normalized net profit. Outstanding performance was recorded in all categories of revenues where the bank managed to deliver an annual growth rate of 9% on income from commissions and 7% in income from interest income and trading activities.

We are very satisfied with the results that show our commitment to enlarge our market share and profitability, while playing an important role in the business development of our clients.

Intesa Sanpaolo Bank Albania has the strongest capital position in the market (CAR 26%), which coupled with a very low NPL ratio (3%), lays ahead great opportunities for further organic growth, in line also Intesa Sanpaolo Group medium-long term strategies.

Despite the high inflation rate and increase of prices, we managed to keep cost/income ratio below the target level. Our bank further accelerated the transformation process, paving the way to offer even better innovation and customer service to our clients. There is always room for improvements because improving is an ongoing process. We are transforming all the important pillars of our way of doing business; it is not only limited to technologies and digitalization, which remain important factors, but also to improve further the culture of client service.

This year we have touched merely the surface of innovation and improvement we need to do, and to achieve the full potential we have. It's a starting point of a long-term journey.

Based on the experience of Intesa Sanpaolo Group, the bank continued with the corporate social responsibility practice, thus contributing to the country's economic growth.

Key asset of our Bank is our people. We are working extensively in many directions, to them a sense of purpose and provides them with the opportunity to link their personal development goals with our Bank's culture and values. I strongly appreciate and embrace the commitment that our professional staff shows every day, despite the challenging market.

I am confident that with the strong dedication and effort of our colleagues, their engagement and their support, we'll continue to achieve even better results for our bank, for our Group, for our clients, for Albania.
And we aim to do this together in close partnership throughout the journey of excellence.

Macroeconomic Environment and Banking Sector

General Overview

Albanian economy slowed its growth rates again in 2022, following the quick recovery recorded in 2021, due to the events of the year 2020, resulting from the consequences of the Covid-19 pandemic. The recovery was slowed down, compared to the initial expectations due to the consequences that the global economy was suffering from the Russian attack of Ukraine, which led to the disruption of the supply chain for some vital products, such as crops, grain and energy, and increased the inflationary pressure considerably, forcing a significant tightening of the monetary policy.

According to INSTAT, the Gross Domestic Product (GDP) for 2022 increased by 4.84%, following its expansion by 8.91% a year ago and its decrease of 3.30% in 2020. "Construction" and "Real estate activities" were the sectors that led the economic growth in 2022, the only ones recording a double-digit expansion. They are followed by the activity of "Wholesale and retail trade; repair of vehicles and motorcycles; transportation and warehouse; accommodation and food service activities", fueled by foreign inflows that boosted tourism and consumption in the country. "Information and communication" and "Financial and insurance activities" also had a positive impact. The growth of "Manufacturing Industry" slowed, whereas "Agriculture" remained stagnant again. After two years of rendering a high contribution to the economy, due to incentives during the pandemic, "Public administration and defense; compulsory social insurance; education; health and social work activities" marked a decrease. The activity of "Arts, entertainment and recreation, production activities of household goods for own use and other services" was on negative grounds.

For 2023, international institutions and the Albanian government forecast that the economic growth will continue to be slow, reflecting high prices, tighter financial conditions, slowdown in Europe and also the withdrawal of attenuating and supporting policies. International Monetary Fund (IMF) expects that the growth of the Albanian economy will slow down to 2% in 2023. Another factor that has rendered a negative effect over the recent years is high immigration rate, both in terms of consumption, availability and productivity of the workforce.

Consumption accelerated in 2022, driven by population, meanwhile the government rendered a negative effect for the first time in five years.

Consumer Price Index (CPI) accelerated sharply in 2022 because the attack of Russia on Ukraine led to the sharp increase of global prices. This was the second consecutive year recording the increasing trend of inflation, since in 2021 prices were affected by the disruption of the supply chain, as a result of the Covid-19 pandemic.

Average annual inflation for 2022 was 6.70%, compared to 2.00% a year ago, the highest level since 1998. Inflationary pressures increased from March, after the beginning of the attacks of Russia on Ukraine, led by two main groups "Food and non-alcoholic beverages" and "Transport". The highest inflation level was recorded in October, by 8.30%.

For the first time since 2011, the Bank of Albania changed the course of the monetary policy tightening it, in response to the rapid increase of the inflation rate. During 2022, the central monetary institution increased the base rate 5 times, from the historical low level of 0.50% to 2.75% at the end of 2022. In March 2023, the Bank of Albania made another intervention, increasing the base rate to 3%. The bank has warned that it will continue to maintain a tight monetary policy, but the intensity of interventions is expected to be lower, depending on the inflation performance.

Foreign direct investments in Albania increased by 33.07% in 2022, totaling 1.37 billion euro, the highest level ever recorded. "Electricity, gas, and water supply" and "Real estate activities" were the two groups that led the growth of foreign investments, with annual expansion of 186.89% and 52.36%, respectively. Both these activities contributed by about 64% to the growth of foreign investments in 2022. Investments in energy sector are dedicated to the recovery of extractive industry activity, as well as to the new flows in alternative energies. The increase in real estate was due to the increase in purchases by foreigners, mainly in the touristic areas of the country.

As of December 1, 2022, the international rating agency "Moddy's" reconfirmed the Albanian economy rating at "B1 - with a sustainable perspective". Such perspective is also supported by the expectations of the policy continuity, especially in the context of reforms within the EU accession process and moderate external imbalances. The agency forecasts a slowdown of the GDP growth to 1.8% in 2023. Furthermore, in the long-term perspective, the country's ability to support the process of income convergence per inhabitant with EU countries will depend on the success of government with the implementation of structural reforms and increased competitiveness in relation to other countries in the region.

As of December 12, 2022, the international rating agency Standard & Poor's (S&P) confirmed "B+" rating for Albania, as well as a "sustainable" perspective. The agency forecasts that Albania's GDP growth is likely to slow down to 2.20% in 2023, which will be later recovered to an average of 3.4% in 2024-2025, demonstrating its resilience to opposite global currents and poor demand from Europe. The estimations are supported by Albania's moderate economic growth outlook and its monetary flexibility through the free exchange rate regime and

relatively high foreign exchange reserves. The agency maintained the same rating also in March 2023.

Being a former user of International Monetary Fund (IMF) financing, Albania participates in the so-called "Post-Program Monitoring", which requires biannual reviews of macroeconomic developments, risks and policies. In its last review, in December 2022, IMF stated the economy is expected to slow down to 2.5 in 2023. The Fund highlighted the need for fiscal consolidation, better control of public-private partnership projects, continuation of reforms and reduced informality that would affect the reduction of immigration. Again, IMF declared that it objected the fiscal amnesty project, initiated by the government, and emphasized the importance of an accelerated exit from the FATF grey list, the European Commission's anti-money laundering mechanism, which Albania re-adhered in 2020. The IMF noted that the economy is sensitive to the change in real estate price growth, given the increasing contribution of the sector to the economy and increasing exposure of banks. Accordingly, the IMF highlighted the importance of enhanced diligence towards the financial stability of the policymakers, given the rapid growth of credit and real estate activities.

The unemployment rate, for the population aged 15 and over, reached 10.80% at the end of 2022, a decrease of 0.60 point percentage, reflecting both the high demand for work force, especially in the service sector, driven by tourism, as well and lack of available manpower due to emigration.

After a gradual recovery in 2021, tourism improved significantly in 2022, surpassing pre-pandemic levels. The number of foreigners entering our country in 2022 was 7.54 million citizens, reflecting an increase of 32.28% compared to 2021, and 18.71% more than in 2019, marking a historical record. Tourists from Kosovo continued to have a higher weight in the total number foreign citizens visiting the country.

Macroeconomic environment in 2022

Following a strong recovery in 2021, when the country quickly recovered from the crisis caused by the pandemic, growth was more moderate in 2022, impacted by the global consequences of Russia's attack on Ukraine, which led to a rapid growth of the prices of the main products. The first quarter witnessed a significant economic growth, but it obviously slowed during the second quarter, as the effects of the crisis caused by the war began to be present. In the third quarter, growth accelerated somehow, which was affected by tourism, following same paces in the fourth quarter.

During the first quarter of 2022, gross domestic product growth was 6.95%, following its expansion by 5.33% during the same period in 2021. The most positive performance, with a double-digit growth, was recorded by "Industry", "Construction", "Financial and insurance activities", "Wholesale and retail trade; transportation and warehouse; accommodation and food service", "Real estate activities". A downward trend was demonstrated by "Public administration and defense; compulsory social insurance; education; health and social work activities" and "Arts, entertainment and recreation". "Agriculture" recorded a slight decline, as a result of the effects of unstable weather conditions.

In the second quarter, the economy slowed down to 3.10%, after its strong expansion of 18.54% during the same period in 2021, as the country was rapidly recovering from the pandemic. The rapid increase in prices, due to the war, began to affect the economic activity, especially residential construction and public works, which temporarily stopped the activity waiting for the decrease of construction materials costs. "Construction" activity declined by 3.53% on an annual basis, following its increase by 25.29% during the first quarter of 2022. Other sectors continued to grow at more moderate rates than in the first quarter of the year. "Public administration and defense; compulsory social insurance; education; health and social work activities" and "Arts, entertainment and recreation" continued in negative territory, while agriculture remained in stagnation.

In the third quarter, the economy accelerated, growing by 4.93%, impacted by the positive performance of tourism and the revival of construction sector. "Wholesale and retail trade; transportation and warehouse; accommodation and food service", recorded an expansion of 9.92%. "Financial and insurance activities" improved by 6.16%. "Construction" recovered to its positive pace, marking an increase of 10.78%. "Real estate activity" continued with the rapid expansion of 12.05%. "Industry" slowed down to 4.24% affected by the significant increase in energy and raw material costs, forcing some heavy industry factories to temporarily stop production. "Agriculture" continued its poor performance, increasing by only 0.29%.

In the fourth quarter, the economy grew by 4.73%. Improvement was led by "Construction" sector (by an annual based expansion of 14.44%) and "Information and communication" (13.79%). "Financial and insurance activities" recorded the best quarter, with an increase of 12.79%, meanwhile "Real estate activities" slowed down to 9.35%, after its double-digit expansion during the previous 3 quarters. The activity of "Industry" accelerated to 6.18%, as a result of the decrease in the cost of raw materials and energy. "Agriculture" continued its poor activity, decreasing by 0.11%.

During the entire year 2022, of all the 10 key sectors of the economy, two of them recorded a double-digit growth, compared to four sectors last year.
"Real estate activities" was the best performing sector in 2022, with a growth of 11.21%, marking the highest rate of expansion for at least the last 5 years.

"Construction" was the second sector with the highest annual growth, 10.71%, impacted by public investments, enhancement of the residential construction pace, especially in the capital, and development of tourism, which has driven investments in hotels and tourist villages. "Wholesale and retail trade; transportation and warehouse; accommodation and food service activities" increased by 9.89%, impacted by the recovery of consumption and increased tourism activity.

The activity of "Information and communication" ended the year 2022 with an increase of 9.56%. Telecommunications sector recorded significant developments in terms of ownership and structure, as the market was again concentrated in two companies.

"Financial and insurance activities" ended the year with an increase of 9.10%. The increasing interest cycle slightly slowed down the performance of the banking sector during the second half of the year.

"Extractive industry and energy" recorded a growth of 5.44% in 2022, slowing significantly compared to the previous year, following the negative impact of the cost crisis. The processing industry in this sector grew by 7.09%.

"Scientific, professional and technical activities; administrative and support services activities" increased by 3.81%.

"Agriculture" for the fourth consecutive recorded minimal growth, by only 0.06%, influenced by the increase in the costs of raw materials and the decrease in livestock activity.

"Public administration and defense; compulsory social insurance; education; health and social work activities" reported a decrease of 0.16% for the first time over the last five years, as a result of the decrease in fiscal incentives that had been high in the two previous years due to the pandemic.

"Arts, entertainment and recreation, household goods production activities for own use and other services" fell by 1.62% in 2022, following its strong expansion last year, being the activity that recorded the most negative performance.

In 2022, the final consumption of the population increased by 7.17%, with higher pace, at least since 2018, impacted by tourism, increase in immigrant remittances and the acceleration of salary increase in the private sector. On the contrary, Final Consumption of Public Administration marked a decrease by 4.85%, being in the negative territory, for the first time

The Consumer Price Index fluctuated between 3.70% and 8.30% throughout the year 2022. Inflation increased significantly since March, when the consequences of Russia's attacks on Ukraine began to be felt, especially in the energy and agricultural products market. The inflation rate reached its lowest value in January at 3.70%, increasing rapidly to 7.50% in August and peaking in October at 8.30%, the highest level since 1998. In the last two months of the year inflation started a gradual easing, going down in December to 7.40%.

The other group that impacted the level of inflation was "Transport", as a result of the significant increase in fuel prices. The subgroup "Services to personal means of transport" increased on average by 10.60% in 2022. It was followed by "Communication" as another group increasing by 9.60%.

The Bank of Albania forecasts that inflation is expected to decline gradually during the year 2023 and reach the targeted level of 3% during mid-2024. These projections are conditioned by: the materialization of international market expectations for a progressive reduction in inflation and a temporary deceleration of the growth pace of our trading partners; the materialization of expectations for maintaining a sustainable and still stimulating financial environment in the country; the materialization of budget projections for slowing down the pace of fiscal consolidation during the year; as well as from, a further move towards the normalization of the monetary policy stance.

In 2022, the Bank of Albania put an end to the attenuating monetary policy, it had followed since September 2011, to respond to the environment with a rapid increase in inflationary pressures. For the first time in more than a decade, the Bank of Albania, at the end of March 2022, changed the direction of monetary policy, increasing the base rate by 0.5 percentage points, to 1%.

The change of the monetary policy course was faster than it was previously anticipated by the central monetary institution due to unforeseen developments stemming from Russia's attack on Ukraine. Supply shocks and domestic demand resilience were reflected in higher inflation rates, prompting the Bank to intervene four more times during 2022. In July, the base rate increased by 0.25 percentage points, reaching 1.25%. In August, the intervention intensity increased by 0.5 percentage points, resulting 1.75%. Another 0.50 percentage point intervention took place in October, increasing the base rate to 2.25%. The last intervention for 2022 was in November, with +0.50 percentage points, ending the year at the level of 2.75%. In March 2023, the central monetary institution increased the rate again by 0.25 percentage points, to 3.00%. The Bank of Albania stated that although inflation has been declining, internal pressures on prices, and particularly those originating from the labor market, are estimated to be strong and growing. The bank warned that most of the necessary monetary normalization has already taken place and the future stance of monetary policy will be guided by

new data, especially the balance of inflationary pressures, sustainability of economic growth and other indicators of economic and financial health of the country.

Exports recorded strong growth in 2022, for the second consecutive year, but this trend was mostly affected by rising prices. International sales increased by 32% on an annual basis in 2022, following its expansion by 35.61% in 2021. All groups recorded double-digit expansion.

Exports of "Textiles and footwear" increased by 20.55% compared to 2021, significantly accelerating growth rate compared to 2021, when post-pandemic recovery was slower than other groups due to prolonged quarantines in the countries of Europe, which are the main trading partners, affecting the demand curbing. In 2022, orders from partners increased, but the sector faced the inability to meet the demand due to work force shortages. "Textiles and shoes" constitute the largest group of exports from Albania, by 27.77% of the total, marking a significant decrease compared to 30.49%, its weight in 2021, due to slower growth of other exporting groups.

The commodity group "Minerals, Fuel, Energy" expanded by 55.05% compared to the previous year. The increase in fuel prices on international stock exchanges and the demand recovery were the main reasons favoring this trend. 'Minerals, fuels and energy' became the second largest group in the country, by 22.08% of the total from 18.80% in 2021.

"Construction materials and metals" shifted to the third largest group in the country, with 21.64% of the total from 21.71% in 2021. This group increased by 31.58% compared to 2021. The growth was impacted by the strong performance during the first part of the year, due to the increase in prices in the international markets. In the second quarter, companies were under the pressure of high energy costs and decreasing prices in foreign markets.

Exports of "Food, Beverages, Tobacco" increased by 16.29% on annual basis. This group was favored by increased demand in European markets, higher prices and increased investment in warehousing and collection over the past few years. It is the fourth largest in the country, by 10.62% of the total.

Exports of "Machinery, equipment and spare parts" increased by 37.39% in 2022. The sector has witnessed growth over the recent years, triggered by increased investments in the vehicle electrical systems assembly sector, which works mainly with the active processing regime. Its weight in total exports reached 8.15% in 2022, compared to 7.83% at the end of 2021, indicating a stable growth of the sector.

Italy remains the country's key export partner, by 42.24% of the total, same as in the previous year. Exports to Italy increased by 35.10% in 2022, as a result of the good performance of "Textiles and shoes" and "Construction materials and metals", which account for 49.99% and 15.79% respectively of the total sales to the neighbor country.

Kosovo continued to be the country's second trading partner, by 7.76% of the total, from 10.22% a year ago. Exports to the neighbor country were only 0.20% higher compared to the previous year. The poor performance was triggered by the decrease of the "Minerals, fuels and energy" group, which shrank by 19.66% on annual basis. This group was the second largest, by 17.20% of the total. Even the largest group "Construction materials and Metals", by 43.59% of the total, recorded a slight decrease of 4.94%.

Germany become the country's third trading partner (from fifth in the previous year), by 6.57% of the total. Exports to Germany increased significantly by 58.56% in 2022. The positive performance was driven by "Minerals, fuels, electricity", which tripled, becoming the largest export group to Germany, by 53.34% of the total. "Textiles and shoes" become the second largest group, by 26.43% of the total, following a lower increase of 11.89%.

Greece is the fourth partner, by 5.20% of the total. Exports to this country increased by 18.35% on annual basis, influenced by the good performance of the group "Construction materials and metals" (+115.39%).

Spain shifted to be the country's fifth partner, by 4.80% of the total, from third a year ago, following a slight decrease of 0.92% on annual basis in 2022. "Minerals, fuel and energy" (petroleum) is the main group exported to this country (comprising 88.42% of the total) and the exports performance to Spain is directly related to this product. This group decreased by 1.79% in 2022. A positive trend was noted by the "Construction materials and metals" group, which doubled its sales.

Imports increased by 18.69%, with the highest impact given by the groups "Minerals, fuel, electricity", as a result of the increase in fuel prices, "Machinery, equipment and spare parts" and "Food, tobacco".
Italy is the main trading partner also in terms of imports, by 21.56% of the total, followed by Turkey by 12.06%. The third partner is China (8.15%), meanwhile Greece remains in fourth position (7.84%).

Due to the growth of imports at higher rates than exports, the trade balance deteriorated by 14.04% in 2022. The coverage ratio of imports to exports was 51.22%, improving from 46.05%, a year ago.
The average exchange rate of Euro against the local currency in 2022 was ALL 118.92 for one euro, depreciating by 2.87% compared to the previous year. The decline of Euro reflected the high supply of foreign currency in the market and the slight improvement of the

current account deficit, mainly from the increase in the remittances of immigrants and income from tourists. This is the lowest historical annual average of Euro since 2002, when it began to be physically traded.

Euro started the year 2022 at the level of ALL 120.87. In March, the common currency went up for a few days, reaching the level of 127.08, following the panic driven by Russia's attacks on Ukraine's supply chain, prompting high demand for the currency from importers. The exchange rate stabilized rapidly in the following months pursuing also a downward trend, declining to ALL 116.62 in August, affected by the seasonal effects of immigrants' remittances and tourism. In December, Euro was again subject of seasonal effects, dropping to ALL 112.83, which is the lowest historical exchange rate of the common currency against the local one. The Bank of Albania estimates that, as a whole, the performance of the lek against Euro depends on the movements of demand and supply, within normal trading conditions.

On the contrary, the US dollar demonstrated an overpricing trend, increasing by 9.32%, to 113.15 ALL, recording the highest rate since 2017, as a result of the US Dollar strengthening in the international stock markets and sharper decline of Euro in the domestic market.
The Bank of Albania has continuously intervened in the foreign exchange market aiming at increasing its foreign exchange reserves, according to a calendar determined at the beginning of the year. For the year 2022, the Bank purchased a total of 142.24 million euros in the domestic foreign exchange market, compared to about EUR 117 million for the entire previous year. For 2023, in view of its targeted objective for increasing the foreign exchange reserve, the Bank of Albania intends to purchase EUR 160-220 million through auctions.

Immigrant remittances for 2022 totaled EUR 834 million, recording an increase of 9.59% compared to the same period last year. This is the highest level of remittances that immigrants have brought to the country since 2008 and it mainly reflects the revival of the immigration cycle in the country, since 2016.
Unemployment rate dropped to 10.80% at the end of 2022, from 11.40% in the previous year, according to data from the Labor Force Survey, reaching the lowest historical level, reflecting the high demand, mainly in the services sector and the reduction of the available work force due to the acceleration of immigration pace.

The Bank of Albania deems that the labor market has improved rapidly since the beginning of 2021, reflecting an increase in employment, a decrease of the unemployment rate and an increase of salaries in the private sector. Such improvements provide support to the budget of Albanian families, but they also establish conditions for more sustainable inflationary pressures in the future.

The average monthly salary for an employed individual at the end of 2022 amounted ALL 66,014. In comparison to the end of 2021, the change in the average gross monthly salary per employee marked an expansion of 10.83%, and almost all sectors reported double-digit growth. Indexed with average annual inflation, the real salary increase resulted 4.10%. High rates of immigration are creating problems for retaining skilled and qualified work force, imposing pressure on businesses to increase salaries.

The average monthly salary for an employed individual in the state sector at the end of 2022 amounted ALL 74,450, demonstrating an increase of 5.56% compared to the end of 2021, and slower rates compared to the private sector. During 2022, the government increased the minimum salary twice from ALL 30,000 at the end of 2021, to ALL 34,000 in December 2022. And as of April 1, 2023, the minimum wage increased to ALL 40,000.
Total budget revenues increased by 12.10% in 2022, triggered by the increase in prices and the effect of fiscalization system implementation in view of]the fight against informality.

Revenues from "Income Tax" and "Value Added Tax" rendered the most positive performance, increasing by 33.90% and 18.50% respectively on annual basis for the 12-month period. VAT remains the item that holds the largest share of budget revenues, comprising 33.41% of the total.

Revenues from the local government increased by 3.60%, impacted by property tax and infrastructure tax for new constructions. Income from special funds expanded by 10.80%, as a result of the improvement of employment indicators and formalization of salaries in private entities.
The public expenditures increase slowed in 2022, following a period of two years during which the government pursued an expansionary fiscal policy, in an effort to stimulate and trigger the economy suffering from the pandemic and financing reconstruction after the earthquake of November 26, 2019. Total expenditure increased by 9.20%. Capital investment grew by 13.80%, slowing from the 50% expansion a year ago. The budget deficit was reduced by 8.00% compared to a year ago.
Public debt decreased to 66.97% of GDP, compared to 73.16% of GDP in 2021, recording a decrease of 6.19 percentage points.

In 2023, the government plans to enter the capital markets for the sixth time to issue a Eurobond, of EUR 500 million, or more, in the event of favorable conditions. In November 2021, Albania had issued the fifth Eurobond totaling EUR 650 million and the first with the longest maturity period, of 10 years. The Ministry of Finance and Economy has declared that the new Eurobond will be used to refinance part of the previous Eurobond, maturing in 2025, as well as budget support for the deficit and large infrastructure projects and other key sectors.

Banking sector

The banking system demonstrated an increasing activity in 2022, although at slower rates compared to a year ago. Non-performing loans continued to decrease further, whereas loans and deposits increased. However, profitability and its indicators were declining.

According to the data of the Bank of Albania, the total assets of the system at the end of 2022 totaled ALL 1.88 trillion, expanding by 5.84% compared to the end of 2021, from the 12.16% which was the increase the previous year. The system invested the available money in lending to the economy and especially in government securities transactions. The Bank of Albania observed that the recent changes of the base rate, current context marked by high inflation, as well as the market's expectations for the further reaction of the monetary policy, seem to have oriented the banks in the search for high yields.

The Bank of Albania deems that the banking system operates under satisfactory conditions of liquidity and financial health, which has enabled it to meet the needs for funding of the private and public sector. Financing conditions and increased demand have led to a steady increase in lending to the private sector, which financed the consumption and investments of households and businesses. In the future, the sound health of the banking sector and its willingness to lend shall establish the conditions for the continued support of the economy with funds.

The credit stock reached ALL 713.55 billion, an expansion of 9.43% on annual basis, driven by the credit expansion for the construction sector, which impacted 88% of the credit stock increase for private non-financial corporations. In other sectors, "Extractive industry", "Manufacturing industry", "Electricity, gas supply, steam and air conditioning", "Information and communication", the credit stock declined. The credit stock in Albanian Lek at the end of 2022 comprised 52.00% of the total, same as last year. The Bank of Albania estimates that banks have begun to tighten lending standards prudently, in addition to monitoring the credit cost increase.

In 2022, savings growth rates slowed down, due to by the poor performance of deposits in Albanian Lek. Total deposits totaled 1.28 trillion ALL at the end of 2022, reflecting an annual increase of 3.46%, from 9.32% last year. The growth was influenced by foreign exchange savings. This led to a slight improvement of the share of foreign currency deposits by 2 points percentage to 57%. The increasing interest rate cycle led to a shift of lek savings to government securities, which offered higher rates of return as well as to 2-year deposit maturities.
The profit of the system for 2022, reported according to local standards, resulted ALL 21.68 billion, at the same level as the previous year, which is also the highest level ever reported. The increase of income from the activity and the decrease of expenses for the provisioning of non-performing loans were the main factors that affected the expansion of profits.

Despite high profits, profitability indicators deteriorated due to lower growth in relation to the size of the balance sheet and capital. Return on Assets (RoA) was averagely 0.94% in 2022, compared to 1.33% in 2021. Return on Equity (RoE) decreased to 8.48% in 2022, compared to 12.17% last year.

Non-performing loans followed the downward trend and ended the year at the level of 5.00%, reflecting a reduction of 0.65 points percentage compared to the previous year, reaching the lowest level since 2008, triggered also by the rapid growth of credit stock for the economy. However, the increase in credit interest rates and the expected slowdown of the economy are expected to negatively affect both lending rates and the credit portfolio quality. In January 2023, non-performing loans increased slightly to 5.1%, mainly due to the reduction of the total credit portfolio of the banking sector.

Following the end of the consolidation process of the banking system in 2019, which continued for about three years and reduced the number of banks from 17 to 12, another concentration was marked in 2021. In December 2021, Alpha Bank, one of Greece's four largest banks, agreed to sell its Albanian entity to the Hungarian OTP Bank, as a result of which the number of banks was reduced to 11. No new transactions were recorded during 2022 , while the process of absorption of Alpha Bank by OTP was finalized.

The system continued to be well diversified according to the origin of the capital. Currently, 26.20% of the system's assets originate from Turkey, 15.00% from Austria, 10.60% from Italy. The weight of banks with Albanian capital is increasing, reaching 33.10% at the end of 2022, whereas the share of Hungarian capital reached 9.50% of the total, after the absorption of Alpha Bank. German capital occupies 2.2%; Bulgarian capital 2.70% and 0.70% are from other countries.
At the end of 2021, the banking system counted 396 branches, 21 less than the same period last year. Despite the reduction of branches, the number of employees increased, totaling 6,737, or 118 more employees compared to the end of 2021.

Key macroeconomic indicators 2017-2022	2017	2018	2019	2020	2021	2022
Annual inflation (%) as of end of y/y	1.80	1.80	1.10	1.10	3.70	7.4
Unemploymnet rate (%)	13.60	12.30	11.20	11.80	11.40	10.8
Real GDP growth rate (%)	3.80	4.02	2.09	(3.30)	8.91*	4.84**
GDP at current prices (ALL billion)	1,551.30	1,636.70	1,691.90	1,644.10	1,889.80	2058.2*
GDP per capital (USD)	4,531.00	5,287.70	5,380.70	5,317.00	6,451.40	6515.6*
Public debt (% of GDP)	70.1	67.7	65.8	74.5	73.16	66.97
Budget deficit (% of GDP)	-2.00	(1.60)	(1.90)	(6.70)	(3.20)	-2.6
Average exchange rate (ALL per 1 Euro)	134.10	127.6	123.00	123.80	122.44	118.92
Average exchange rate (ALL per 1 USD)	119.00	108.01	109.84	108.50	103.50	113.15

Data on Banking System	2018	2019	2020	2021	2022
Total assets (million lek)	1,452,926.00	1,475,551	1,581,466	1,773,793	1,877,308
Total assets to GDP (%)	88.18	87.37	100.58	100.25	91.21
Total credit to GDP (%)	32.33	33.78	39	37.65	34.67
Total deposits to GDP	60.00	60.80	70.75	68.73	62.07
Economy lending to total assets (%)	36.66	38.67	38.49	37.55	38.01
Total credit (in million Lek)	532,628	570,792	608,780	666,178	713,552
ALL Credit weight	0.51	0.52	0.52	0.52	0.52
FCY Credit weight	0.49	0.48	0.48	0.48	0.48
Total deposts in million Lek	988,842.00	1,027,253	1,112,433.00	1,216,059.00	1,277,510.00
Weight of ALL deposits	0.46	0.45	0.46	0.45	0.43
Weight of FCY deposits	0.54	0.55	0.54	0.55	0.57
Net result (in billion Lek)	18.39	19.89	16.87	21.63	21.68
Return on Assets (%)	1.32	1.56	1.02	1.33	0.94
Return on Equity (%)	12.14	14.28	8.65	12.17	8.48
Capital Adequacy Ratio (%)	18.24	18.28	18.32	18.08	18.58
NPL ratio (% versus total)	11.08	8.37	8.11	5.65	5.00
Money outside deposit corporate (billion lek)	275.28	291.40	344.56	366.25	387.65
Money supply - mony liability (billion lek)	1,263.93	1,318.37	1,456.99	1,582.31	1,665.23
MOB/Money supply (%)	21.78	22.10	23.65	23.15	23.28

(Data source: quarterly GDP publications, INSTAT; Work Force and Labor Market Survey, QIV 2022, INSTAT; Data on the banking system, Bank of Albania and Albanian Association of Banks; data on the balance of payments, Bank of Albania; Fiscal Statistics 2022, Ministry of Finance; Fiscal Macroeconomic Framework 2023-2025; quarterly report on public debt; Bank of Albania monetary policy report, Q III 2022.

Financials at a Glance

FINANCIALS AT A GLANCE

	2019	2020	2021	2022
Income Statement **Amounts in ALL/1,000**				
Net Interest Income	3.538.978	3.290.133	3.486.406	3.713.527
Net Fees and Commissions	852.700	771.942	872.991	954.867
Pre-tax Income	2.420.288	2.015.748	1.163.932	2.075.470
Taxes	381.606	290.478	204.552	311.503
Profit	1.701.875	1.294.535	519.679	1.289.763
Balance Sheet				
Total Assets	183.006.669	194.304.286	201.750.857	198.750.538
Loans	46.878.405	52.898.601	54.981.874	56.231.782
Securities	67.228.165	72.073.721	74.422.412	73.221.609
Due from Banks	29.146.303	26.721.728	33.853.071	34.425.463
Deposits	150.941.624	159.507.095	169.461.419	167.115.012
Capital	21.631.243	23.051.769	21.750.587	21.631.796
Total Liabilities	161.375.427	171.252.517	180.000.270	177.118.742
Indicators				
Profit / Assets	0,93%	0,67%	0,26%	0,65%
Profit / Total Capital	7,87%	5,62%	2,39%	5,96%
Income from interest / Assets	2,38%	2,08%	2,09%	2,24%
Interest expense / Liability	0,50%	0,44%	0,40%	0,42%
Capital Adequacy	22,69%	21,54%	24,92%	26,46%
Net Assets / Employee	243.402	260.658	273.142	253.027
Number of employees	663	657	659	700

INTESA SANPAOLO BANK / KEY FIGURES

Amounts in ALL/1,000,000

	2021	2022	Change	Change in %
Net Interest Margin	3.486	3.714	227	6,5%
Non Interest Income	1.463	1.586	122	8,3%
Total Revenue	**4.950**	**5.299**	**349**	**7,1%**
Operating Expenses	(2.709)	(2.968)	259	9,6%
Loan Provisions	(484)	(231)	(253)	-52,3%
Net Income	520	1.290	770	148,2%
Return on Equity	2.2%	6,0%	3,8%	
Cost/Income Ratio	54.7%	56,0%	1,3%	
Total Assets	201.751	198.751	(3.000)	-1,5%
Total Loans (gross)	54.982	56.232	1.250	2,3%
Customer Deposits	169.461	167.115	(2.346)	-1,4%
Total Shareholders' Equity	21.751	21.632	(119)	-0,5%

Management Discussion

Management Discussion

Intesa Sanpaolo Bank Albania 2022 Main Challenges and Achievements.

Imposed by the geopolitical situation and consequently a diverse macroeconomic environment, the Bank found itself in a situation full of challenges and uncertainties. We successfully managed to act in agility and redefine quickly our priorities, and at the same time look forward to our main strategic pillars.

The bank grew in terms of number of customers and profitable transactions in all business units, and increased its fee-based income, supported by the increase of core customers.

The Bank made significant progress during 2022 in the following aspects:

Solid capital position: the capital adequacy ratio in 2022 stood at the level of 26.46%, keeping ISP Albania in a comfortable position for taking advantage of organic growth opportunities.

Credit quality: further improvement of the NPL stock in 2022, which decreased by 21% pushing further down the NPL ratio by 0.9% reaching 3.0% in December 2022.

Commercial activity: optimistic growth and a well-positioned commercial model focus on higher growth, especially in the consumer segments. New opportunities laid ahead for the Bank through financing photovoltaics and sectors complying with ESG, which will allow the Bank to extend its product portfolio, and to increase its lending volumes and customer base.

Manage risk well

CREDIT RISK

Credit Origination quality was at healthy levels, with just 0.93% new lending for the last three years recording 90+ days average vintage (the lowest level in the last 10 years).

New lending is acquired based on know-how and awareness of sectors' specificities, pre-defined solutions, policies & products, with main reference to Energy and Agribusiness as components of volumes increase. Such results involved also partnerships and risk sharing agreements with experienced players such as EBRD. The collaboration is ther extended to other sectors such as Tourism during 2022.

The bank is developing guidelines and rules regarding the Environment Social Governance important for the lending process. In this prospect, the bank does not lend in coal sector, and gradually exit within 2030 for the sectors as exploration and production of Tar sands, Shale/tight oil&gas and similiar.

Moreover, the bank during 2022 started focusing on the sustainable lending, by approving to more products for the sustainable finaning with focus social and production of the clean energy.

The Bank, in compliance with Group rules, has in place a Risk Appetite Framework (RAF) with regards to the control of main risks such as Credit Concentration risk, Real Estate risk, Sovereign risk, Foreign Exchange credit risk, etc.
The function of Proactive Credit Exposures Management (PCEM) has been in place since 2016, providing for more pro-active credit quality monitoring and addressing credit deterioration from the outset.

The framework on Credit Control activities, setting up 1st and 2nd level controls on credit area aims at a prompt and better identification of any inadequate credit practices and mechanisms, as well as ensuring effective corrective actions.

The Bank has adopted IFRS 9 standard since January 1, 2018, by reclassifying the financial assets in stages as per risk classification applying respective credit losses calculation (1 year or Lifetime expected credit losses). While in 2019, the bank adopted the New Definition of the Default, in compliance with ISP Group rules.

NPL MANAGEMENT

2022 continued the trend of significant improvements in the loan portfolio quality. The Bank continues to outperform the Banking sector average regarding the reductions of NPL having lowered their percentage 0.9 %. These results were mainly due to:

• NPL stock Reduction to healthy levels, enabled by good collection results, coupled with the moving off balance sheet of staled positions as per Central Bank regulations.

• Early intervention on positions potentially object of restructuring/rescheduling avoiding portfolio deterioration combined with support/involvement by Under-writing team and the new PCEM role, in defining solutions from early revision stages to later deteriorated ones.

• Re-possessed Assets structure, a separated unit within Risk Management Division until July 2022 and transferred under Operational Division, went on generating positive results with regards to assets marketing and sale.

RETAIL BANKING

In 2022, the usage of digital banking continued to grow. As a bank, we continued to support customers by adapting

with new technologies and offering to customers best digital experience in an everchanging environment. The post COVID-19 pandemic was difficult to overcome but this year we have seen improvements in the banking activity.

Digitalization to us is a crucial pillar in delivering sustainable results. Last year, our digital customers have grown by 45% compared to 2021 and in addition 1,754 customers activated Digital Banking Service fully online. We continued to see a sustainable growth of +16% compared to the penetration of 2021on the number of customers contracting the service to the total active customers base.

Extension of the cash-deposit functionality in more than half of its ATM fleet during 2022, also confirmed the bank's intention to diversify and expand touchpoints to better serve customer needs. The new functionality apart from saving precious time to the consumer customer, enables them to receive advisory from the sales force on more complex products. Eligible branch transactions continued to shift towards digital channels, marking a clear improvement year on year. The increase in digital transactions by 62% versus the previous year, clearly indicates that customers' usage of the digital is now becoming a first choice. Around 85 of overall individual transactions are performed in ATMs and Digital Channels. Translating the digital culture and building trust to encourage usage of alternative channels for daily banking for both branch staff and customers continued to be a priority during 2022. We firmly believe that customers education in using electronic means of performing transactions and sales instead of paper-based ones, is still a necessity, that is why throughout the year, was launched a thorough informative campaign inside the digital platform covering almost all functionalities. To help in promoting usage, and building trust, dedicated task forces assisting branches were set up helping customers understand the touchpoints at their disposal and benefits of using self service channels.

To compensate for the staff rotation rate, a series of training sessions was carried out both with physical and online presence whilst ensuring to support onsite based on the needs. Increase staff awareness on digital channels and improving internal perception goes hand in hand and are a prerequisite to reaching and changing customers' mindset.

Leveraging from customer feedback on direct channels as well as from the series of workshops organized during the year who brought together around the table colleagues from different areas, contributed in identifying and addressing clear actions to improve overall digital experience.

Electronic Payments numbers & volumes, processed transactions, and cross-border volume all saw robust growth compared to 2021. The increase in number of tourists visiting Albania was translated to 50% increase in the income from ATM access fee. Income generated from the ATM Access Fee during 2022 was the highest ever achieved, reaching 815k Eur.

Consumer preference for digital payments has persisted as the world has recovered from the pandemic.
During 2022, overall usage of ISPBA cards has increased by 16% in transaction Numbers and volume compared to 2021. International transactions with ISPBA cards have shown significant increase by 66% in transaction numbers and almost 56% in volume compared to 2021.
Achievements are clearly much higher than 2020, but also considerably better than 2019.

Despite a great deal of uncertainty in the macro climate, the overall good performance of the electronic payments continues to fuel the bank's growth.

There has been a significant increase in the Acquiring activity in both POS and ATM compared to both 2021 and 2020, demonstrating a consistent shift of customers' transactional behavior towards electronic payment channels. During all 2022 Retail has conducted internal campaigns to promote cards products, to incentivize their usage and increase their activation rate.

On the 1st of June ISBA launched the Cash deposit functionality in ATM. By end of 2022, only 6 months after release of the new functionality, 57% of eligible cash deposit transactions were channeled through ATMs.

DIGITALIZATION AS A TOOL TOWARDS ESG GOALS

On the other hand, it is undisputed the considerable contribution towards the environment impacting paper savings as a strong incentive to a greener planet. During 2022, thanks to the qualified electronic signature #withSIGN and documents downloaded/uploaded through online banking channel, 128,142 documents totaling 1,010,450 pages were saved by being signed, downloaded, or uploaded online (an approximation of 100 trees saved).

The work to develop a seamless, digital customer journey that provides access to a large range of online lending solutions and online credit card applications does not stop here though. Our goal in making the banking experience more accessible in digital spaces in line with financial inclusion principles of the current generation led to the creation of dedicated packages for youth which can now start the application process fully online in our website and then finalize it in branch of their choice. This is yet another step to test the waters of full online onboarding as a near future development.

#withEarth initiative, launched form the bank in line with a group initiative promoted across all banks of the

group aimed to raise awareness on Earth day, boosting digitalization and digital transactions whilst leveraging on the positive impact on the environment (paperless, less co2 emission) that digital banking has when compared to on site banking. The goal of the initiative was two fold: Stimulate Customers' Digitalization, by associating the donated amount to the digital channels usage as well as positively impact the environment, by donating to a selected NGO #withEarth initiative, more specifically preserving the biodiversity. Under this initiative, the different digital transactions carried out by the customer through digital channels during Earth Day, were tracked and the behavioural cashback for a total of 15K Euro was donated by Intesa Sanpaolo to WWF ADRIA.

AWARDS

Thanks to all the efforts in delivering a unique, secure and transparent Digital Banking experience for its customers benefiting from end-to-end processes within one application as a result of a great investment in Advanced Technologies, in 2022, Intesa Sanpaolo Bank was awarded as "Best Digital Bank Albania 2022" from the prestigious international magazine Global Banking Finance.

CORPORATE BANKING & SME

Corporate & SME Division in Intesa Sanpaolo Bank Albania comprises Domestic and Multinational companies, Institutional Customers (Government, Municipalities, and Public Sector Entities) as well as International Organizations, and SME which include businesses or groups of companies with annual revenues in the range of EUR 1 – 10 Million.

In 2022 the consequences of the geopolitical instability culminated with the Russian - Ukrainian conflict impacted the Albanian economy that was still recovering from the COVID 19 pandemic crisis. Higher costs for energy, inflation, raising interest rates and difficulties in the global supply chain are only some of the elements that also played an important role in the difficulties for Corporate & SME entrepreneurs and managers in taking decisions and sometimes in postponing of the investments planned. A lot of focus of Corporate & SME Division during last year has been Short Term and Working Capital financing, by supporting businesses effected by the disruptions in global markets and value chains.

However for year 2022, the Corporate & SME results showed a steady lending profile, with focus in SME segment which grew its lending portfolio with +2% compared to the beginning of the year, while the deposit volumes showed stability.
Besides stable level of loans and deposit volumes, the Corporate & SME Division succeed to increase with 5.6% the customer's base by putting efforts on existing customer's activation.

A central focus in Corporate & SME development strategy for 2022 continued to be ESG. The raising concerns for the environment and climate change have become priority topic and task for Intesa Sanpaolo Bank Albania. Investments in Green and Circular economy has been in the focus of business by supporting with lending facility customers investing in Photovoltaic Plants for self-consumption. Dedicated products with special terms and conditions are tailored for this purpose, with final aim to better meet customers' needs, promote these investments and support in creating a sustainably oriented economic system.

During 2022, 57 credit lines were granted to Corporate & SME customers to finance investments in photovoltaics for self-consumption or fleets of electric vehicles/cars (supported with Financial Leasing solutions), of a total value of around 11.2 mio Eur.

Intesa Sanpaolo Bank Albania is committed to continue in this strategic approach in line with the main pillars of the 2022 – 2025 Intesa Sanpaolo Group's Business Plan.
Corporate & SME Division put efforts also to other ESG initiatives beside the new products for financing of photovoltaic systems such as accelerating the position of the Bank toward paperless through enhancing Internet banking services to Corporate & SME customers assuring safe operating condition and avoiding physical presence and paper saving.

In the view of the POS service performance improvement, aiming to meet business needs, our Bank has upgraded the existing POS platform switching to a more secured platform, extended to the existing and new merchants.

During 2022, it has been conceived the "Confirming" platform - an Italian Supply Chain Finance Program, able to connect buyers with suppliers from different European countries. In the context of the trade exchanges between 6 countries like Serbia, Slovakia, Hungary, Romania, Slovenia and Italy, Intesa Sanpaolo Bank Albania becomes an important partner in the cross regional commercial value chain offering to Corporate & SME clients the advantages of the "Confirming" platform for their international trading activities and offers to Albanian "Suppliers" an efficient and fast way to advance receivables toward the buyers and on the other hand for the "Buyers" it represents a smart way to improve supply chain financial stability and an effective solution to improve their cash-flows. The full activation of this top-of-tech digital platform is expected in Q1 2023.

With final aim to be a strategic partner to our customers, Corporate & SME Division continued offering a wide range of product and services beside financing solutions (standard loans, overdraft facilities, project financing, syndication loans), as well as trade finance facilities (guarantees and letters of credit), deposits, treasury products (spot and forward FX transactions), domestic

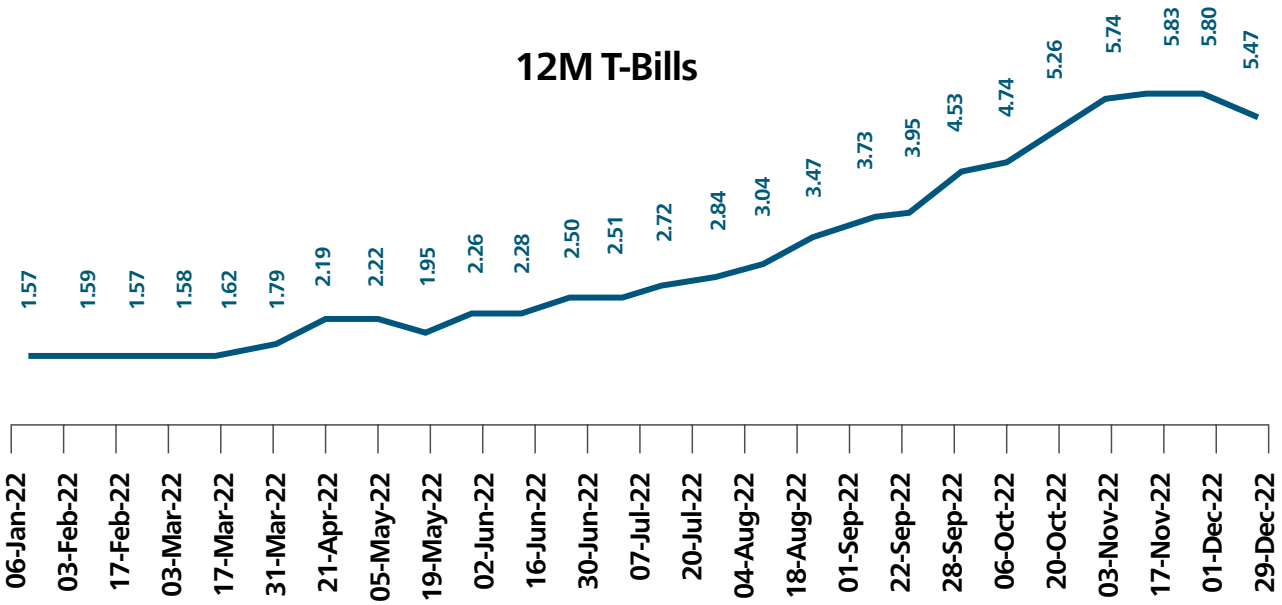
and international payment transactions, POS-terminals, business cards, etc. Special attention was paid by the Cash Management team on the optimization of the payment businesses, aiming to improve customers' cash flow efficiency giving priority to the migration process of our customers to the digitalization services offered by our Bank with special focus on salary payments through "Bulk payment", as an enhanced service offered through internet banking. In this respect we promoted our digital channels offering discounted pricing on on-line transactional activity.

Cross Border Account Opening service has also been developed and implemented aiming to innovate the Group's ability to serve the needs of International Corporate clients (Multinational) and laying the foundations for further digitalized Commercial and Transaction Banking. The new service is a uniform and easy Cross border account opening for International Commercial Banking, accompanied with a standard contract and uniform procedure at Group Level. Intesa Sanpaolo Bank Albania will act in the role of Introducing and Receiving Bank supporting all the Multinational clients requests.

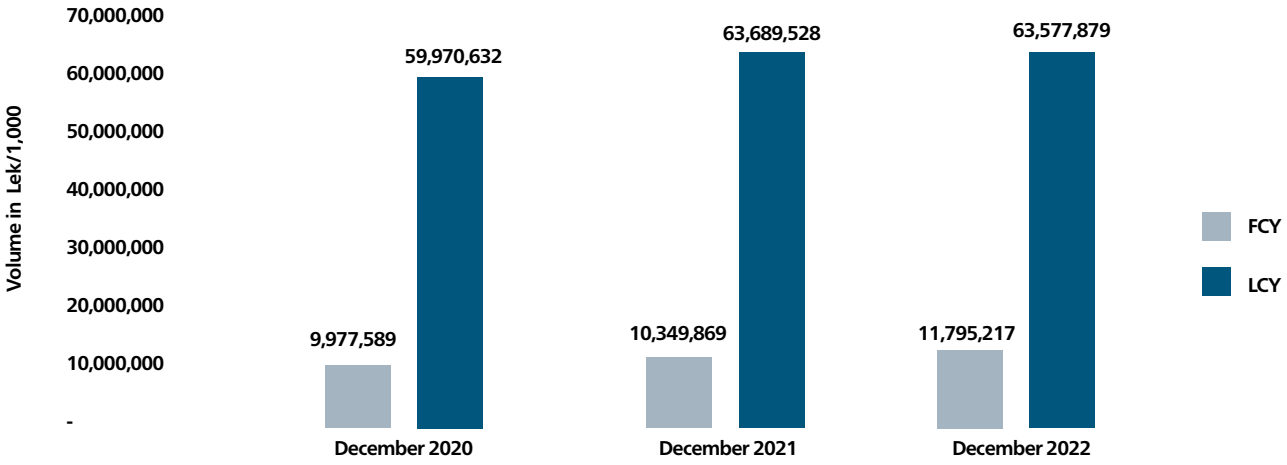
Revenues generated by Corporate & SME during 2022 showed a positive trend coming mainly by Commission Income and FX trading revenues evidenced with respective increase of 9.1% and 5.6% compared to previous year, by improving the contribution to overall Banks' results.

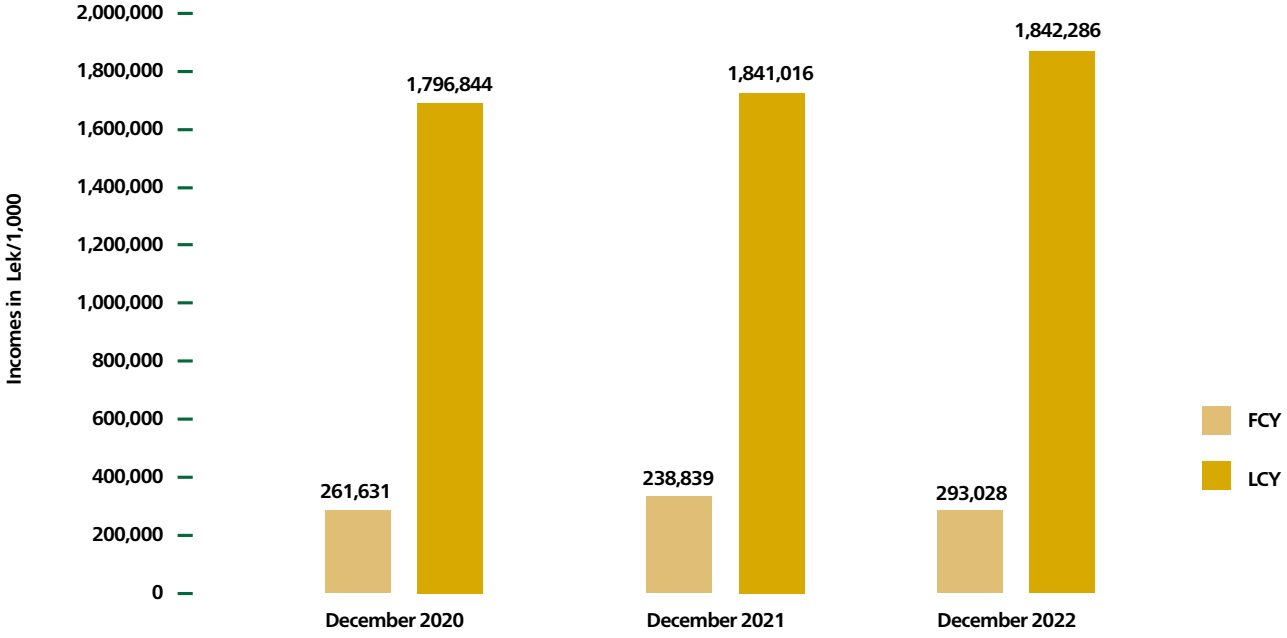
FINANCE AND CAPITAL MARKET

Treasury and ALM during the year 2022 delivered an increased contribution in NII as it relates to the investments in both Albanian Government and Foreign Currency Securities, which was driven mostly by the increased trend of the yields in the domestic and the international market. The yields of the Albanian Government securities in LCY, in reflection to five consecutive increases of the base rate from 0.50% to 2.75% within the time line Mar – Nov 2022 as Bank of Albania monetary policy response to the increased inflation rates, experienced an continues significant upward trend. Also the increased request for liquidity in the last quarter of 2022 from the part of Ministry of Finance and Economy busted the yields increase even more. As such, the yields of the 12M T-Bill in the local currency, the most sensitive domestic instrument to the market condition developments, in 2022 varied from 1.57% to 5.83% with average 3.19% versus the range 1.46% to 2.17% with average 1.75% in 2021.
Similarly, as per ECB and FED monetary policy in response to inflation, within year 2022 the base rates jumped from negative or zero level area (EUR -0.50% and USD 0% - 0.25%) to a significant increase (EUR 2.00% , USD 4.25 - 4.50%), dictating so the bonds yields for every new investment or the reprice of floating positions. In this environment, the new accomplished investments into supranational and Albanian Government domestic bonds contributed directly into NII.



One of the important activities of this department, closely related to the activity of Corporate & SME and Retail customers, has been competitiveness in trading the financial instruments like Spot Foreign Exchange transactions and Albanian Government securities in the retail market, both increased compared to previous year.





ICT MANAGEMENT

The year 2022 has been a challenging year for ISBA ICT Division, who has successfully handled numerous important projects and initiatives, with the Flexcube Core Banking System upgrade as the most engaging program, which is at the same time, one of the main pillars of ISP Group ICT Convergence Strategy.

Among the **ISP Group Initiatives**, the main projects that have been accomplished during 2022, for the implementation of solutions in compliance with ISP Group standards and important regulatory institutions such as ECB and Bank of Italy, are:

• **Flexcube Core Banking System upgrade program** – During 2022, it was achieved the completion of "Inception" and "Elaboration" phases, with main activities involving IT Architecture design, environments definition, Flexcube product walk-through and trainings, Change Control Board meetings for ISBA customizations approval, satellite systems integration solutioning, data migration strategy definition, etc.

• **ECB Credit Risk Loan Tape project** – Enhancement of BFD Data Feeding process to fulfill ECB requests to financial institutions to produce Credit Risk Loan Tapes in order to support On-Site Inspections (OSI), by suppling a standard informational set (Go-Live date replanned in February'23).

• **Collateral Management Tool Wave 3** – Upgrade of CMT & ABS systems, with the implementation of "Collateral Enforcement process", as the main new functionality introduced in this release.

• **FX Risk Capital Requirements** – ISP group project for ensuring the implementation of EBA provisions and consequently a correct calculation of the structural requirement, as per Europian regulatory institutions requirements.

In order to fuel the ISBA Business engine, several **ISBA Internal Projects and Initiatives** have been in focus of ICT Division:

New services and products with special focus on alternative channels have been finalized, resulting in an increased range of self-service features for the customers, namely:

• **Vivex Cash Deposit Solution** for enabling self-service cash deposit transactions in Vivex ATM machines. Integration to ATMs has been developed and solution is ready for go-live.

• Initiatives in frame of Tirana Youth Capital, such as **Customer Light Onboarding,** for self-service online customer registration, and application for **«Youth Package».**

• **Payment Factory** – New service offered to multinational customers **for bill payments and batch booking** via Global Transaction Banking.

• Online payments of **Vodafone** bills via online **integration** to provider's web services. Solution is ready for go-live, upon official contract signing.

• **Digical Online Banking Hotfix** implementation activities, for the enhancement of customer experience and resolution of reported incidents.

Enhancement and automation of existing business processes has also been part of ISBA ICT Division tasks, identifying improvement areas, for which ICT has strongly contributed towards facilitation, optimization and proper monitoring:

• Full automation of **pension payments process**, starting from the customer application registration, to pension retrieval through integration to ISSH services, and till the periodical batch booking to credit pensioners' accounts.

• **ISBA Transformation team initiatives** have been implemented, such as **Teller cash limit monitoring** by introducing validations and alerts in Core Banking, **teller transactions auto-authorization limits review,** automation of several customer application forms and also several **monitoring reports.**

• Development of **Relationship Managers & Branch dashboards** for staff and branch performance monitoring.

2022 was the year of several **initiatives in the AML area** as well. A series of audit sessions have been conducted, initiated by ISP Group and ISBA Local IA structures. Considering the sensitivity and importance that ISP Group pays to this functions, recommendations and respective measures have been timely followed up with high priority.

• Implementation of **AML Sanctions** due to Russia-Ukraine war, including introduction of system restrictions, generation of monitoring tools and execution of weekly customer massive screening process.

• **ENIF Beta project** aiming to address AML systems related recommendations and vulnerabilities, and improve data quality checks and monitoring.

• Process setup for follow up of **Medium/High risk classified customers**, introducing alerting systems and monitoring reports.

ISBA Initiatives in other important areas include:

Risk Area Initiatives: Increase of automation level in lending processes, such as:

• **Individual Credit Process Automation (ICPA)** system upgrade with the implementation of new workflow for NPL credit requests and also with integration to BoA credit registry system, for automatic retrieval of applicants CR report.

• Development on **Credit Applications Monitoring Dashboards,** for accurate lending process follow up and improvement.

• Process for identification and **automatic renewal of credit cards,** based on well-defined risk rules and through automatic maintenance in Flexcube CBS.

Operations Area Initiatives: Facilitation of daily back-office activitie, such as:

• Enhancement of **Jira PDMS application** for bulk authorization of payment transactions originated on online channels, mainly related to salary payments via SDMC bulk payments process on FCDB Internet Banking.

• Improvement of internal approval process, via reporting tools from **Acumen treasury system,** to be used by RSC & Payments BO, for fast response to corporate & SME customer transactions involving a **preferential exchange rate.**

HR & Organization Area: MS Business Central, a modern and multi-functional software for HR area has been implemented, to serve as a central employee database, as well as payroll processing software in ISBA.

In order to be compliant with the dynamics of **Albanian**

Regulatory Institution requirements, based on which a series of significant changes have been applied to several BoA regulations, ICT interventions on existing ISBA internal processes and applications were demanded. Considering the criticality and importance of being compliant with this institution, ICT has been focused on due implementation of the requirements.

• Adaption of ISBA payment systems for channeling through **BoA AIPS of domestic payments in euro currency,** and implementation of amended **changes in domestic payments terms and conditions.**

• Enhancement of local **LGAAP Impairment Tool** for BoA changes of Customer Risk Classification regulation, impacting mainly **restructured customers.**

• New regulation rules on **consumer lending for application of Max EIR,** including systems validations (Jira ICPA and Bank Portal), contracts amendments and monitoring tools.

• New regulation rules on **consumer lending** for application of **penalty stop accruals** at a threshold of 30% of total customer overdues.

In the frame of recent national and international events that impose potential serious threats on the Banking sector, such as Russia-Ukraine war, and cyber-attacks to public institutions, several **Infrastructural and IT Security related initiatives** have been accomplished, and a series of measures have been taken, to ensure safety and smooth continuity of Banking business and operations.

At the same time, adopting and activating the latest technological trends has been kept in focus, to ensure performant, stable and secure environments for all banks structures.

• **Assessment of security aspects of all TLC structures.** Actions for upgrade of machines and applications to latest versions have been continuously executed.

• **Patch upgrades on Oracle Weblogic instances** to address identified vulnerabilities due to currently outdated installed versions

• **Migration of POS communication to public IP addresses.** Now all the POS-es have only one communication profile and they can communicate via the DR-Site as well.

• Implementation of new self-service machines and alternative channels, such as ATM **CashIN** and Tetra **POS-es.**

• **Replacement of old network equipment** in Branches/Offsite-ATMs and **old HUB VPN Concentrator equipment in DCs.**

• **Activation of Windows Hello For Business and Intune for Mobile ThinClients.** Easy MultiFactor Authentication and centralized management.

ICT DIVISION MISSION AND STRATEGY

In order to support the industrial plan of ISP Bank Albania, ISBA ICT Division will continue to follow the ISP Group Strategy through:

• Pursue ISP group convergence, with main focus on Flexcube Core Banking upgrade implementation project, aimed to go-live by end-of January 2024.

• Acceleration of digitalization by supporting local business transformation through process automations, with special focus in branch and alternative channel effectiveness.

• Improvement of ICT Application architecture through necessary technological Upgrades.

• Constant Focus on cost control through in house development and system integration.

OPERATIONS

During 2022, the operations of Intesa Sanpaolo Bank Albania focused on enhancing efficiency, envoiremental friendly politics, cost and surface optimization, increase of bank safety, cost reduction, improving client satisfaction and the bank's image.

One Bank, One Layout was the focus on the refurbishment of the Branch in Komuna e Parisit and realocation of two branches during 2022 in Vlora city and in Tirana City. The refurbishment and realoaction of barnches supported the enlargemnnet of the bank in new locations for being nearer to the clients. Furthermore, the refurbishment is in compliance of Intesa Group initiatiative for A joint Group-driven action to reach Net-Zero objectives, replacment of amortized equipment with high efficiancy ones, aplication of Led lighting and replacment of the facades.

In addition, the new locations contributed in customer's facilities and friendly environment the new spaces offer better working conditions for the staff of our Bank as well, more natural light, more fresh air and more spacious working place.

Another aspect of the focus of the Intesa Sanpaolo Bank Albania is the Enhancement of the power infrastructure in bank premises, aolication of BEMS (Business Energy Mangament Systems), Enhacement of the security and safety of the bank by creating the Monitoring Room for live monitor of the Bank perimeter.

Energy and Environment represent the bank's goal, to monitor the compliance risk regarding environmental protection, ensuring alignment with international and local requirements on environmental issues (e.g. waste disposal,

environment dangerous substances management, soil and water discharges, atmospheric emissions, noise pollution, etc.), to identify actions, measures, proceedings and strategies to promote the rational use of energy.

To support the industrial plan 2022-2025 ISP Bank Albania have followed the ISP Group Strategy by adopting and aligning the local context with parent company technological target solutions and processes.

The strategic goals to be pursued by ISP Bank Albania, in collaboration and under the guidance of Intesa Sanpaolo Group, are aimed to raise awareness of cyber risks and cyber posture by implementing the Group Extended Integrated Model on Information Security through this customized security program (Integration Plan) organized in three main streams of intervention/enhancement:

A. Governance - adoption of the Information Security Model including various macro areas of intervention such as:

• Maintenance of Parent Company security rules into local regulatory framework
• Definition and approval of IT Security Plan Y2022
• Implementation and execution of new Cybersecurity Macro-processes
• Enhancement of the Third Party Security Model.
• Enhancing adopted Information Security risk process integrated with Parent Company
• Ensure a Business Continuity Management aligned to Parent Company requirements (review of methodologies and procedures, definition of DR and BC plans, etc.)
• Training and awareness program to be performed as planned.

B. Measures/projects - implementation of the Target Security Measures and finalization of on-going projects:

• Fraud detection and prevention – Extention of current Fraud Monitoring solution on Digical Perimeter and Adopting group target solution, Kleis, Cleafy.
• Endpoint Protection - ATM Protection Solution - [Target Solution]
•Identity Governance and Administration – Implementation of Sailpoint Identity IQ
• Adoption of a Secure code analysis tool (Sonarqube)
• Adoption of Strongauth target solution for all accesses
• 3D Secure code via DIGICAL application
• Activation of Microsoft ATA cloud application
• Activation of Microsoft MCAS solution to protect cloud apps
• Activation of Microsoft 365 Security E5 Package applications (AIP, MDI, MDO)
• Activation of Microsoft Sentinel

Integrated Control Model: Completed the Control Plan for 2022 as per defined plan in coordination with Parent Company.

Financial Review

Financial Review

In 2022 ISP Albania reported a net profit of ALL 1,290 million.
Compared to 2021, net revenues increased in all components.

Transaction-based revenues continued to present a core income, motivated especially by cards business. Credit quality positively improved keeping NPL ratio at minimal levels.

Net profit in 2022 was strongly affected by the good performance on revenues and loans provisions. Bank managed to deliver a good performance, while concomitantly maintaining a healthy balance sheet structure.

The analysis is made based on 2022 and 2021 results according to IFRS. If otherwise stated, all figures are presented in millions of ALL.

Results 2022 Highlights

			Change	
			amount	%
NET INCOME (LOSS)		1.290 520	770	148%
Minority interests				
Levies and other changes concerning the banking industry (net of tax)	-383 -367		(16)	4%
Charges (net of tax) for integration and exit incentives	-91 -72		(19)	26%
Taxes on income	-312 -205		(107)	52%
Income (loss) before tax		2.075 1.164	912	78%
Other income (expenses)	-30	5	(36)	-692%
- Net impairment losses on other assets	-40 -741		701	-95%
- Net privisions for risks and charges		46 143	(98)	-68%
Net adjustments to loans	-231 -484		253	-52%
Operating margin		2.331 2.241	90	4%
Operating costs	-2,968 -2,709		(259)	10%
Adjustments to poperty, equipment and intangible assets	-419 -424		6	-1%
Other administrative expenses	-1.076 -926		(150)	16%
Personnel Expenses	-1,473 -1.358		(115)	8%
Operating income		5.299 4.950	349	7%
Other Operating Income (Expenses)	-1 -2		2	-74%
Net result of fin. assets and liab. valued at FV through PL and on Oth.		631 593	39	7%
Net fee and commission income		955 873	82	9%
Net Interest Income		3.714 3.486	227	7%

Y 2022 Y 2021

Lending Results – entirely generated in domestic market

• Total performing loans in Dec 2022 at ALL 54,545 mln, up 3.2% from Dec 2021, driven by Retail segments. Needs to be mentioned that if normalized for exchange rate effect, the y-o-y increase would be around 7%.

Credit quality - further improvement

• Improved credit quality, with a decline in the NPL ratio (-0.9%). Total Nonperforming loans in Dec-2022 at ALL 1,686 mln, down 21% from Dec-2021.

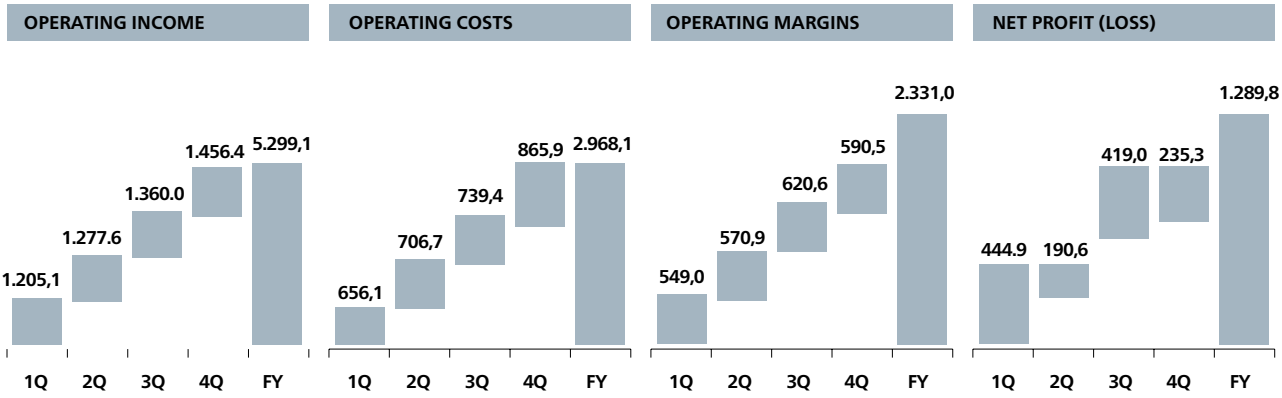
Strengthened capital position

• Regulatory Capital in Dec-2022 at ALL 21,477 million, up by 7.5% from Dec-2021.
• Capital Adequacy Ratio at 26.46%, up by 3.07% (Dec 2021: 23.39%)

Cost discipline and efficiency

• Cost income ratio at 56.0%, up by 1.3% (2021: 54.7%).

Quarterly development of main consolidated income statement figures (ALL in mln)

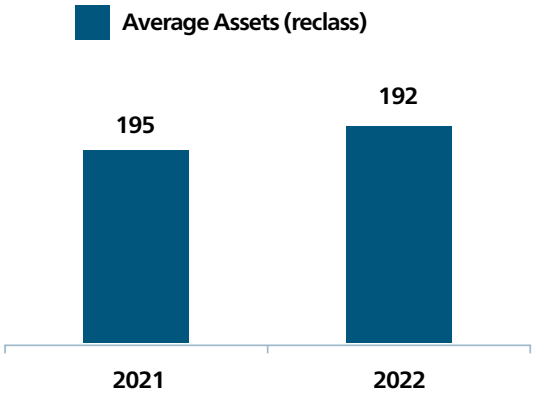


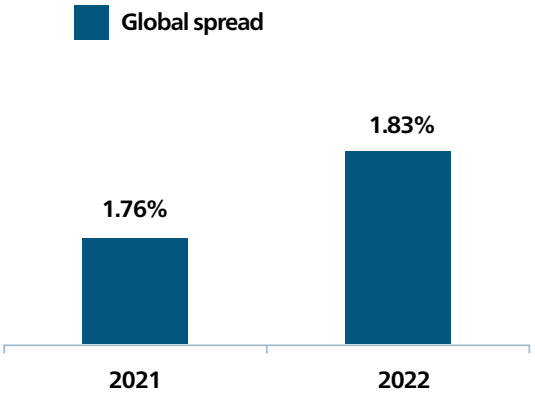
Operating Income

During 2022, operating Income increased by 7.1%, impacted by all categories of income and primarily driven by net interest income, due to general increase of interest rates, in the light of macroeconomic developments.

• Interest income

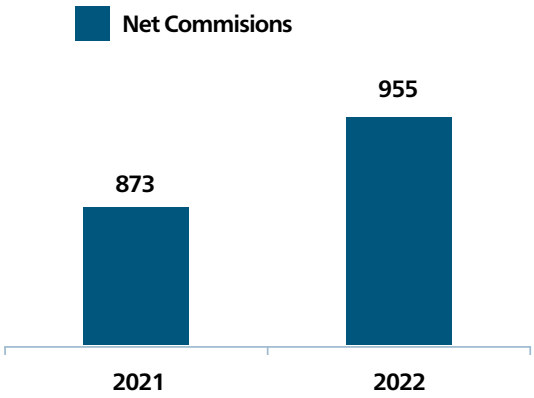
Interest rates increased, especially on the second half of the year, reflecting the new macroeconomic conditions, affecting normal income from loans, securities and placements. Liabilities side, expenses maintained the same level with previous year, and the market didn't follow the same pace of interest rates increase in assets.

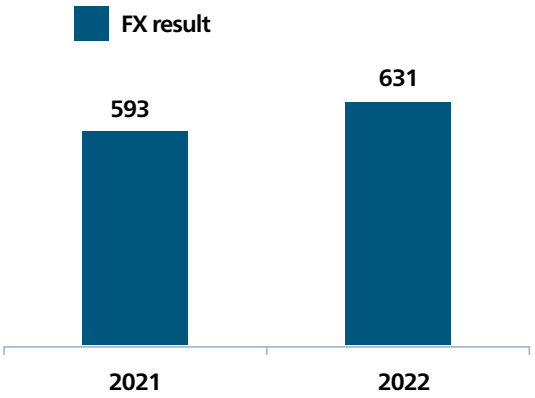




- **Higher commission income in all categories**

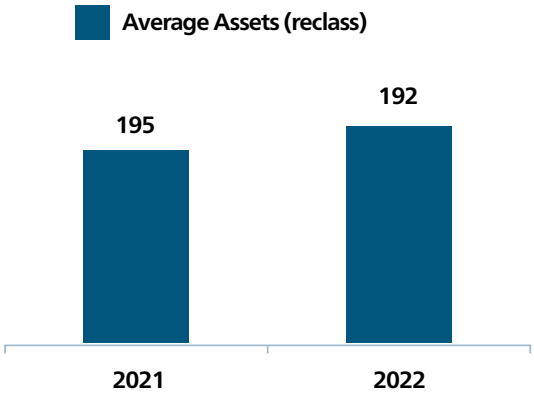
Net commission resulted 9.4% higher in 2022 compared to 2021, with a positive impact in almost all categories, but strongly supported by the commissions from cards business.
Higher income on foreign currency trading transactions by 6.5% in 2022 compared to 2021.

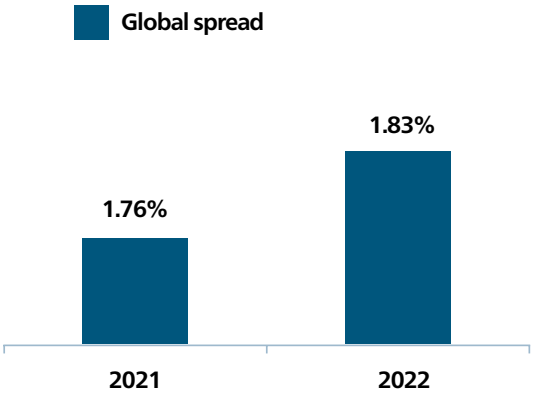




Total Operating Costs

Operating costs resulted 9.6% higher in 2022 compared with 2021. Such result was impacted by both, personnel expenses and general administrative expenses.
In full alignment with Bank's strategy, the bank keeps under particular focus the lowering of "run the bank" costs by leveraging on the development of economies of scale through ISG Central Procurement.





Improved credit risk

NPL ratio was further reduced in 2022, reaching a historical minimum level of 3.0%. The Bank managed to keep cost of risk at minimal levels. The following events determined the yearly loan impairment costs:

- Update of risk parameters releasing additional provisions for sovereign exposures;
- Several repayments of lost loans from customers;
- Kept under control the level of NPL inflow;

	Dec 2018	Dec 2019	Dec 2020	Dec 2021	Dec 2022
NPL ratio	6.6%	5.4%	4.5%	3.9%	3.0%
NPL coverage ratio	47.7%	46.3%	54.5%	52.9%	52.3%
Cost of risk	0.47%	-0.09%	0.37%	0.91%	0.43%

Legal Disputes

The internal Policy for "Operating Rules for Accounting for Provisions on Contingent Liability and Contingent Assets" adopted by the Board of Directors on July 2014 outlines the rules for the establishment of provision on litigations, as well as the actors involved in the process.
Based on the above mentioned policy, provisions have been duly recognized when present obligation have been evidenced or when a probable outflow of resources has been estimated to settle the probable obligation.

Forward looking statement

- The Bank short- and medium-term objectives will be focused on developing fee-based business with particular focus on:

  - **Bancassurance:** introduction of CPI for secured and un-secured loans; the aim of this initiative is to increase commissions revenues and increase level of protection for customer loans by enlarging the risk clauses.
  - **AUM & Wealth Management:** focus on Assets Under Management market (AUM) in order to increase the range of financial activities for Premium Affluent and Private Banking customers, by offering new opportunities to invest in Eurizon S.A. sub-funds
  - **IMI C&IB**, enhancing fees/ revenues by offering for bank customers instruments of debt (e.g., Structured finance) and Hedging (e.g., FX, IRS)
  - Boosting number of **SME clients**, average profitability and volumes through dedicated actions, also thanks to "confirming" platform
  - In collaboration with **IMI C&IB and BdT**, developing products/ services to support the ESG/ green transition for Corporates/ SMEs, also through culture building initiatives on sales network (e.g., identifying industry trends)
  - Increase the Core and Active Customers with focus on onboarding activities & x-sell.
  - Proceed with the excellent activity done in the last part of the year related to the active customer base (cross selling initiatives)

- Increase the **Customer Base** thanks to specific initiatives and more structured activities related to the synergies

- **Digitalization;** strong focus on digitalization by aiming to enhance the on-line sales processes with the aim to increase overall revenue chain

- Develop a modern **Contact Center** by improving a solid service model, to support digitalization and customer care

- Pricing; introduce methodologies and tools for pricing of products offered, and at the same time follow up initiatives for repricing: a) massively re-price the existing products portfolio to align to market conditions; b) define an adequate price for the specific clients

- **ESG proposition** through:

    - New products for financing of photovoltaic systems, renewable energy sources, green buildings for prevention and management of pollution, green transportation (electrical cars) etc.

    - Introduction of consumer loan that would contribute on energy efficiency

    - Accelerate the position of the Bank toward paperless through extension of Remote Digital Signature to new products, to assure safe operating condition by avoiding physical presence and paper saving; implementation of Document Management System and Safe Custody to support both paperless and electronic/RDS processes

Corporate Social Responsibility

CORPORATE SOCIAL RESPONSIBILITY

Strategic Approach:

Intesa Sanpaolo Bank Albania sh.a. promotes and implements Corporate and Social Responsibility policies and practices in relation to its employees, its customers, its suppliers, its shareholders and the environment, guided by Code of Ethics, our "constitutional charter".
Our Code of Ethics drives our vizion toward a better Bank that can contribute not only to the economic developement of the country, but also toward a better society & a better environment.
Intesa Sanpaolo Bank Albania sh.a. remains committed in reinforcing further the Corporate Social Responsibility governance and being a good example for Albania. The Bank is aware of its impact on the society and on the Albanian Economy and integrates sustainability in its corporate governance. Following the ISP Group approach, ISBA recognizes concretely it's social responsibility and integrates it into the decisionmaking proccess and in concrete operations, being closer to its customers.

RELATIONSHIP WITH EMPLOYEES

The relationships with employees was and remained crucially an important step towards moving Intesa Sanpaolo Bank Albania to continuous care and dedication of the most important asset that is the human capital in contributing to the bank's business.
Learning & development continued even more intensively in order to face new business challenges successfully, by acquiring new skills and being proactive. Thus, the ISBA employees went through various dedicated Trainings even during year 2022.
Trainings delivered digitally, through MyLearning Platform (our local platform)– meeting internal trainings needs, covering different areas such as : Compliance & AML , Commercial, Risk etc. Trainings delivered through LEA Platform– LEA is the new learning platform for the International Subsidiaries, offered also in local language. and covering different sensitive areas, such as: Cyber Security, Cyber Fraud, Anti-Corruption, ESG, etc.
Whereas trainings with physical presence include, onboarding trainings addressed to new hired staff; trainings on Bancassurance Project – trainings offered from "International Finance Institute of Banking Insurance"; GYMS Trainings (Growing Your Managerial Skills); Trainings on Lending Process for Legal Entities organized from Risk Division; Training on Remote Offer; Several training initiatives organized in collaboration with ISBD, such as follows: Training Course Organization; Corporate Business School; Climate Stress Webinars; Green House gases reduction; Green Banking procurement; Anticorruption Guidelines in ISP; ESG Skills for Business; Credit Clinic 2022; Antitrust Training Initiatives; Trainings First Aid at Work, held in collaboration with MRDC doctors and involving different representatives from the Bank.
During September 2022 it was organized a workshop on "Bank in Motion - Changing while performing" with the participation of all the managerial population of the Bank. In the same workshop, our top management worked on initiatives that include three areas: self-awareness, team awareness and organizational awareness.
As previous year done the Digital Transformation of Human Resources (HR), was one of the main activities accomplished successfully by HR Department in 2022. The platform "Business Central" is unique for maintaining HR data, and it manages full information for the employees, the organization structure, roles, and it supports the HR department in completing many administrative activities.
From Dordolo presentation: employee experience
Side by side of staff Performance Evaluation process for the Head Office population, the evaluation year 2022 for the Network population, was processed by NIM (Network Incentive Metodology), which is a tool for measuring the quantitative and qualitative KPI's. That platform is easy in usage and for each role enables full details on the calculation of the KPI's.
The improvement of the local Health Care package was another important process for the bank in year 2022, for ensuring a sound state of health for all the employees. At the same time the enrolment of the employees in the Intesa Sanpaolo Group Heal Care Programme continued even during year 2022, in support of those colleagues with serious diseases who will continue to receive the best possible care from a network of Best International doctors.
During recent years we have been affected by the negative effects of the pandemic, which was combined with the on-going conflict in Ukraine, and having profound consequences on the global economy, with an increase in inflation, a rise in energy and food prices and, in general, all consumer prices. This context is strongly influencing the spending habits and lives of many and is causing hardship in the management of the majority of households' budgets. Intesa Sanpaolo has always intervened, whenever possible, in such situation, to support people and businesses, with all the tools at its disposal.
Therefore, the Board of Directors of Intesa Sanpaolo approved an extraordinary disbursement in favour of personnel. This initiative emphasizes the Group's constant efforts in empowering our people and supporting their families.

During year 2022 the bank has reviewed and improved the interest rate of mortgage loans for staff.
Therefore, the HR structure undertook an analysis of the banking system and reached the conclusion that almost all the banks have revised the T&C of the staff related to loans by improving them.

It was organized a dedicated "Open Month" which started in November 2022, with HR & Organization Department,

PR & Marketing Office and General Secretariat Office. In the framework of the initiative "Open Month", it were introduced to rest of colleagues some priorities and strategies that the above structures pursued during the month of November 2022. The meetings with the colleagues of Network was really friendly manner in getting to know their personal and family life beyond daily work activities. Such initiative will follow with other bank structures in the coming months of year 2023.

RAISING AWARENESS ON SUSTAINABLE DEVELOPMENT GOALS!

Intesa Sanpaolo Bank Albania continued to supported and to raise awareness on the Sustainable Development Goals (SDG) during 2022 by organizing several activities and events. Some of the most important activities organized during the year according to these objectives were:

SDG 1 – NO POVERTY

Match of Heart: Intesa Sanpaolo Bank Albania supported a football match as part of the social responsibility to raise funds for charity. This sport activity took place on October 11th, 2022, in "Selman Stermasi" stadium. The tickets of the match were sold with a symbolic price and all the profits collected from ticket sales went to the NGOs - "Sanita di Frontiera" and "Comunità di San Giuseppe". Intesa Sanpaolo Bank Albania was the main sponsor in this activity with a social approach in collaboration with the Italian Embassy in Tirana, the Municipality of Tirana and Tirana FC. Moreover, three colleagues of Intesa Sanpaolo Bank Albania participated in this match.

SOS Children's Villages: Even this year, Intesa Sanpaolo Bank Albania joined the SOS Children's Villages postcards sale campaign to raise as much funds as possible to increase the well-being of children who have lost parental care. The postcards were created with love by the little children. Our Bank welcomed representatives of the organization in the Head Office premises to promote this initiative through the sale of postcards to the staff of Intesa Sanpaolo Bank Albania. The campaign took place on December 27th, 2022 and 195 postcards were purchased by the colleagues.

ATALANTA Football Camp: From June 1st to 3rd, 2022, Intesa Sanpaolo Bank Albania in collaboration with Intesa Sanpaolo Bank Divisions organized the ATALANTA Football Camp for the first time in our country. This football camp offered a special opportunity to 120 children aged 8-12 from families in need of two NGOs - "Sanita di Frontiera" & "SHIS", families of Bank clients and children of staff. A special opportunity was offered to all the children, who were trained by the best coaches of the youth team of Atalanta Bergamasca Calcio together with the Albanian coaches. During the three days of the camp, the children experienced the joy of learning to play football through exercises and games appropriate for their age group. This was a special experience with an educational and entertaining role at the same time. All participating children received a bag with the official Atalanta B.C. team uniform as a gift. On the third day, this event was finalized with an awarding ceremony. The 120 participating children were awarded with a medal and diploma that officially recognize their participation in the Atalanta Football Camp Tirana.

SDG 2 – ZERO HUNGER

The bank has a special focus on sustainable agriculture and supported the farmers with a total figure of ALL 34.02 mln in new loans only during 2022.

SDG 3 – GOOD HEALTH AND WELLBEING

Voluntary Blood Donation: This initiative has become a tradition now in Intesa Sanpaolo Bank Albania and is organized regularly twice per year in May and in November. The process of donating blood took place under the care and support of medical staff. For 2022, 59 colleagues participated in the voluntary blood donation initiatives to help children suffering from Thalassemia or those in need of blood in operations or accidents cases

March 21st marked **the World Down Syndrome Day** and Intesa Sanpaolo Bank Albania brought to everyone's attention that the quality of life of people with Down Syndrome can be improved by meeting their health care needs, including regular check-ups with health professionals to monitor mental and physical condition and to provide timely intervention. Moreover, the Bank promoted different international days related to health, such as: **World Health Day, World Blood Day, World Autism Awareness Day, World Day for Safety and Health at Work, World No-Tobacco Day, World Mental Health, etc.**

On framework of **World Diabetes Day,** Intesa Sanpaolo Bank Albania delivered to all staff an informative material prepared by MRDC (Medical Response for Diplomatic Corps). The material included information and some important data regarding the different types of diabetes, its common symptoms, risk factors, as well as tips of prevention.

The Breast Cancer Awareness Month: Even this year, Intesa Sanpaolo Bank Albania has joined the awareness campaign for the early diagnosis of breast cancer. All colleagues were provided with an educational and informative material prepared by the MRDC (Medical Response for Diplomatic Corps), which contained information and some important data, including the necessary periodic checks, as well as the risk factors that affect breast cancer. Moreover, Intesa Sanpaolo Bank Albania organized a "Photo Booth" dedicated to the breast cancer awareness campaign in the entrance of the Branch near the Head Office premises. The campaign was joined by the staff and the customers by taking individual or group photos containing inspirational and awareness-raising messages, which they could also post on their social media to spread the messages to a wider audience.

SDG 4 – QUALITY EDUCATION

Activities organized for the Global Money Week!

Open lessons in Universities: On March 24th, 2022, Mrs. Xhilda Shehu, Head of Alternative Channels and Digital Marketing hold an open lesson with 100 students of the Epoka University from the Faculties of Economics and Engineering with the topic "Youth and digital banking". Also on March 25th, Mr. Alessandro D'Oria, Chief Executive Officer of Intesa Sanpaolo Bank Albania and Mr. Julian Çela, Chief Financial Director at Intesa Sanpaolo Bank Albania, visited the premises of Epoka University in Tirana. Part of the visit was the presentation of an open lesson with the presence of 100 students from the Faculty of Economics and Administrative Sciences related budgeting and financial statements.

On May 31st, 2022, Mrs. Ediola Bicaku - Director of Internal Audit at Intesa Sanpaolo Bank Albania presented an open lesson at the premises of Epoka University with topic "The Role of Internal Audit and its Importance". This initiative was organized on framework the International Internal Audit Awareness Month.

Moreover, Intesa Sanpaolo Bank Albania participated in several Job and Career Fairs in different universities in Albania. The purpose of these Career Fairs was to inform the students about the various opportunities that the Bank offers to those who have completed their studies and want to learn from the best banking practices at the local and group level.

"ECO-QUIZ" competition: On June 30th, 2022, was organized the "ECO-QUIZ" competition with the participation of 120 children aged 13 - 16 at the TUMO Center. This competition was organized by the Museum of Savings (Museo del Risparmio) and Intesa Sanpaolo Group in collaboration with Intesa Sanpaolo Bank Divisions, Intesa Sanpaolo Bank Albania and the TUMO Tirana Center. The children were divided into 10 groups and had to answer questions about Financial and Environmental Challenges. This interactive quiz was developed by the experienced staff of Museum of Savings based on several concepts, such as: money management, environmental sustainability and circular economy principles. The children of the winning team were awarded with a cultural and educational trip in Turin, Italy on September 23rd to September 25th. Part of the panel in the ceremony were distinguished guests, such as:

- **Gian Maria Gros-Pietro** - Chairman of the Board of Directors of Intesa Sanpaolo;
- **Marco Elio Rottigni** – Chief of International Subsidiary Banks Division Intesa Sanpaolo;
- **Giovanna Paladino** - Head of the Technical Secretariat of the Chairmanship of Intesa Sanpaolo and Director / Curator of the Museum of Savings;
- **Erion Veliaj** - Mayor of Tirana;
- **Bora Muzhaqi** - Minister of State for Children & Youth;
- **Alessandro D'Oria** - CEO of Intesa Sanpaolo Bank Albania;
- **Aleksander Carapuli** - Co- CEO of Albanian American Development Fund;
- **Martin Mata** - Co- CEO of Albanian American Development Fund;
- **Shqipe Berisha** - TUMO General Manager.

Intesa Sanpaolo Bank Albania in collaboration with the Intesa Sanpaolo Group and the staff of the TUMO Center led the children's trip. All the children had the opportunity to visit the Museum of Savings in Turin, an important institution of financial education, the premises of the Intesa Sanpaolo Innovation Center dedicated to the promotion of technological developments, as well as the Gallerie d'Italia museum. This trip was a unique experience for all the children, who not only had a lot of fun during their trip, but also gained more information about financial education.

On July 6th, 2022, Prof. Gian Maria Gros-Pietro - Chairman of the Board of Directors of the Intesa Sanpaolo Group, visited the premises of the University "Our Lady of Good Council" and the new hospital spaces built on the university campus. During his visit, Prof. Gian Maria Gros-Pietro presented an open lesson attended by an audience of more than 200 people: students, professors, university staff, representatives of Intesa Sanpaolo Bank Albania and other guests. The theme of the lesson was "Investing in people enables sustainable development". The panel was composed of distinguished figures, such as: Mr. P. Jerome Ndo Mih, President of the "Our Lady of Good Council" Foundation, Prof. Bruno Giardina, Rector fo the Catholic University "Lady of Good Council", Mrs. Albana Tole, Deputy Minister of Education and Sports, Prof. Vittorio Teotonico, Dean of the Faculty of Economic, Political and Social Sciences.

Intesa Sanpaolo Bank Albania joined the **New Vision activities** regarding a study visit with topic "Entrepreneur for a Day" in the premises of the Head Office. New Vision is a non-governmental organization that operates in Tirana dedicated to young people of different ages. During the visit were explained the history of the bank, the operation of the departments, human resources, organizational structure, etc. The young people learned the basic principles of entrepreneurship and how to start a business. They were also introduced to some of the key differences between being an entrepreneur and being an employer.

Also, Intesa Sanpaolo Bank Albania supported the competition **"Young Innovators"** with the participation of 250 students, that was organized by the University of Tirana. The activity consisted in selecting the best idea proposed by different groups of students. The Bank awarded the winning group with a 6-month employment contract at the Retail HO structures for each group member.

On December 14th, students from **"Turgut Özal"** High School Tirana part of the Economics Club visited the Head Office premises of Intesa Sanpaolo Bank Albania. They participated in an open meeting with some of the executive managers of the Bank. The representatives of the Bank answered all the questions prepared by the students on banking sector, the economy in the country and the region, as well as financial trends in the future. This meeting was organized on the framework of Financial Education activities.

"S. A. V. E. Ambassadors" competition: Intesa Sanpaolo Bank Albania as part of the Intesa Sanpaolo Group pays special attention to the World Savings Day and promotes it through the activities of the Museum of Savings. The competition "S. A. V. E. Ambassadors" was also promoted by FLITIN – Financial Literacy International Network of the Intesa Sanpaolo Group. This was the first joint initiative focusing on high school students from Albania, Bosnia & Herzegovina, Croatia, Egypt, Hungary, Moldova, Romania, Serbia.
SAVE is a format developed by the Museum of Savings and the European Investment Bank (EIB) and aims to bring young people closer to the topics of sustainability, circular economy, social inclusion and financial literacy. During November, an information session was held by representatives of the Bank in the three well-known high schools in Tirana: "Sami Frasheri", "Ismail Qemali" and "Ernest Koliqi". The students were asked to map the unsolved environmental and social challenges in their city and to propose alternatives and ideas how to solve them. A jury composed by representatives of our Bank will evaluate and select the winning project for Albania on January 23rd, 2023. This class will be appointed as "S.A.V.E. Ambassador" and will represent our country in the international competition (on January 31st) where will participate each country where the Intesa Sanpaolo Group is present.

On the framework of **National Internship Program** in collaboration with the State Ministry for Youth and Children, 11 students applied to develop the work practice at Intesa Sanpaolo Bank Albania, during the period September 12th - December 12th, 2022. Two students successfully completed the 3 monthly internship, one of whom was employed to the ICT Division. The students had the opportunity to gain knowledge and experience in an interactive work environment.

SDG 5 – GENDER EQUALITY

Intesa Sanpaolo Bank Albania joined the UN Women Albania campaign for **Elimination of Violence Against Women & Girls.** 25th of November marked the launch of the "UNiTE! Activism to End Violence against Women & Girls" campaign — an initiative of 16 days of activism against Gender-Based Violence December that finished on December 10th - Human Rights Day. The campaign aimed to prevent and eliminate violence against women and girls around the world. It called for global action to increase awareness, promote advocacy and create opportunities for discussion on challenges and solutions.

April 22nd marked the International **Girls in ICT Day** and on occasion of this day Intesa Sanpaolo Bank Albania prepared a postcard dedicated to all staff highlighting the fact that 48.6% of Information and Communication Technology Division employees are represented by women and girls.

SDG 6 – CLEAN WATER AND SANITATION

In the Intesa Sanpaolo Bank Albania network (Head Offices and branches), an average of 8,500L of drinking water is consumed per month. Also, the sanitary service is continuous in the Bank's Head Offices and branches.

March 22nd marked World Water Day and on the occasion of this day Intesa Sanpaolo Bank Albania delivered a postcard to all the employees to raise awareness of the 2.2 billion people who live without access to safe water.

SDG 5 – GENDER EQUALITY

It is a tradition now that staff members of Intesa Sanpaolo Bank Albania participate in Tirana Marathon. This was the 6th edition of **Tirana Marathon** and the bank's staff joined the **cause of peace** by running alongside 2500 other runners from different countries of the world. In the category of 10 km, the colleagues achieved great results by breaking their personal records.

From September 23rd to 25th, 2022, Intesa Sanpaolo Bank Albania took part in the **ISBD Sports Event**, held in Poreč, Croatia. This year, the event returned the game spirit and collaboration between sports enthusiasts from different countries. About 800 participants competed in football, basketball and volleyball matches, who also enjoyed the positive atmosphere throughout the competition.

The Bank promoted several international days (according to UN Calendar) related to diversity in a broader spectrum, such as: International Day of Human Brotherhood, Zero Discrimination Day, International Day Against Racial Discrimination, International Day for Countering Hate Speech, the World Day for Cultural Diversity for Dialogue and Development, World Refugees Day, World Youth Skills Day, International Human Solidarity Day, etc. Also, the Bank brought to everyone's attention the importance of International Day of Conscience and pointed out that in order to save future generations from the wounds of war, a transformation towards a culture of peace is required.

For the International Day of Sign Language, a symbolic postcard was sent internally for every employee of the Bank and was also posted on social networks of the Bank. The purpose of this initiative was to promote the usage of the sign languages in any area of our lives as a way to encourage linguistic identity and cultural diversity of all the deaf people.

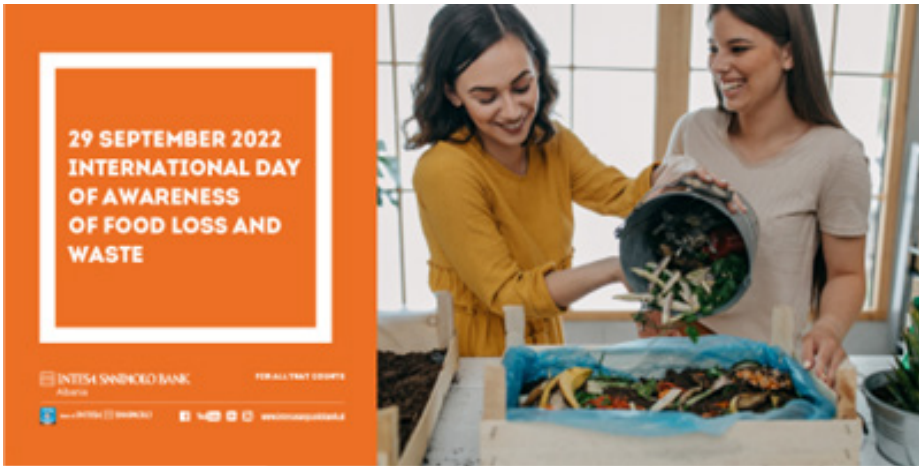
SDG 11 – SUSTAINABLE CITIES AND COMMUNITIES

September 27th marked the **World Tourism Day**. On this day, Intesa Sanpaolo Bank Albania paid special attention on promoting different forms of tourism and fostering awareness of tourism's social, cultural and economic value. In recent years, tourism has become one of the most important and growing sectors of the Albanian economy and is considered as a crucial pillar for development.

SDG 12 – RESPONSIBLE CONSUMPTION AND PRODUCTION

On the framework of environmental protection, Intesa Sanpaolo Bank Albania uses recyclable paper. During 2022, was used approx. 18,125 kg of recyclable paper.

On occasion of **International Day of Awareness of Food Loss and Waste**, Intesa Sanpaolo Bank Albania brought to everyone's attention the importance of this day, by sending a postcard to all the staff. This was an opportunity to raise awareness that actions are required globally and locally to maximize the use of the food we produce. Reducing food losses and waste is essential as the number of people affected by hunger is high and 17% of total global food production is wasted.



SDG 13 – CLIMATE ACTION

Intesa Sanpoalo Banka Albania as part of Intesa Sanpaolo Group is New Own Emissions Plan (OEP), a joint Group-driven action to reach Net-Zero objectives on 3 (three) main scopes:

- Indirect emissions from energy consumption,
- direct emissions and
- paper.

District heating energy consumption: Refurbishment of 3 Branches was done (two branches in Tirana and one in Vlora city) by replacing the existing equipment with high efficiency ones, i.e AC system, generators, led lighting etc. These investments are in line with ESG initiatives of the Group.

Installation of monitoring systems: By the end of 2022 started the "Building Energy Management System" project implementation, supported by the implementation in the last years of Enhancement of Electricity Infrastructure & Building Management Systems. All equipments were replaced with high efficiency ones, at Head Quarter premises at I.Qemali, Rruga e Barrikadave & Lapraka Branch.

Energy consumption: During 2022 initiated the project for the replacement of traditional lighting with LED Lighting. It was concluded the feasibility study phase regarding the installation of photovoltaic plants for own consumption at Rruga e Barrikadave and at Kombinat Branch. The implementation phase of this Project is foreseen on 2023.

Direct emissions: Replacement of corporate existing car fleet with electric cars is an ongoing project and it aims the full fleet replacement untill 2025. Furthermore, additional business needs for vehicles will be fulfilled with electric ones.

Paper Reduction: - During 2022 the paper consume was reducted by 8.7% (or 6,167kg) due to better management and thanks to the online signature application and E-Aleat.

SDG 15 – LIFE ON LAND

On the occasion of **Earth Day,** Intesa Sanpaolo Bank Albania in collaboration with Intesa Sanpaolo Group, joined the #withEARTH campaign, supporting WWF's activity to prevent the further extinction of biodiversity. This campaign was carried out through the following communication channels: network of branches, ATM screen, posts on social media, website and communication with staff. This campaign was in line with Intesa Sanpaolo Bank Albania's continuous effort to be a bank with a positive impact in community and environment. As a result of this campaign, Intesa Sanpaolo Group donated an amount of 102,000 euros to support WWF in the preservation of biodiversity.

Moreover, the Bank joined the ISBD activities regarding the **World Environment Day.** Strongly promoted by United Nations, the theme of the campaign for 2022 was "Only One Earth- #OnlyOneEarth". From 1st till 3rd of June, colleagues received interesting information and postcards with facts and figures regarding World Environment Day, which were also published on the Bank's Official Social Pages. On the 3rd day was launched a quiz via the e-learning platform. The first 5 winners of the quiz (selected considering the accuracy of answers and time of response) were invited to enjoy a dinner with our CEO, Mr. Alessandro D'Oria.

On October 5th, 2022, Intesa Sanpaolo Bank Albania welcomed its partners and clients in an event dedicated to business. During the event were presented **financial opportunities for Green Investments** mainly for investments in photovoltaic panels. The facilitating financial conditions of Intesa Sanpaolo Bank Albania have encouraged Albanian businesses towards Green Investments. Also, the Bank encourages local customers to invest in ecological residential buildings and promotes Financial Leasing for electric vehicles, as a better technology aiming at reducing carbon emissions and positively impacting the quality of life for everyone.

The Bank continued to support the UN International Days calendar for raising awareness on SDGs internally and externally through several campaigns. The Bank promoted several UN Days, such as **World Habitat Day,** etc.

Relationships with Shareholders

RELATIONSHIP WITH SHAREHOLDERS

Intesa Sanpaolo Bank Albania guarantees timely and transparent communication with its shareholders as well as with the financial community in general, with the intent of providing clear, complete and prompt information on the status of the Bank's implementation of strategies and the results it achieves. The Bank has established a specific relationship with its shareholders, based on transparency and full mutual trust. We act in such a way that the value of all shareholders' capital invested in Intesa Sanpaolo Bank Albania is protected and increased in a sustainable manner. We invest in enhancing this trust with information through different communication channels such as: the publication of the financial statements after each semester, annual reports and press releases in the Bank's website, keeping the continuous exchange and organizing frequent meetings with the Shareholders Assemblies in writing or in their physical presence. The Bank's capacity to generate constant growth in profitability is also determined by high liquidity, further improvement of the capital base, reduction of operating costs, rigorous and prudent provisioning policy as well as the continuous and careful crediting to support the economy.

RESPONSIBLE MANAGEMENT OF THE SUPPLY CHAIN

We believe that behavior based on listening and sharing ideas with our suppliers fosters the ongoing improvement of those relationships, reinforcing them and generating reciprocal values. Our attitude is based on trust that involves the suppliers in an active role and that leads them to promptly report problems that require the identification of a common solution. We believe that a clear and transparent attitude contributes to maintaining enduring relationships with our suppliers. We are convinced that integrity is a fundamental premise of these relationships. Our choice of suppliers is based on clear and proven criteria through objective and transparent procedures. We guarantee equal opportunity in the selection of suppliers and commercial partners, considering their compatibility with and capacity for the size and needs of our company. Intesa Sanpaolo Bank Albania criteria on supplier and technology selection are part of the process to have a better environment and energy efficiency equipment.

During 2021, ISPBA, as part of Intesa Group has been working for complementing the Group's centralized procurement project, with the principles of transparency and fairness declared in the Code of Ethics and aligning it with EU and ECB procurement directives.

Audited Financial Statements

INTESA SANPAOLO BANK ALBANIA SH.A.

Financial Statements
For the year ended 31 December 2022

(with independent auditors' report thereon)

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Building a better working world

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Intesa Sanpaolo Bank Albania sh.a

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Intesa Sanpaolo Bank Albania sh.a (the "Bank"), which comprise the statement of financial position as at 31 December 2022, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects the financial position of the Bank as at 31 December 2022 and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards ("IFRS").

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing ("ISA"). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the Bank in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code") and with Institute of Authorizes Chartered Auditors of Albania Code of Ethics ("IEKA Code"), together with the ethical requirements of the Law No. 10091, dated 5 March 2009 "On the statutory audit and the organization of the statutory auditors and chartered accountants professions", amended, that are relevant to our audit of the financial statements in Albania, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information included in Intesa Sanpaolo Bank Albania sh.a 2022 Annual Report

Other information consists of the information included in Bank's 2022 Annual Report, prepared in accordance with articles 17, 18 and 19 of the Law no. 25/2018 "For Accounting and Financial Statements", other than the financial statements and our auditor's report thereon. Management is responsible for the other information. The Bank's 2022 Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance of Intesa Sanpaolo Bank Albania sh.a regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Ernst & Young - Ekspert Kontabël i Autorizuar
Dega në Shqipëri
10 March, 2023
Tirana, Albania

Mario Vangjel
Certified Auditor

Intesa Sanpaolo Bank Albania sh.a.
Statement of financial position as at 31 December 2022
(in thousands of Lek)

Statement of financial position

	Notes	31 December 2022	31 December 2021
Assets			
Cash and cash equivalents	13	25,989,152	29,643,298
Loans and advances to banks	14	34,425,463	33,853,071
Investment securities	15	73,197,467	74,135,379
Loans and advances to customers	16	54,267,232	52,967,843
Current tax assets	36	154,092	290,395
Other assets	21	602,978	503,339
Investment property	20	502,498	533,798
Repossessed assets	22	275,759	359,008
Property and equipment	17	1,886,036	1,974,017
Right-of-use assets	18	515,150	469,669
Intangible assets	19	604,206	517,811
Deferred tax assets	25	376,559	422,933
Total Assets		**192,796,592**	**195,670,561**
Liabilities			
Due to banks	23	1,017,783	1,476,439
Due to customers	24	167,115,012	169,461,419
Lease liabilities	18	495,621	468,760
Other liabilities	27	1,322,464	1,182,077
Deferred tax liabilities	25	-	220,618
Provisions	26	481,071	534,549
Total Liabilities		**170,431,951**	**173,343,862**
Equity			
Share capital	28	5,562,518	5,562,518
Share premium	28	1,383,880	1,383,880
Reserves	29	5,557,574	6,771,573
Retained earnings		9,860,669	8,608,728
Total Equity		**22,364,641**	**22,326,699**
Total Liabilities and Equity		**192,796,592**	**195,670,561**

These financial statements have been approved by the Board of Directors of Intesa Sanpaolo Bank Albania sh.a. on 22 February 2023 and signed on its behalf by:

Alessandro D'oria
Chief Executive Officer

Julian Cela
Chief Financial Officer

INTESA SANPAOLO BANK
Albania
Rr. Ismail Qemali, Nr. 27, Tiranë
NIPT J91817006P

The Statement of financial position is to be read in conjunction with the accompanying notes on pages 6 to 78 forming an integral part of these financial statements.

Intesa Sanpaolo Bank Albania sh.a.
Statement of profit or loss and other comprehensive income for the year ended 31 December 2022
(in thousands of Lek)

Statement of profit or loss and other comprehensive income

	Notes	2022	2021
Interest income	30	4,595,107	4,231,527
Interest expense	30	(907,009)	(940,494)
Net interest income		**3,688,098**	**3,291,033**
Fee and commission income	31	1,443,864	1,284,068
Fee and commission expense	31	(488,998)	(411,077)
Net fee and commission income		**954,866**	**872,991**
Net other income	32	738,755	783,084
Other operating expenses	33	(486,876)	**(478,369)**
Operating income		**4,894,843**	**4,468,739**
Net impairment loss on financial assets	9 (v)	(161,956)	(983,890)
Impairment losses/write-backs to other financial activities	26	(28,354)	3,335
Write down to NRV of repossessed collaterals	22	(91,421)	(176,780)
Personnel expenses	34	(1,512,559)	(1,359,292)
Depreciation and amortization	17,18 19	(483,414)	(473,224)
Amortization of leasehold improvements	21	(17,422)	(15,516)
Impairment of Investment property	20	(31,300)	-
Other administration expenses	35	(1,096,348)	(960,105)
Provisions for risk and expenses	26	45,514	143,369
Total expenses		**(3,377,260)**	**(3,822,103)**
Net income before taxes		**1,517,583**	**646,636**
Income tax expense	36	(227,820)	(126,957)
Profit for the year		**1,289,763**	**519,679**
Other comprehensive income			
Items that are or may be reclassified subsequently to profit or loss			
Change in fair value of investment securities at FVOCI		(1,437,812)	302,714
Related tax		223,813	19,004
Items that will not be reclassified to profit or loss			
Change in revaluation of properties		-	-
Related tax		-	-
Other comprehensive income for the year, net of tax		**(1,213,999)**	**321,718**
Total comprehensive income for the year, net of tax		**75,764**	**841,397**

The Statement of profit or loss and other comprehensive income is to be read in conjunction with the accompanying notes on pages 6 to 78 forming an integral part of these financial statements.

Intesa Sanpaolo Bank Albania sh.a.
Statement of changes in equity for the year ended 31 December 2022
(in thousands of Lek)

Statement of changes in equity

	Share capital	Share premium	Legal and regulatory reserves	Fair value reserve	Revaluation reserve	Other capital reserve	Merger Reserve	Retained earnings	Total
Balance at 1 January 2022	**5,562,518**	**1,383,880**	**1,825,623**	**884,331**	**533,669**	**714,554**	**2,813,396**	**8,608,728**	**22,326,699**
Profit for the year	-	-	-	-	-	-	-	1,289,763	**1,289,763**
Other comprehensive income	-	-	-	-	-	-	-	-	-
Change in fair value of debt investment at FVOCI, net of income tax	-	-	-	(1,213,999)	-	-	-	-	(1,213,999)
hange in the Revaluation reserve	-	-	-	-	-	-	-		
Change in the DTA of FTA reserve	-	-	-	-	-	-	-	(37,882)	(37,822)
Total comprehensive income for the year	**-**	**-**	**-**	(1,213,999)	**-**	**-**	**-**	(37,882)	(1,354,341)
Transaction with owners, recorded directly in equity									
Dividends to equity holders	-	-	-	-	-	-	-	-	-
Total contributions by and distribution to owners									
Balance at 31 December 2022	**5,562,518**	**1,383,880**	**1,825,623**	**(329,668)**	**533,669**	**714,554**	**2,813,396**	**9,860,669**	**22,364,641**

The Statement of changes in equity is to be read in conjunction with the accompanying notes on pages 6 to 78 forming an integral part of these financial statements.

Statement of changes in equity

	Share capital	Share premium	Legal and regulatory reserves	Fair value reserve	Revaluation reserve	Other capital reserve	Merger Reserve	Retained earnings	Total
Balance at 1 January 2021	**5,562,518**	**1,383,880**	**1,825,623**	**562,613**	**533,669**	**714,554**	**2,813,396**	**9,802,219**	**23,198,472**
Profit for the year	-	-	-	-	-	-	-	519,679	519,679
Other comprehensive income									**-**
Change in fair value of debt investment at FVOCI, net of income tax	-	-	-	321,718	-	-	-	-	321,718
Change in the Revaluation reserve	-	-	-	-	-	-	-	-	-
Change in the DTA of FTA reserve	-	-	-	-	-	-	-	(11,295)	(11,295)
Total comprehensive income for the year	**-**	**-**	**-**	321,718	**-**	**-**	**-**	**(11,295)**	**310,423**
Transaction with owners, recorded directly in equity									**-**
Dividends to equity holders	-	-	-	-	-	-	-	(1,701,875)	(1,701,875)
Total contributions by and distribution to owners	**-**	**-**	**-**	**-**	**-**	**-**	**-**	(1,701,875)	(1,701,875)
Balance at 31 December 2021	**5,562,518**	**1,383,880**	**1,825,623**	**884,331**	**533,669**	**714,554**	**2,813,396**	**8,608,728**	**22,326,699**

The Statement of changes in equity is to be read in conjunction with the accompanying notes on pages 6 to 78 forming an integral part of these financial statements.

Intesa Sanpaolo Bank Albania sh.a.
Statement of cash flows for the year ended 31 December 2022
(in thousands of Lek)

Statement of cash flows

	Notes	2022	2021
Net profit for the year		**1,289,763**	**519,679**
Adjustments for:			
Depreciation and amortization	17,18,19	483,414	473,224
Impairment of investment property	20	31,300	-
Disposal of property and equipment and intangibles		(147,648)	116
Net impairment reversal on loans and advances to customers	9 (v)	161,956	1,140,004
Write down of inventory		145,694	276,651
Net interest income	30	(3,688,098)	(3,447,148)
Net impairment loss on off-balance sheet items	26	28,354	(3,335)
Tax expense	36	227,820	126,957
Changes in			
Loans and advances to banks		(572,393)	(7,131,343)
Loans and advances to customers		(1,593,213)	(3,183,213)
Due to banks		(458,656)	(796,987)
Due to customers		(2,324,156)	9,961,977
Inventory and other assets		28,492	530,782
Other liabilities and provisions		(242,633)	46,141
Deferred tax asset		(136,449)	131,932
Deferred tax liability		-	(92,855)
Interest received		4,726,975	4,301,674
Interest paid		(919,215)	(875,220)
Income taxes paid		(79,625)	(161,667)
Net cash from/(used) in operating activities		**(3,038,318)**	**1,817,369**
Cash flows from investing activities			
Acquisition of property and equipment	17	26,480	(217,004)
Acquisition of intangible assets	19	61,758	(184,516)
Net acquisitions of investments securities	15	(554,172)	(2,341,668)
Net cash used in investing activities		**(465,934)**	**(2,743,188)**
Cash flows from financing activities			
Dividend paid to shareholders	28	-	(1,701,875)
Repayment of lease liability	18	(149,894)	(161,202)
Net cash used in financing activities		**(149,894)**	**(1,863,077)**
Net increase in cash and cash equivalents		**(3,654,146)**	**(2,788,896)**
Cash and cash equivalents at 1 January	13	29,643,298	32,432,194
Cash and cash equivalents at 31 December	**13**	**25,989,152**	**29,643,298**

The Statement of cash flows is to be read in conjunction with the accompanying notes on pages 6 to 78 forming an integral part of these financial statements.

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2022
(in thousands of Lek, unless otherwise stated)

1. Reporting entity

Intesa Sanpaolo Bank Albania Sh.a, (the "Bank"), is a financial institution domiciled in Albania as joint stock company and involved primarily in corporate and retail banking. The Bank's registered office is at "Ismail Qemali" street, no. 27, and operates through a network of 35 branches and agencies, located in different cities of Albania: Tirana, Durres, Vlora, Elbasan, Fier, Berat, Gjirokastra, Korca, Lushnja, Shkoder, Lezhe, Kavaje (2021: 35 branches and agencies). The Bank had 701 employees as at 31 December 2022 (2021: 659).

2. Basis of accounting

These financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) as issued by the International Accounting Standards Board (IASB). They were authorized for issue by Management 22 February 2023 for approval by the Board of Directors.

3. Basis of measurement

The financial statements are prepared on a historical cost basis except for financial assets at FVOCI, investment properties and own used properties, which are stated at fair value and inventory of repossessed collaterals which is measured at the lower of cost and net realizable.

4. Presentation of financial statements

The Bank presents its statement of financial position in order of liquidity based on the Bank's intention and perceived ability to recover/settle the majority of assets/liabilities of the corresponding financial statement line item. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in Note 12.

5. Functional and presentation currency

The financial statements are presented in Lek, which is the Bank's functional and presentation currency. Except as indicated otherwise, financial information presented in Lek has been rounded to the nearest thousand.

6. Going Concern

The Bank's management has assessed its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt on the Bank's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

7. Use of estimates and judgments

In preparing these financial statements, management has made judgements, estimates and assumptions that affect the application of the Bank's accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates from the review are recognized prospectively.

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2022
(in thousands of Lek, unless otherwise stated)

7. Use of estimates and judgments (continued)

A. Judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognized in the financial statements is included in the following notes.

-Note 9.(a): establishing the criteria for determining whether credit risk on the financial asset has increased significantly since initial recognition, determining methodology for incorporating forward-looking information into measurement of ECL and selection and approval of models used to measure ECL.

-Note 9.(f).(ii): classification of financial assets: assessment of the business model within which the assets are held and assessment of whether the contractual terms of the financial asset are SPPI on the principal amount outstanding.

B. Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ended 31 December 2022 is included in the following notes.

-Note 9.(a): impairment of financial instruments: determining inputs into the ECL impairment model, including key assumptions used in estimating recoverable cash flows and incorporation of forward-looking information

-Note 9.(g): determination of the fair value of financial instruments and non-financial assets with significant unobservable inputs

-Note 8.(e).(ii): recognition of deferred tax assets

-Note 8.(r): recognition and measurement of contingencies: key assumption about the likelihood and magnitude of an outflow of resources

-Note 8.(n): net realizable value of inventory: fair value measurement with significant unobservable inputs.

8. Significant accounting policies

The accounting policies set out below have been consistently applied to all periods presented in these financial statements by the Bank.

(a) Foreign currency

Transactions in foreign currencies are translated into the functional currency at the spot exchange rates at the date of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the functional currency at the spot exchange rate at that date. The foreign currency gain or loss on monetary items is the difference between amortized cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year, and the amortized cost in foreign currency translated at the spot exchange rate at the end of the year. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the spot exchange rate at the date that the fair value was determined.

Non-monetary items that are measured based on historical cost in a foreign currency are translated using the spot exchange rate at the date of the transaction. Foreign currency differences arising on retranslation are generally recognized in profit or loss. Foreign currency differences arising from retranslation of transactions with owners are recorded directly in equity.

Effective Interest rate

Interest income and expense are recognized in profit or loss using the effective interest method. The ‘effective interest rate’ is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to

- The gross carrying amount of the financial asset; or
- The amortized cost of the financial liability

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2022
(in thousands of Lek, unless otherwise stated)

8. Significant accounting policies (continued)

(b) Interest

When calculating the effective interest rate for financial instruments other than purchased or originated credit-impaired assets, the Bank estimates future cash flows considering all contractual terms of the financial instrument, but not ECL. For purchased or originated credit-impaired financial assets, a credit-adjusted effective interest rate is calculated using estimated future cash flows including ECL. The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

Amortized cost and gross carrying amount

The 'amortized cost' of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance. The 'gross carrying amount of a financial asset' is the amortized cost of a financial asset before adjusting for any expected credit loss allowance.

Calculation of interest income and expense

The effective interest rate of a financial asset or financial liability is calculated on initial recognition of a financial asset or a financial liability. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortized cost of the liability. The effective interest rate is revised as a result of periodic re-estimation of cash flows of floating rate instruments to reflect movements in market rates of interest.

However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortized cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted effective interest rate to the amortized cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

For information on when financial assets are credit-impaired, see Note 8.(f)(vi).

Presentation

Interest income calculated using the effective interest method presented in the statement of profit or loss and OCI includes:

- interest on financial assets and financial liabilities measured at amortized cost;
- interest on debt instruments measured at FVOCI;
- Other interest income presented in the statement of profit or loss includes interest income on lease receivables.

Interest expense presented in the statement of profit or loss include interest expense from financial liabilities measured at amortized cost.

(c) Fees and commissions

Fees, commission income and expense that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate (see Note 8.(c)).

A contract with a customer that results in a recognized financial instrument in the Bank's financial statements may be partially in the scope of IFRS 9 and partially in the scope of IFRS 15. If this is the case, then the Bank first applies IFRS 9 to separate and measure the part of the contract that is in the scope of IFRS 9 and then applies IFRS 15 to the residual.

8. Significant accounting policies (continued)

(c) Fees and commissions (continued)

The Bank earns fee and commission income from a diverse range of services it provides to its customers. Fee and commission income is recognized at an amount that reflects the consideration to which the Bank expects to be entitled in exchange for providing the services. The performance obligations, as well as the timing of their satisfaction, are identified, and determined, at the inception of the contract. The Bank's revenue contracts do not include multiple performance obligations, as explained further in the notes below.

When the Bank provides a service to its customers, consideration is invoiced and generally due immediately upon satisfaction of a service provided at a point in time or at the end of the contract period for a service provided over time.

The Bank has generally concluded that it is the principal in its revenue arrangements because it typically controls the services before transferring them to the customer.

i. Fee income earned from services that are provided over a certain period of time

Fees and commission earned for the provision of services over a period of time are accrued over that period. These fees include commission income, including collection and payment, account servicing fees, investment management fees, and guarantees fees.

ii. Fee income from providing financial services and earned at a point in time

Fees and commissions arising from negotiating or participating in the negotiation of a transaction with a third party, such as other fees and commission expense relating mainly to transaction and service fees including ATM and POS fees, advance liquidation of credit lines, are recognized on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognized after fulfilling the corresponding criteria.

(d) Leases

At inception of a contract, the Bank assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration

i. Bank acting as a lessee

At commencement or on modification of a contract that contains a lease component, the Bank allocates consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for leases of branches and offices premises the Bank has elected not to separate non-lease components and accounts for the lease and non-lease components as a single lease component.

The Bank recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove any improvements made to branches or office premises.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Bank's incremental borrowing rate. Generally, the Bank uses its incremental borrowing rate as the discount rate.

The Bank determines its incremental borrowing rate by analyzing its borrowings from various external sources and makes certain adjustments to reflect the terms of the lease and type of asset leased.

8. Significant accounting policies (continued)

(d) Leases (continued)

i. Bank acting as a lessee (continued)

Lease payment included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index of rate as the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Bank is reasonably certain to exercise, lease payments in an optional renewal period if the Bank is reasonably to exercise an extension option, and penalties for early termination of a lease unless the Bank is reasonably certain not to terminate early.

The lease liability is measured at amortized cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is change in the Bank's estimate of the amount expected to payable under a residual value guarantee, if the Bank changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset is reduced to zero.

The Bank presents right-of-use assets in and lease liabilities in separate lines in the face of statement of financial position. The Bank has elected not to recognize right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Bank recognizes the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

ii. Bank acting as a lessor

At inception or on modification of a contract that contains a lease component, the Bank allocates the consideration in the contract to each lease component on the basis of their relative stand-alone selling prices. When the Bank acts as a lessor, it determines at lease inception whether the lease is a financial lease or an operating lease.

To classify each lease, the Bank makes an overall assessment of whether the lease transfers substantially all the risks and rewards incidental to ownership of the underlying lease. As part of this assessment, the Bank considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Bank applies the derecognition and impairment requirements in IFRS 9 to the net investment in the lease. The Bank further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

(e) Income Tax

Income tax expense comprises current and deferred tax. It is recognized in profit or loss except to the extent that it relates to items recognized directly in equity or in OCI. Interest and penalties related to income taxes, including uncertain tax treatments, are accounted for under IAS 37 Provisions, Contingent Liabilities and Contingent Assets.

(i) Current Tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted at the reporting date. Current tax assets and liabilities are offset only if certain criteria are met.

8. Significant accounting policies (continued)

(e) Income Tax (continued)

(ii) Deferred Tax

Deferred tax is recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax assets are recognized for unused tax losses and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Future taxable profits are determined based on the reversal of relevant taxable temporary differences. If the amount of taxable temporary differences is insufficient to recognize a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on the business plans. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized; such reductions are reversed when the probability of future taxable profits improves.

Unrecognized deferred tax assets are reassessed at each reporting date and recognized to the extent that it has become probable that future taxable profits will be available against which they can be used. Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date. The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Bank expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

(f) Financial assets and financial liabilities

(i) Recognition and initial measurement

Loans and advances to customers are recognized when funds are transferred to the customers' accounts. The Bank recognizes balances due to customers when funds are transferred to the Bank. Nostro transactions are recognized when the transaction is settled and cleared internally. All other financial instruments (including regular-way purchases and sales of financial assets) are initially recognized on the trade date on which the Bank becomes a party to the contractual provisions of the instrument.

A financial asset or financial liability is measured initially at fair value plus, for an item not at fair value through profit and loss, transaction costs that are directly attributable to its acquisition or issue.

(ii) Classification

On initial recognition, the Bank classified a financial asset as measured at amortized cost, FVOCI or FVTPL.

A financial asset is measured at amortized cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows (Hold to collect mode);
- the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI.

A financial asset is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets (Hold to collect and sell model);
- the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI.

On initial recognition of an equity investment that is not held for trading, the Bank may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an investment-by-investment basis.

All other financial assets are classified as measured at FVTPL.

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2022
(in thousands of Lek, unless otherwise stated)

8. Significant accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(ii) Classification (continued)

In addition, on initial recognition, the Bank may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortized cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Business model assessment

The Bank assesses the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management.

The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Bank's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and its strategy for how those risks are managed;
- how managers of the business are compensated (e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected);
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Bank stated objective for managing the financial assets is achieved and how cash flows are realized.

Financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Assessment of whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In assessing whether the contractual cash flows are SPPI, the Bank considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Bank considers:

- contingent events that would change the amount and timing of cash flows; - leverage features;
- prepayment and extension terms;
- terms that limit the Bank's claim to cash flows from specified assets (e.g. non-recourse loans);
- and features that modify consideration of the time value of money (e.g. periodical reset of interest rates).

Reclassifications

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Bank changes its business model for managing financial assets.

Financial liabilities

The Bank classifies its financial liabilities as other financial liabilities, subsequently measured at amortized cost. See notes 8.(p), (q).

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8. Significant accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(iii) De-recognition

Financial Assets

The Bank derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Bank neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognized) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognized in other comprehensive income is recognized in profit or loss. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Bank is recognized as a separate asset or liability.

The Bank enters into transactions whereby it transfers assets recognized on its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such cases, the transferred assets are not derecognized. Examples of such transactions are securities lending and sale and repurchase transactions.

In transactions in which the Bank neither retains nor transfers substantially all of the risks and rewards of ownership of a financial asset and it retains control over the asset, the Bank continues to recognize the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

Financial liabilities

The Bank derecognizes a financial liability when its contractual obligations are discharged, cancelled or expire.

(iv) Modification of financial assets and financial liabilities

Financial assets

If the terms of a financial asset are modified, then the Bank evaluates whether the cash flows of the modified asset are substantially different.

If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognized (see (iii)) and a new financial asset is recognized at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows:

- fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and
- other fees are included in profit or loss as part of the gain or loss on derecognition.

If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximize recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the Bank plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place (see below for write-off policy). This approach impacts the result of the quantitative evaluation and means that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortized cost or FVOCI does not result in derecognition of the financial asset, then the Bank first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognizes the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification.

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8. Significant accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(iv) Modification of financial assets and financial liabilities (continued)

Financial assets (continued)

Any costs or fees incurred and fees received as part of the modification adjust the gross carrying amount of the modified financial asset and are amortized over the remaining term of the modified financial asset.

If such a modification is carried out because of financial difficulties of the borrower (see Note 8.f.(vi)), then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income calculated using the effective interest rate method (see Note 8 (b)).

Financial liabilities

The Bank derecognizes a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognized at fair value. The difference between the carrying amount of the financial liability derecognized and consideration paid is recognized in profit or loss. Consideration paid includes non-financial assets transferred, if any, and the assumption of liabilities, including the new modified financial liability.

If the modification of a financial liability is not accounted for as derecognition, then the amortized cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognized in profit or loss. For floating-rate financial liabilities, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs and fees incurred are recognized as an adjustment to the carrying amount of the liability and amortized over the remaining term of the modified financial liability by re-computing the effective interest rate on the instrument.

(v) Off-setting

Financial assets and liabilities are offset, and the net amount is presented in the statement of financial position when, and only when, the Bank has a legal right to offset the amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from Bank's similar transactions such as in the trading activity.

(vi) Impairment

The Bank recognizes loss allowances for ECL on the following financial instruments that are not measured at FVTPL:

- financial assets that are debt instruments;
- financial guarantee contracts issued; and
- loan commitments issued.

The Bank measures loss allowances at an amount equal to lifetime ECL, except for the following, for which they are measured as 12-month ECL:

- debt investment securities that are determined to have low credit risk at the reporting date; and
- other financial instruments on which credit risk has not increased significantly since their initial recognition.

The Bank considers a debt investment security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'. The Bank does not apply the low credit risk exemption to any other financial instruments.

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8. Significant accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(vi) Impairment (continued)

12-month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Financial instruments for which a 12-month ECL is recognized are referred to as 'Stage 1 financial instruments.

Life-time ECL are the ECL that result from all possible default events over the expected life of the financial instrument. Financial instruments for which a lifetime ECL is recognized but which are not credit-impaired are referred to as 'Stage 2 financial instruments.

Measurement of ECL

ECL are a probability-weighted estimate of credit losses. They are measured as follows:

- *financial assets that are not credit-impaired at the reporting date*: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Bank expects to receive);
- *financial assets that are credit-impaired at the reporting date*: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- *undrawn loan commitments*: as the present value of the difference between the contractual cash flows that are due to the Bank if the commitment is drawn down and the cash flows that the Bank expects to receive; and
- *cash and deposits*: are measured as 12-month ECLs which represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Due to the maturity of less than 12 months then the 12-month ECLs are the credit losses expected over the period to maturity.
- *financial guarantee contracts*: the expected payments to reimburse the holder less any amounts that the Bank expects to recover.

See also Note 9(a).

Credit-impaired financial assets

At each reporting date, the Bank assesses whether financial assets carried at amortized cost and debt financial assets carried at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- the restructuring of a loan or advance by the Bank on terms that the Bank would not consider otherwise;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganization; or

A loan that has been renegotiated due to a deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment.

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8. Significant accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(vi) Impairment (continued)

In assessing whether an investment in sovereign debt is credit-impaired, the Bank considers the following factors:

- The market's assessment of creditworthiness as reflected in the bond yields.
- The rating agencies' assessments of creditworthiness.
- The country's ability to access the capital markets for new debt issuance.
- The probability of debt being restructured, resulting in holders suffering losses through voluntary or mandatory debt forgiveness.
- The international support mechanisms in place to provide the necessary support as 'lender of last resort' to that country, as well as the intention, reflected in public statements, of governments and agencies to use those mechanisms. This includes an assessment of the depth of those mechanisms and, irrespective of the political intent, whether there is the capacity to fulfil the required criteria.
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- *financial assets measured at amortized cost*: as a deduction from the gross carrying amount of the assets;
- *loan commitments and financial guarantee contracts*: generally, as a provision;
- *where a financial instrument includes both a drawn and an undrawn component, and the Bank cannot identify the ECL on the loan commitment component separately from those on the drawn component*: the Bank presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision; *and*
- *debt instruments measured at FVOCI*: no loss allowance is recognized in the statement of financial position because the carrying amount of these assets is their fair value. However, the loss allowance is disclosed and is recognized against the fair value reserve.

Write-off

Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Bank determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level. Recoveries of amounts previously written off are included in 'impairment losses on financial instruments' in the statement of profit or loss and OCI.

Financial assets that are written off could still be subject to enforcement activities in order to comply with the Bank's procedures for recovery of amounts due.

The contractual amount outstanding on financial assets that were written off by the Bank as at 31 December 2022 and that were still subject to enforcement activity was LEK 269,469 thousand (2021: 548,218 thousand).

(g) Fair value measurement

The bank measures financial instruments such as FVOCI, and non-financial assets such as investment properties and buildings (part of property and equipment), at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk.

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8. Significant accounting policies (continued)

(g) Fair value measurement (continued)

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Bank uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would consider in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e. the fair value of the consideration given or received.

If the Bank determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognized in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is entirely supported by observable market data or the transaction is closed out.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements at fair value on a recurring basis, the Group determines and recognize whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

External valuers are involved for valuation of investment properties and buildings. Involvement of external valuers is determined by the Parent Bank.

Fair-value related disclosures for financial instruments and non-financial assets that are measured at fair value or where fair values are disclosed, are summarized in the notes 10 and 11.

(h) Cash and cash equivalents

'Cash and cash equivalents' include notes and coins on hand, balances with banks, unrestricted balances held with central banks and highly liquid financial assets with original maturities of less than three months, which are subject to insignificant risk of changes in their fair value, and are used by the Bank in the management of its short-term commitments. Cash and cash equivalents are carried at amortized cost in the statement of financial position.

8. Significant accounting policies (continued)

(i) Loans and advances

Loans and advances captions in the statement of financial position include loans and advances measured at amortized cost. They are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortized cost using the effective interest method.

When the Bank purchases a financial asset and simultaneously enters into an agreement to resell the asset (or a substantially similar asset) at a fixed price on a future date (reverse repo or stock borrowing), the arrangement is accounted for as a loan or advance, and the underlying asset is not recognized in the Bank's financial statements.

(j) Investment securities

The "investment securities" caption in the statement of financial position includes

- debt investment securities measured at amortized cost (see f (ii)); these are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortized cost using the effective interest method;
- debt securities measured at FVOCI;

For debt securities measured at FVOCI, gains and losses are recognized in OCI, except for the following, which are recognized in profit or loss in the same manner as for financial assets measured at amortized cost:

- Interest revenue using the effective interest method
- ECL and reversals, and
- Foreign exchange gains and losses

When debt security measured at FVOCI is derecognized, the cumulative gain or loss previously recognized in OCI is reclassified from equity to profit or loss.

(k) Property and equipment

(i) Recognition and measurement

Equipment are measured at cost less accumulated depreciation and any accumulated impairment losses. Property are measured at revalued amounts, being the fair value at the date of revaluation less accumulated depreciation and any accumulated impairment losses. If significant parts of an item of property or equipment have different useful lives, then they are accounted for as separate items (major components) of property and equipment. Any gain or loss on disposal of an item of property and equipment is recognized within other income in profit or loss.

(ii) Subsequent costs

Subsequent expenditure is capitalized only when it is probable that the future economic benefits of the expenditure will flow to the Bank. Ongoing repairs and maintenance are expensed as incurred.

(iii) Depreciation

Depreciation is calculated to write off the cost of items of property and equipment less their estimated residual values using the straight-line method over their estimated useful lives, and is generally recognized in profit or loss. Land and art works are not depreciated.

The estimated useful live for the current and comparative periods are as follows:

	2022	2021
• Buildings	20-33 years	20-33 years
• IT and Electrical Equipment	4 to 8 years	4 to 8 years
• Furniture	3 to 10 years	3 to 10 years
• Other non-electrical assets	5 years	5 years

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8. Significant accounting policies (continued)

(l) Intangible assets

Software, licenses and trademarks compose intangible assets and are stated at cost less accumulated amortization. Subsequent expenditure on intangible assets is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred. Amortization is charged on a straight-line basis in profit or loss over the estimated useful lives, from the date that it is available for use. The estimated useful lives for the current and comparative periods are as follows:

	2022	2021
• Software	5 years	5 years
• Licenses and trademarks	10 years	10 years

(m) Investment property

Investment property is initially measured at cost and subsequently at fair value, with any change therein recognized in profit or loss within other income. Any gain or loss on disposal of investment property (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognized in profit or loss.

When the use of a property changes such that it is reclassified as property and equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting.

(n) Repossessed collateral

Repossessed collateral comprises assets acquired through enforcement of security over non-performing loans and advances to customers which do not earn rental and are not used by the Bank and are intended for disposal in a reasonably short period of time, without significant restructuring. Repossessed assets are measured at the lower of cost and net realizable value and any write-down is recognized in the profit or loss.

(o) Impairment of non-financial assets

At each reporting date, the Bank reviews the carrying amount of its non-financial assets (other than inventory and deferred tax assets) to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognized if the carrying amount of an asset exceeds its recoverable amount. The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate which reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in profit or loss. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

(p) Deposits

Deposits are the Bank's sources of debt funding. Deposits are initially measured at fair value plus directly attributable transaction costs, and subsequently measured at their amortized cost using the effective interest method.

When the Bank sells a financial asset and simultaneously enters into an agreement to repurchase the asset (or a similar asset) at a fixed price on a future date ("repo" or "stock lending"), the arrangement is accounted for as a deposit, and the underlying asset continues to be recognized in the Bank's financial statements.

(q) Provisions

A provision is recognized if, as a result of a past event, the Bank has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money, and where appropriate, the risks specific to the liability.

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8. Significant accounting policies (continued)

(q) Provisions (continued)

A provision for bank levies is recognized when the condition that triggers the payment of the levy is met. If a levy obligation is subject to a minimum activity threshold so that the obligating event is reaching a minimum activity, then a provision is recognized when that minimum activity threshold is reached.

A provision for restructuring is recognized when the Bank has approved a detailed and formal restructuring plan, and the restructuring either has commenced or has been announced publicly. Future operating losses are not provided for.

(r) Financial guarantees and loan commitments

Financial guarantees are contracts that require the Bank to make specified payments to reimburse the holder for a loss that it incurs because a specified debtor fails to make payment when it is due in accordance with the terms of a debt instrument. Loan commitments are firm commitments to provide credit under pre-specified terms and conditions.

Financial guarantees issued or commitments to provide a loan at a below-market interest rate are initially measured at fair value. Subsequently, they are measured as follows:

- at the higher of the loss allowance determined in accordance with IFRS 9 and the amount initially recognized less, when appropriate, the cumulative amount of income recognized in accordance with the principles of IFRS 15.
- the Bank recognizes a loss allowance

Liabilities arising from financial guarantees and loan commitments are included within provisions.

(s) Employee benefits

(i) Defined contribution plans

The Bank makes only compulsory social security contributions that provide pension benefits for employees upon retirement. In Albania, the local authorities are responsible for providing the legally set minimum threshold for pensions under a defined contribution pension plan. The Bank's contributions to the benefit pension plan are expensed in profit or loss as incurred.

(ii) Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A provision is recognized for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Bank has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(t) Changes in accounting policy and disclosures

- **New and amended standards and interpretations.**

The Bank has not early adopted any new standards, interpretation or amendments that have been issued but are not yet effective in these financial statements.

Other amendments and interpretations apply for the first time in 2022, but do not have an impact on the Bank's financial statements.

The following amendments are effective for the periods after 31 December 2022 and are not expected to have a material impact on the Bank.

- **IAS 1 Presentation of Financial Statements and IFRS Practice Statement 2: Disclosure of Accounting policies (Amendments).** The amendment introduces new guidance on application of materiality concept and in particular amends the requirement to disclose material accounting policies in place of current requirement to disclose significant accounting policies. The amendment may lead to removal of disclosure of non material accounting policies.

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8. Significant accounting policies (continued)

(t) Changes in accounting policy and disclosures (continued)

- **New and amended standards and interpretations (continued)**

- **IAS 8 Accounting policies, Changes in Accounting Estimates and Errors: Definition of Accounting Estimates (Amendments).** The amendments become effective for annual reporting periods beginning on or after January 1, 2023 with earlier application permitted and apply to changes in accounting policies and changes in accounting estimates that occur on or after the start of that period. The amendments introduce a new definition of accounting estimates, defined as monetary amounts in financial statements that are subject to measurement uncertainty, if they do not result from a correction of prior period error. Also, the amendments clarify what changes in accounting estimates are and how these differ from changes in accounting policies and corrections of errors. The effect of these amendments are subject to the nature of future changes in policies and estimates.

- **IAS 12 Income taxes: Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments)** The amendments are effective for annual periods beginning on or after January 1, 2023 with earlier application permitted. The amendments narrow the scope of and provide further clarity on the initial recognition exception under IAS 12 and specify how companies should account for deferred tax related to assets and liabilities arising from a single transaction, such as leases and decommissioning obligations. The amendments clarify that where payments that settle a liability are deductible for tax purposes, it is a matter of judgement, having considered the applicable tax law, whether such deductions are attributable for tax purposes to the liability or to the related asset component. Under the amendments, the initial recognition exception does not apply to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences. It only applies if the recognition of a lease asset and lease liability (or decommissioning liability and decommissioning asset component) give rise to taxable and deductible temporary differences that are not equal. The amendment may have an impact on lease accounting by the bank where the recognition of lease liability and right of use assets typically give rise to temporary differences that are almost equal.

- **IAS 1 Presentation of Financial Statements: Classification of Liabilities as Current or Non-current (Amendments).** The amendment has introduced certain clarifications related to classification in cases of rights to defer settlement or compliance with covenants. The Bank presents its assets and liabilities in order of liquidity however it does provide current vs non current disclosures in the notes. As a result the impact of the amendment is expected to be limited.

- **IFRS 16 Leases: Lease Liability in a Sale and Leaseback (amendments),** No impact is expected from the amendment as the Bank rarely enters in such transactions.

- **Amendment in IFRS 10 Consolidated Financial Statements and IAS 28 Investments in Associates and Joint Ventures: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture.** These standards do not apply to the Bank as it has no consolidated financial statements nor any investments in associates.

9. Financial Risk Management

The Bank is exposed to the following risks from financial instruments:

a. credit risk
b. liquidity risk
c. market risk
d. operational risk

This note presents information about the Bank's exposure to each of the above risks, the Bank's objectives, policies and processes for measuring and managing risk, and the Bank's management of capital.

Risk management framework

The Board of Directors of the Bank has overall responsibility for the establishment and oversight of the Bank's risk management framework. The Board has established the Bank's Governance Committees (Executive Directors Committee, Credit Committee, Asset Liability Committee, Operational Risk Committee, Credit Risk Governance Committee, Problematic Loans Committee and other committees) that have the authority for decision-making in their specified areas.

Risk Management Division is responsible for developing and monitoring the Bank's risk management policies in these areas. All the Bank's committees have both executive and non-executive members and report regularly to the Board of Directors on their activities. The Bank's risk management policies are established to identify and analyze the risks faced by the Bank, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered.

(a) Credit Risk

In the normal course of its business, the Bank is exposed to credit risk on its loans and advances to customers and financial institutions, investment securities and other off-balance-sheet items. Credit risk is the risk of financial loss to the Bank if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Bank's loans and advances to customers, debt securities, on funds with other financial institutions and other off-balance sheet items. For risk management reporting purposes, the Bank considers and consolidates all elements of credit risk exposure (such as individual obligor default risk, country and sector risk). The Bank manages its exposure to credit risk on a regular basis by closely monitoring credit limits, its loan portfolio and concentration of exposure.

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9. Financial Risk Management (continued)

(a) Credit Risk

(i) Management of credit risk

The Board of Directors has delegated responsibility for decision-making to Committees in Credit Area. The Risk Management Division, reporting to the CEO, is responsible for the oversight and management of the Bank's credit risk, including:

- *Formulating credit policies* in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.
- *Reviewing and assessing credit risk*. The Bank's Underwriting Department assesses all credit exposures, before facilities are committed to customers by the Bank. Renewals and reviews of facilities are subject to the same review process.
- *Limiting concentrations of exposure* to counterparties, geographies and industries (for loans and advances), and by issuer, credit rating band, market liquidity and country (for investment securities).
- *Developing and maintaining the Bank's risk classifications* in order to categorize exposures according to the degree of risk of financial loss faced and to focus management on the attendant risks. The risk classification is used in determining where impairment may be required against specific credit exposures.

According to the Bank's methodology, all exposures are classified between Performing (including Stage 1 and Stage 2) and Non- Performing exposures (Stage 3-including Past Due, Unlikely to Pay "UTP" and Doubtful). The bank classifies the performing portfolio in two clusters Stage 1 and Stage 2 based on a set of rules harmonized with the guidelines of Intesa Sanpaolo Group, driven by the signs of deterioration of the exposure as per below specifications:

Stage 1	Stage 2	Stage 3
• Performing exposures without days past due • Performing exposures with less than 30 days past due • Intragroup transactions	• Performing exposures with more than 30 days past due • Forborne performing exposures • Performing exposures showing Early Warning signals (orange, red and light blue) and PCM. • Low default portfolio based on residual maturity and specific criteria as per group thresholds	• Exposures with more than 90 days past due under New DoD rules • Past Due in Probation Period • Unlikely to Pay • UTP in Probation Period • Doubtful • Forborne Non performing NPV test>1% in case of distressed restructuring

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(i) Management of credit risk (continued)

- *Developing and maintaining the Bank's risk classifications* (continued) The Non-Performing portfolio is classified by analyzing the exposures also based on a set of rules harmonized with the guidelines of Intesa Sanpaolo Group. These rules include objective evidence being: breach of contract (such as default or delinquency in interest or principal payments); significant financial difficulty of the borrower; and other significant adverse financial information relating to the customer.
- *Reviewing compliance* of business units with agreed exposure limits, including those for selected industries and product types. Detailed analyses are provided monthly to the Problem Assets Committee on the credit quality of customer exposures and specific actions are proposed.
- *Providing advice, guidance and specialist skills* to business units to promote best practice throughout the Bank in the management of credit risk.

(ii) Maximum Exposure to Credit Risk

The following table shows the current maximum exposure to credit risk for the applicable components of statement of financial position:

	Maximum Exposure	
	31 December 2022	**31 December 2021**
Cash and cash equivalents (excluding cash on hand)	24,469,273	28,121,532
Loans and advances to banks	34,425,463	33,853,071
Investment securities	73,197,467	74,135,379
Loans and advances to customers	54,267,232	52,967,843
Sundry debtors	26,964	42,076
Total on-balance-sheet risk	**186,386,399**	**189,119,901**
Undrawn credit commitments	9,659,518	5,887,122
Letters of credit	17,728	77,238
Guarantees in favor of customers	5,779,750	4,823,168
Total credit related commitments	**15,456,996**	**10,787,528**
Total Credit Risk Exposure	**201,843,395**	**199,907,429**

The balances are presented net of ECL. Where financial assets are recorded at fair value, the amounts shown represent the current credit risk exposure, but not the maximum risk exposure that could arise in the future as a result of changes in values. The Bank makes available to its customers guarantees which may require that the Bank makes payments on their behalf and enters into commitments to extend credit lines to secure their liquidity needs. Letters of credit and guarantees commit the Bank to make payments on behalf of customers in the event of a specific act or event, generally related to the import or export of goods, and payment and performance guarantees.

Such commitments expose the Bank to similar credit risks, which are mitigated by the same control processes and policies. Every month, the Bank assesses the credit related commitments for impairment. Amounts subject to individual impairment assessment are non-cancellable commitments granted to non-performing customers or customers with restructured credit facilities.

In the commitments are included bank guarantees counter guaranteed by the Parent Bank amounting ALL 1,006 million (2021: ALL 912 million) assessed with no credit risk, excluded from the disclosures in the note 9(a)(v) below.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets

The following table sets out information about the credit quality of financial assets measured at amortized cost and FVOCI debt investments. Unless specifically indicated, for financial assets, the amounts in the table represent gross carrying amounts. For loan commitments and financial guarantee contracts, the amounts in the table represent the amounts committed or guaranteed, respectively. Explanation of the terms 'Stage 1', 'Stage 2' and 'Stage 3' is included in Note 9(a)(i).

				31 December 2022
	Stage 1	Stage 2	Stage 3	Total
Loans and advances to customers				
Performing	52,740,481	1,805,415	-	**54,545,896**
Past Due	-	-	57,266	**57,266**
Unlikely to Pay	-	-	977,000	**977,000**
Doubtful	-	-	651,620	**651,620**
Total	**52,740,481**	**1,805,415**	**1,685,886**	**56,231,782**
Loss allowance	**718,002**	**364,635**	**881,913**	**1,964,550**
Carrying amount	**52,022,479**	**1,440,780**	**803,973**	**54,267,232**

				31 December 2021
	Stage 1	Stage 2	Stage 3	Total
Loans and advances to customers				
Performing	50,960,371	1,901,218	-	52,861,589
Past Due	-	-	29,172	29,172
Unlikely to Pay	-	-	1,000,079	1,000,079
Doubtful	-	-	1,091,034	1,091,034
Total	**50,960,371**	**1,901,218**	**2,120,285**	**54,981,874**
Loss allowance	**565,290**	**326,592**	**1,122,149**	**2,014,031**
Carrying amount	**50,395,081**	**1,574,626**	**998,136**	**52,967,843**

				31 December 2022
	Stage 1	Stage 2	Stage3	Total
Financial guarantee and commitment				
Performing	14,381,664	63,035	-	**14,444,699**
Past Due	-	-	29	**29**
Unlikely to Pay	-	-	1,663	**1,663**
Doubtful	-	-	4,485	**4,485**
Total	**14,381,664**	**63,035**	**6,177**	**14,450,876**
Loss allowance	**52,112**	**11,053**	**6,163**	**69,328**
Carrying amount	**14,329,552**	**51,982**	**14**	**14,381,548**

				31 December 2021
	Stage 1	Stage 2	Stage3	Total
Financial guarantee and commitment				
Performing	9,842,804	1,043	-	**9,843,847**
Past Due	-	-	85	**85**
Unlikely to Pay	-	-	720	**720**
Doubtful	-	-	5,033	**5,033**
Total	**9,842,804**	**1,043**	**5,838**	**9,849,685**
Loss allowance	**37,561**	**91**	**5,523**	**43,175**
Carrying amount	**9,805,243**	**952**	**315**	**9,806,510**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets (continued)

				31 December 2022
PD Range	**Stage 1**	**Stage 2**	**Stage3**	**Total**
Loans and advances to customers				
0%-0.05%	31,468	-	-	**31,468**
0.05% -11.70%	52,418,948	962,201	-	**53,381,149**
11.70%-29.50%	290,065	-	-	**290,065**
29.50%-99.99%	-	843,214	-	**843,214**
100%	-	-	1,685,886	**1,685,886**
Total	**52,740,481**	**1,805,415**	**1,685,886**	**56,231,782**
Loss allowance	**718,002**	**364,635**	**881,913**	**1,964,550**
Carrying amount	**52,022,479**	**1,440,780**	**803,973**	**54,267,232**

				31 December 2021
PD Range	**Stage 1**	**Stage 2**	**Stage3**	**Total**
Loans and advances to customers				
0%-0.05%	-	-	-	**-**
0.05% -11.70%	50,676,763	1,129,921	-	**51,806,684**
11.70%-29.50%	283,608	-	-	**283,608**
29.50%-99.99%	-	771,297	-	**771,297**
100%	-	-	2,120,285	**2,120,285**
Total	**50,960,371**	**1,901,218**	**2,120,285**	**54,981,874**
Loss allowance	**565,290**	**326,592**	**1,122,149**	**2,014,031**
Carrying amount	**50,395,081**	**1,574,626**	**998,136**	**52,967,843**

				31 December 2022
	Stage 1	**Stage 2**	**Stage3**	**Total**
Loans and advances to banks*				
Performing	32,996,075	362,475	-	**33,358,550**
Total	**32,996,075**	**362,475**	**-**	**33,358,550**
Loss allowance	**2,094**	**29**	**-**	**2,123**
Carrying amount	**32,993,981**	**362,446**	**-**	**33,356,427**
Investment securities at FVOCI				
Performing	**61,150,901**	**-**	**-**	**61,150,901**
Total	**61,150,901**	**-**	**-**	**61,150,901**
Loss allowance**	630,384	**-**	**-**	630,384
Carrying amount	**60,520,517**	**-**	**-**	**60,520,517**
Investment securities at amortized cost				
Performing	10,802,644	2,018,990	-	12,821,634
Total	**10,802,644**	**2,018,990**	**-**	**12,821,634**
Loss allowance	**141,640**	**3,044**	**-**	**144,684**
Carrying amount	**10,661,004**	**2,015,946**	**-**	**12,676,950**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets (continued)

				31 December 2021
	Stage 1	Stage 2	Stage3	Total
Loans and advances to banks*				
Performing	39,122,156	4,738,257	-	**43,860,413**
Total	**39,122,156**	**4,738,257**	-	**43,860,413**
Loss allowance	4,696	4,298		**8,994**
Carrying amount	**39,117,460**	**4,733,959**	-	**43,851,419**
Investment securities at FVOCI				
Performing	51,927,282	-	-	**51,927,282**
Total	**51,927,282**	-	-	**51,927,282**
Loss allowance**	576,112	-		**576,112**
Carrying amount	**51,351,170**	-	-	**51,351,170**
Investment securities at amortized cost				
Performing	21,042,803	2,028,440	-	**23,071,243**
Total	**21,042,803**	**2,028,440**	-	**23,071,243**
Loss allowance	282,560	4,474	-	**287,034**
Carrying amount	**20,760,243**	**2,023,966**	-	**22,784,209**

*Loans and advances to banks include current accounts with banks, money market placements with contractual maturity less than 3 months (see Note 13) and deposits with correspondent banks (see Note 14).

**Loss allowance for investment securities at FVOCI is recognized in other comprehensive income and not as a contra account to the carrying amount of the financial asset in the statement of financial position (see Note 8 (f) (vi) Presentation of allowance for ECL in the statement of financial position).

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets (continued)

The following table sets out information about the overdue status of gross amount of loans and advances to customers in Stages 1, 2 and 3.

				31 December 2022
Loans and advances to customers	**Stage 1**	**Stage 2**	**Stage3**	**Total**
Up to 30 days in arrears	52,740,481	1,501,787	460,355	**54,702,623**
30 to 90 days in arrears	-	303,628	243,952	**547,580**
More than 90 days	-	-	981,579	981,579
Total	**52,740,481**	**1,805,415**	**1,685,886**	**56,231,782**

				31 December 2021
Loans and advances to customers	**Stage 1**	**Stage 2**	**Stage3**	**Total**
Up to 30 days in arrears	50,960,371	1,831,879	970,856	**53,763,106**
30 to 90 days in arrears	-	69,339	26,118	**95,457**
More than 90 days in arrears	-	-	1,123,311	**1,123,311**
Total	**50,960,371**	**1,901,218**	**2,120,285**	**54,981,874**

All loans and advances to banks and investment securities fall in the overdue status of less than 30 days in arrears as of 31 December 2022 and 31 December 2021.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets (continued)

The following table sets out the credit quality of debt securities and loans and advances to banks based on Moody's ratings, Staging and IFRS Category:

	Investment's debt securities		
	31 December 2022		
Sovereign	**Stage 1**	**Stage 2**	**Total**
Rate Baa2	**66,236,015**	**-**	**66,236,015**
FVOCI	55,575,011	-	55,575,011
AC	10,661,004	-	10,661,004
Rate B1	**2,590,282**	**2,015,946**	**4,606,228**
FVOCI	2,590,282	-	**2,590,282**
AC	-	2,015,946	**2,015,946**
	68,826,297	**2,015,946**	**70,842,243**
Financial Institutions			
Rated Aaa	**2,355,224**	**-**	**2,355,224**
FVOCI	**2,355,224**	**-**	**2,355,224**
Total carrying amount	**71,181,521**	**2,015,946**	**73,197,467**

	31 December 2021		
Sovereign	**Stage 1**	**Stage 2**	**Total**
Rate Baa2	**68,836,562**	**-**	**68,836,562**
FVOCI	48,076,319	-	**48,076,319**
AC	20,760,243	-	**20,760,243**
Rate B1	**2,743,193**	**2,023,966**	**4,767,159**
FVOCI	2,743,193	-	**2,743,193**
AC	-	2,023,966	**2,023,966**
	71,579,755	**2,023,966**	**73,603,721**
Financial Institutions			
Rated Aaa	**531,658**	**-**	**531,658**
FVOCI	531,658	-	**531,658**
Total carrying amount	**72,111,413**	**2,023,966**	**74,135,379**

	Loans and advances to Banks		
	31 December 2022		
	Stage 1	**Stage 2**	**Total**
Rated Aa3	7,325	-	7,325
Rated A1	542,667	-	542,667
Rated A2	3,341,966	-	3,341,966
Rated Baa1	6,305,062	317,549	6,622,611
Rated Baa2	16,922,838	-	16,922,838
Rated Ba1	1,080,588	44,926	1,125,514
Rated Ba2	4,624,911	-	4,624,911
Rated B2	170,717	-	170,717
	32,996,075	**362,475**	**33,358,550**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets (continued)

	Loans and advances to Banks 31 December 2021		
	Stage 1	**Stage 2**	**Total**
Rated Aa3	10,726	-	**10,726**
Rated A1	2,457,955	33,482	**2,491,436**
Rated A2	7,693,467	50,969	**7,744,436**
Rated Baa1	19,783,949	903,687	**20,687,636**
Rated Ba2	782,652	3,745,822	**4,528,474**
Rated B1	717,403	-	717,403
Non rated	7,671,309	-	**7,671,309**
	39,117,460	**4,733,959**	**43,851,419**

(iv) Collateral held and other credit enhancements

The estimated cash flows derived from the collateral, including guarantees securing the exposures, are usually the main source of future cash flows from non-performing loans. Some of the valuation parameters used for the calculation are:

- *Realizable value of collaterals*, which is estimated by reducing the appraised market value of the collateral with a discount factor. This considers the characteristics of similar groups of collaterals. It presumes an average recoverable value of specific collateral, based on the Bank's experience.
- *Timing of the expected cash flow*, which represents the expected recovery time (in years) for a specific type of collateral.

The recovery costs are deducted from estimated future cash flows. Collateral, generally, is not held over loans and advances to financial institutions, except when securities are held as part of reverse repurchase and securities borrowing activity. Usually, collateral is not held against investment securities, and no such collateral was held at 31 December 2022 and 2021.

Below is a summary of loans and advances to customer portfolio by stage and collateral:

	Loans and advances to customers		Collateral		No-collateral	
	GBV	**NBV**	**GBV**	**NBV**	**GBV**	**NBV**
Stage 1	52,740,481	52,022,479	46,065,720	45,636,577	6,674,761	6,385,902
Stage 2	1,805,415	1,440,780	1,739,332	1,405,928	66,083	34,852
Stage 3 collective	406,686	115,308	183,259	101,708	223,427	13,600
Stage 3 individual	1,279,200	688,665	1,275,739	687,485	3,461	1180
Total	**56,231,782**	**54,267,232**	**49,264,050**	**47,831,698**	**6,967,732**	**6,435,534**

	Loans and advances to customers		Collateral		No-collateral	
	GBV	**NBV**	**GBV**	**NBV**	**GBV**	**NBV**
Stage 1	50,960,371	50,395,081	45,515,242	45,161,815	5,445,130	5,233,267
Stage 2	1,901,218	1,574,626	1,861,588	1,558,449	39,629	16,177
Stage 3 collective	448,833	149,034	218,736	134,324	230,098	14,710
Stage 3 individual	1,671,452	849,102	1,664,524	849,101	6,927	-
Total	**54,981,874**	**52,967,843**	**49,260,090**	**47,703,689**	**5,721,784**	**5,264,154**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iv) Collateral held and other credit enhancements (continued)

Estimates of fair value are based on the value of collateral assessed at the time of borrowing and are updated every year for corporate segment and every three years for retail segment. An estimate of the undiscounted and discounted fair value of collaterals and other security enhancements held against financial assets is shown below:

	Collateral of Loans and advances to customers			
	31 December 2022		31 December 2021	
	Undiscounted	Discounted	Undiscounted	Discounted
Against individually impaired				
Property	2,904,479	1,027,276	3,735,598	1,275,622
Pledges and guarantees	649,835	2,229	673,774	-
Cash	-	-	-	-
Debt securities	106,100		139,850	-
Other			-	-
Total	**3,660,414**	**1,029,505**	**4,549,222**	**1,275,622**
Net carrying amount		**687,485**		**849,101**

Net carrying amount represent loans which are individually assessed and in recovery amount is considered only eligible collateral.

The gross amount of collaterals includes the value of collaterals before testing the individually impaired loans. The net carrying amount shows the fair present value of the same collaterals under this test. The table below shows the total amount of collaterals for the loans assessed under the category of collectively impaired including all the Stage 3 exposures that are lower than EUR 100 thousand.

These collaterals do not undergo the same testing procedures as the above group.

The information on the table below provides information on how much the collectively impaired loans and advances to customers are secured against their respective collaterals. Only eligible collaterals are included in discounted collaterals.

	Collateral of Loans and advances to customers			
	31 December 2022		31 December 2021	
	Undiscounted	Discounted	Undiscounted	Discounted
Against Collectively Impaired				
Property	87,736,366	38,474,495	82,923,180	37,359,111
Pledges and guarantees	80,461,565	4,981,867	69,260,598	4,831,072
Cash	740,757	709,156	798,859	767,359
Debt securities	1,615,375	123,896	1,626,577	51,804
Other	1,054,343		1,084,230	-
Total	**171,608,406**	**44,289,414**	**155,693,444**	**43,009,346**
Net carrying amount		**47,144,213**		**46,854,588**

It is the Bank's policy to dispose of assets repossessed through the recovering process. The amounts collected from the proceeds are used to reduce or liquidate the carrying amount of the non-performing loans. The table below sets out the carrying amount and the value of undiscounted collateral of the loans and advances to customers measured at amortized cost.

	31 December 2022		31 December 2021	
	Carrying amount	Collateral	Carrying amount	Collateral
Stage 1 and Stage 2	53,463,258	171,608,406	51,969,707	155,693,444
Stage 3	803,973	3,660,414	998,136	4,549,222
	54,267,231	**175,268,820**	**52,967,843**	**160,242,666**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iv) Collateral held and other credit enhancements (continued)

When the Bank holds repossessed assets in its ownership, their conversion into cash is the Bank's first aim, through marketing the properties for sale. If there is no satisfactory offer collected, the Bank's practice is to keep the asset for sale until receiving the best offer. The amounts of repossessed properties are disclosed in note 22.

Depending on operational needs and the suitability of the asset to fulfill those needs, management may decide to make use of the property; in such cases a reclassification into property and equipment (see note 17) of the Bank is performed. The breakdown of the gross book value of the loans and advances by class, along with the fair value of the collateral held by the Bank as security, are as follows:

31 December 2022	**Over-collateralized portfolio**		**Under-collateralized portfolio**	
	Gross book value of portfolio	**Fair value of collateral**	**Gross book value of portfolio**	**Fair value of collateral**
Mortgage Lending	10,836,464	29,658,140	2,372,987	141,933
Leasing	23,332	51,218	-	-
Personal loans	132,915	384,883	2,698,658	-
Overdrafts and credit cards	16,083	23,367	279,867	-
Loans to businesses	36,044,225	139,388,894	2,147,522	1,173,230
Total	**47,053,019**	**169,506,502**	**7,499,033**	**1,315,163**

31 December 2021	**Over-collateralized portfolio**		**Under-collateralized portfolio**	
	Gross book value of portfolio	**Fair value of collateral**	**Gross book value of portfolio**	**Fair value of collateral**
Mortgage Lending	10,037,610	27,371,176	1,939,594	185,544
Leasing	19,737	43,331	-	-
Personal loans	22,140	74,703	2,213,307	-
Overdrafts and credit cards	31,041	53,235	255,270	-
Loans to businesses	34,660,229	125,329,391	3,682,660	1,742,060
Total	**44,770,757**	**152,871,836**	**8,090,831**	**1,927,604**

The table below shows the breakdown of the gross book value of credit impaired loans and advances given to customers by ranges of their collateral coverage:

31 December 2022	**Over-collateralized portfolio**		**Under-collateralized portfolio**	
	Credit impaired loans	**Fair value of collateral**	**Credit impaired loans**	**Fair value of collateral**
Mortgage Lending	207,485	1,025,331	19,731	-
Financial Leasing	-	-	-	-
Personal loans	-	-	180,065	200
Overdrafts and credit cards	209	228	25,691	457
Loans to businesses	1,250,075	3,408,179	2,630	1,142
Total	**1,457,769**	**4,433,738**	**228,117**	**1,799**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iv) Collateral held and other credit enhancements (continued)

31 December 2021	Over-collateralized portfolio		Under-collateralized portfolio	
	Credit impaired loans	Fair value of collateral	Credit impaired loans	Fair value of collateral
Mortgage Lending	232,559	1,042,932	9,467	-
Financial Leasing	-	-	-	-
Personal loans	-	-	196,408	200
Overdrafts and credit cards	1,195	1,418	24,205	483
Loans to businesses	1,484,888	4,257,817	171,563	140,376
Total	**1,718,642**	**5,302,167**	**401,643**	**141,059**

(v) Amounts arising from ECL

Inputs, assumptions and techniques used for estimating impairment

See accounting policy in Note 8(f).(vi).

Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Bank considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Bank's historical experience and expert credit assessment and including forward-looking information.

The objective of the assessment is to identify whether a significant increase in credit risk has occurred for an exposure by comparing:

- the remaining lifetime probability of default (PD) as at the reporting date; with
- the remaining lifetime PD for this point in time that was estimated at the time of initial recognition of the exposure (adjusted where relevant for changes in prepayment expectations).

The Bank uses three criteria for determining whether there has been a significant increase in credit risk:

- quantitative test based on movement in PD, for loans to banks and investment securities only;
- qualitative indicators based on forbearance and early warning signals; and
- a backstop of 30 days past due.

New Definition of default "DoD"

The Bank considers a financial asset to be in default when one of the following is met:

- the borrower is in a state of insolvency (even though not legally insolvent) or in a de facto equivalent status. By "state of insolvency" the following shall be intended: structural and permanent (not transitory) inability to satisfy, regularly and through ordinary sources, the Counterparty's obligations due to lack of liquidity and/or access to external funding
- the borrower is unlikely to pay its credit obligations to the Bank in full, without recourse to actions such as the enforcement of guarantees/ collateral.
- the borrower is more than 90 days past due as described in note 10(a)(i).

Incorporation of forward-looking information

The Bank incorporates forward-looking information into the measurement of ECL. The Bank has identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between EBA (European Banking Authority) stress coefficients and credit losses. The Bank considers three economic scenarios: baseline, adverse scenario, as published by EBA, and best scenario, an internal estimate as a symmetrical reflection of adverse scenario toward baseline one.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

Modified financial assets

The contractual terms of a loan may be modified for a number of reasons, including changing market conditions, customer retention and other factors not related to a current or potential credit deterioration of the customer. An existing loan whose terms have been modified may be derecognized and the renegotiated loan recognized as a new loan at fair value in accordance with the accounting policy set out in Note 8 (f)(iv).

Measurement of ECL (Expected Credit Losses)

The key inputs into the measurement of ECL are the term structure of the following variables:

• probability of default (PD);

• loss given default (LGD); and

• exposure at default (EAD)

Lifetime expected loss covers expected loss for the whole life IFRS 9 specifies that if the credit risk on a financial instrument has increased significantly since initial recognition, an entity shall measure the loss allowance for that financial instrument at an amount equal to Lifetime expected credit losses and if the credit risk on such instrument has not increased significantly, 12-months expected losses should be calculated instead.

ECL for exposures in Stage 1 is calculated by multiplying the 12-month PD by LGD and EAD. Lifetime ECL is calculated by multiplying the lifetime PD by LGD and EAD. The Bank employs statistical models to analyze the data collected and generate estimates of the remaining lifetime PD of exposures and how these are expected to change as a result of the passage of time.

The Bank collects performance and default information about its credit risk exposures analyzed by type of product and borrower as well as by credit risk grading. For some portfolios, information purchased from external credit reference agencies is also used.

LGD is the magnitude of the likely loss if there is a default. The Bank estimates LGD parameters based on the history of loss rates from defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset. For loans secured by retail property, LTV ratios are a key parameter in determining LGD. LGD estimates are calculated on a discounted cash flow basis using the effective interest rate as the discounting factor.

EAD represents the expected exposure in the event of a default. The Bank derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract and arising from amortization. The EAD of a financial asset is its gross carrying amount at the time of default. For lending commitments, the EADs are potential future amounts that may be drawn under the contract, which are estimated based on historical observations and forward-looking forecasts.

Low Default Portfolio

A new category of financial instruments is considered for impairment purposes under the IFRS 9 rules, called “Low Default Portfolio”. It includes securities and loans to banks, and as defined by Parent Company consists of exposures with the following parties:

- Sovereign (Central Banks, Governments, Municipalities, Public Sector Entities);
- Institutions (Banks, and other financial institutions);

Intragroup exposures are exposures with the following parties:

- Parent Company;
- Other ISP subsidiaries.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

Low Default Portfolio (continued)

Intragroup transactions are generally classified as Stage 1 with a 12- months ECL following the staging rules for Low Default Portfolio and intragroup exposures based on parent company driven methodologies including validation. Exposures are classified to Stage 2 based on the significant increase of credit risk criterion measured by Lifetime PD comparison. This criterion for Low Default Portfolio is defined based on the specific rating and residual maturity of exposure. Thresholds are provided by Parent Company.

The criteria used to access whether the debt securities credit quality deteriorated significantly since origination is Lifetime PDs comparison. The instrument issuer rating (counterparty rating) is used for the Lifetime PD comparison rather than rating of the single instrument (i.e. at the reporting date different instruments or tranches related to the same issuer will be assigned with the rating of the counterparty at a given date). Debt securities purchased in tranches PD at origination is determined through First In First Out (FIFO) methodology.

Debt securities include "Low Credit Risk Exemption" based on the assumption that the credit risk has not increased significantly since initial recognition if the financial instrument is determined to have low credit risk at the reporting date. Therefore, Investment grade instruments at the reporting date are classified to Stage 1.

This exemption is applicable only for instruments belonging to FVOCI portfolio. The following criteria are approved for each stage for Bonds residual maturity of the financial instrument.

Stage 1	Stage 2	Stage 3
• Debt with no significant credit quality deterioration Investment grade debts	• Debt with significant increase in PD since origination	• Defaulted Debt

For Stage 3 – Defaulted debt the impairment testing process for any individually securities is applied. If the fair value is less than the carrying amount or if the issuer is delinquent in its debtor obligations or defaults on payments as demonstrated by any one of the following events:

1. Default;
2. Bankruptcy proceedings;
3. Delinquency in interest or principal payments.

Where any one of these events occurs, given the gravity and the irreversibility of the confirmed situation, an impairment loss should be recorded directly. If the fair value is not more than 20% less than the carrying amount and no other impairment indicators are found, there is no need to test the securities further for impairment. The impairment test for this stage classification is performed according to the rules defined in the ISP Group accounting policy.

Both collective assessment and individual assessment on portfolio basis are approaches to impairment evaluation based on statistical methods by using credit risk parameters which are estimated based on historical data for homogenous groups of assets.

Loss allowances

The Bank establishes an allowance for impairment losses that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, as well as collectively assessed and less significant exposures, and a collective loan loss allowance established for groups of homogeneous assets in respect of expected losses that have not been identified.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

The following tables show reconciliations from the opening to the closing balance of the expected credit losses by class of financial instrument.

Movements in impairment allowance funds for:

Loans and advances to banks	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2022	**4,696**	**4,298**	**-**	**8,994**
Transfer to Stage 1	**120**	**(120)**	**-**	**-**
Transfer to Stage 2	**-**	**-**	**-**	**-**
Transfer to Stage 3	**-**	**-**	**-**	**-**
Financial Assets that have been derecognized	(2,714)	(903)	-	**(3,617)**
Net remeasurement of loss allowances	(1,585)	(3,013)	-	**(4,598)**
New financial assets originated or purchased	1,797	-	-	**1,797**
Foreign exchange and other movements	(220)	(233)	-	**(453)**
Balances at 31 December 2022	**2,094**	**29**	**-**	**2,123**

Loans and advances to banks	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2021	**14,022**	**630**	**-**	**14,652**
Transfer to Stage 1	**-**	**-**	**-**	**-**
Transfer to Stage 2	**(2,987)**	**2,987**	**-**	**-**
Transfer to Stage 3	**-**	**-**	**-**	**-**
Financial Assets that have been derecognized	(7,589)	-	-	**(7,589)**
Net remeasurement of loss allowances	(1,411)	(455)	-	**(1,866)**
New financial assets originated or purchased	2,934	1,135	-	**4,069**
Foreign exchange and other movements	(273)	1	-	**(272)**
Balances at 31 December 2021	**4,696**	**4,298**	**-**	**8,994**

Investment securities at FVOCI	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2022	**576,112**	**-**	**-**	**576,112**
Transfers between Stages	-	-	-	-
Financial Assets that have been derecognized	(292,376)	-	-	**(292,376)**
Net remeasurement of loss allowances	(102,631)	-	-	**(102,631)**
New financial assets originated or purchased	451,993	-	-	**451,993**
Foreign exchange and other movements	(2,714)	-	-	**(2,714)**
Balances at 31 December 2022	**630,385**	-	-	**630,385**

Investment securities at FVOCI	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2021	**146,699**	**3**	**-**	**146,702**
Transfers between Stages	-	-	-	-
Financial Assets that have been derecognized	(93,662)	(3)	-	**(93,665)**
Net remeasurement of loss allowances	41,428	-	-	**41,428**
New financial assets originated or purchased	482,547	-	-	**482,547**
Foreign exchange and other movements	(900)	-	-	**(900)**
Balances at 31 December 2021	**576,112**	**-**	**-**	**576,112**

Investment securities at amortized cost	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2022	**282,560**	**4,474**	**-**	**287,034**
Transfers between Stages	**-**	**-**	**-**	**-**
Financial Assets that have been derecognized	(82,058)	-	-	**(82,058)**
Net remeasurement of loss allowances	(57,278)	(1,409)	-	**(58,687)**
New financial assets originated or purchased	-	-	-	**-**
Foreign exchange and other movements	(1,584)	(21)	-	**(1,605)**
Balances at 31 December 2022	**141,640**	**3,044**	**-**	**144,684**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

Investment securities at amortized cost	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2021	**141,584**	**11,731**	**-**	**153,315**
Transfers between Stages	-	-	-	-
Financial Assets that have been derecognized	(13,294)	(7,745)	-	**(21,039)**
Net remeasurement of loss allowances	154,521	488	-	**155,009**
New financial assets originated or purchased	-	-	-	-
Foreign exchange and other movements	(251)	-	-	(251)
Balances at 31 December 2021	**282,560**	**4,474**	**-**	**287,034**

Loans and advances to customers	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2022	**565,290**	**326,592**	**1,122,149**	**2,014,031**
Transfer to Stage 1	137,629	(123,452)	(14,177)	-
Transfer to Stage 2	(6,416)	18,135	(11,719)	-
Transfer to Stage 3	(7,532)	(14,012)	21,544	-
Financial Assets that have been derecognized	(56,535)	(6,503)	(100,674)	(163,712)
Net remeasurement of loss allowances	(146,495)	133,834	108,725	96,064
New financial assets originated or purchased	248,806	42,526	32,512	323,844
Write offs	-	-	(269,469)	(269,469)
Foreign exchange and other movements	(16,745)	(12,485)	(6,978)	(36,208)
Balances at 31 December 2022	**718,002**	**364,635**	**881,913**	**1,964,550**

Loans and advances to customers	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2021	**480,387**	**229,916**	**1,285,461**	**1,995,764**
Transfer to Stage 1	2,258	(717)	(1,541)	-
Transfer to Stage 2	(115,333)	118,410	(3,077)	-
Transfer to Stage 3	(182,255)	(196,359)	378,614	-
Financial Assets that have been derecognized	(71,562)	(48,379)	(226,915)	**(346,856)**
Net remeasurement of loss allowances	257,197	59,186	(34,668)	**281,715**
New financial assets originated or purchased	209,224	164,535	116,378	**490,137**
Write offs	-	-	(392,103)	**(392,103)**
Foreign exchange and other movements	(14,626)	-	-	**(14,626)**
Balances at 31 December 2021	**565,290**	**326,592**	**1,122,149**	**2,014,031**

Loan commitments and financial guarantee contracts	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2022	**37,561**	**91**	**5,523**	**43,175**
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	(8,484)	8,784	(300)	-
Transfer to Stage 3	(217)	-	217	-
Financial Assets that have been derecognized	(5,813)	(2)	(151)	**(5,966)**
Net remeasurement of loss allowances	17,199	9	1,066	**18,274**
New financial assets originated or purchased	12,967	2,174	68	**15,209**
Foreign exchange and other movements	(1,101)	(3)	(260)	(1,364)
Balances at 31 December 2022	**52,112**	**11053**	**6,163**	**69,328**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2021	**34,792**	**2,086**	**10,085**	**46,963**
Transfer to Stage 1	**119**	**(34)**	**(85)**	**-**
Transfer to Stage 2	**(91)**	**91**		**-**
Transfer to Stage 3	**(440)**	**(14)**	**454**	**-**
Financial Assets that have been derecognized	(4,949)	(696)	(2,093)	**(7,738)**
Net remeasurement of loss allowances	3,181	(1,342)	(2,959)	**(1,120)**
New financial assets originated or purchased	5,402		121	**5,523**
Foreign exchange and other movements	(453)	-	-	**(453)**
Balances at 31 December 2021	**37,561**	**91**	**5,523**	**43,175**

9. Financial Risk Management (continued)

(a) Credit Risk (continued)

Gross amount

The following tables show reconciliations from the opening to the closing balance of the gross amount by class of financial instrument.

Loans and advances to banks	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2022	**39,122,156**	**4,738,257**	**-**	**43,860,413**
Transfer to Stage 1	**168,001**	**(168,001)**	**-**	**-**
Financial Assets that have been derecognized	(28,387,359)	(1,625,132)	-	**(30,012,491)**
Increase/Decrease of the exposure	(4,015,487)	(2,331,047)	-	**(6,346,534)**
New financial assets originated or purchased	27,978,550	-	-	**27,978,550**
Foreign exchange and other movements	(1,869,786)	(251,602)	-	**(2,121,388)**
Balances at 31 December 2022	**32,996,075**	**362,475**	**-**	**33,358,550**

Loans and advances to banks	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2021	**38,062,282**	**2,529,732**	**-**	**40,592,014**
Transfer to Stage 2	**(3,242,573)**	**3,242,573**	**-**	**-**
Financial Assets that have been derecognized	(26,119,802)	-	-	**(26,119,802)**
Increase/Decerease of the exposure	2,034,890	(2,659,180)	-	**(624,290)**
New financial assets originated or purchased	28,387,359	1,625,132	-	**30,012,491**
Foreign exchange and other movements	-	-	-	**-**
Balances at 31 December 2021	**39,122,156**	**4,738,257**	**-**	**43,860,413**

Investment securities at FVOCI	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2022	**51,351,170**	**-**	**-**	**51,351,170**
Transfer between stages	**-**	**-**	**-**	
Financial Assets that have been derecognized	(33,011,437)	-	-	**(33,011,437)**
Increase/Decrease of the exposure	(1,129,473)	-	-	**(1,129,473)**
New financial assets originated or purchased	43,418,626	-	-	**43,418,626**
Foreign exchange and other movements	(108,369)	-	-	**(108,369)**
Balances at 31 December 2022	**60,520,517**	**-**	**-**	**60,520,517**

9. Financial Risk Management (continued)

(a) Credit Risk (continued)

Gross amount (continued)

Investment securities at FVOCI	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2021	**36,836,454**	**734**	**-**	**36,837,188**
Transfer between stages	-	-	-	-
Financial Assets that have been derecognized	(24,742,205)	(712)	-	**(24,742,917)**
Increase/Decerease of the exposure	(301,213)	-	-	**(301,213)**
New financial assets originated or purchased	39,596,522	-	-	**39,596,522**
Foreign exchange and other movements	(38,388)	(22)	-	**(38,410)**
Balances at 31 December 2021	**51,351,170**	**-**	**-**	**51,351,170**

Investment securities at amortized cost	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2022	**21,042,803**	**2,028,440**	**-**	**23,071,243**
Transfer between stages	-	-	-	-
Financial Assets that have been derecognized	(10,024,219)	-	-	**(10,024,219)**
Increase/Decrease of the exposure	(129,445)	(19,160)	-	**(148,605)**
New financial assets originated or purchased	-	-	-	-
Foreign exchange and other movements	(86,495)	9,710	-	**(76,785)**
Balances at 31 December 2022	**10,802,644**	**2,018,990**	**-**	**12,821,634**

Investment securities at amortized cost	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balances at 1 January 2021	**31,782,220**	**3,454,312**	**-**	**35,236,532**
Transfer between stages	-	-	-	-
Financial Assets that have been derecognized	(10,658,128)	(1,516,347)	-	**(12,174,475)**
Increase/Decerease of the exposure	(38,492)	106,461	-	**67,969**
New financial assets originated or purchased	-	-	-	-
Foreign exchange and other movements	(42,797)	(15,986)	-	**(58,783)**
Balances at 31 December 2021	**21,042,803**	**2,028,440**	**-**	**23,071,243**

9. Financial Risk Management (continued)

(a) Credit Risk (continued)

Gross amount (continued)

Loans and Advances to Customers	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2022	**50,960,371**	**1,901,218**	**2,120,285**	**54,981,874**
Transfer to Stage 1	581,348	(554,578)	(26,770)	-
Transfer to Stage 2	(736,544)	775,056	(38,512)	-
Transfer to Stage 3	(274,448)	(41,144)	315,592	-
Financial Assets that have been derecognized	(3,265,401)	(15,777)	(630,317)	(3,911,495)
Increase/Decrease of the exposure	(4,833,147)	(305,325)	(176,498)	(5,314,970)
New financial assets originated or purchased	11,962,961	129,594	140,995	12,233,550
Foreign exchange and other movements	(1,648,370)	(84,698)	(24,109)	(1,757,177)
Balances at 31 December 2022	**52,746,770**	**1,804,346**	**1,680,666**	**56,231,782**

Loans and Advances to Customers	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2021	**49,824,618**	**716,989**	**2,356,994**	**52,898,601**
Transfer to Stage 1	122,207	(69,887)	(52,320)	-
Transfer to Stage 2	(512,610)	520,755	(8,145)	-
Transfer to Stage 3	(362,378)	(302,378)	664,756	-
Financial Assets that have been derecognized	(6,781,538)	(109,142)	(917,216)	(7,807,896)
Increase/Decrease of the exposure	(4,781,434)	(89,889)	(144,918)	(5,016,241)
New financial assets originated or purchased	13,447,710	1,226,351	260,944	14,935,005
Foreign exchange and other movements	3,796	8,419	(39,810)	(27,595)
Balances at 31 December 2021	**50,960,371**	**1,901,218**	**2,120,285**	**54,981,874**

9. Financial Risk Management (continued)

(a) Credit Risk (continued)

Gross amount (continued)

OFF BALANCE SHEET	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2022	**9,842,804**	**1,043**	**5,838**	**9,849,685**
Transfer to Stage 1	30,747	(30,747)	-	-
Transfer to Stage 2	(46,572)	51,367	(4,795)	-
Transfer to Stage 3	-	-	-	-
Financial Assets that have been derecognized	(1,395,856)	(37)	(159)	**(1,396,052)**
Increase/Decerease of the exposure	3,292,776	29,781	5,485	**3,328,042**
New financial assets originated or purchased	2,919,585	11,668	69	**2,931,322**
Foreign exchange and other movements	(261,821)	(40)	(260)	(262,121)
Balances at 31 December 2022	**14,381,663**	**63,035**	**6,178**	**14,450,876**

OFF BALANCE SHEET	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2021	**11,118,263**	**38,507**	**10,991**	**11,167,761**
Transfer to Stage 1	**19,990**	**(19,990)**	-	-
Transfer to Stage 2	**(1,043)**	**1,043**	-	-
Transfer to Stage 3	**2,062**		**(2,062)**	-
Financial Assets that have been derecognized	(1,701,420)	(17,553)	(2,307)	**(1,721,280)**
Increase/Decrease of the exposure	(1,011,814)	(942)	(1,408)	**(1,014,164)**
New financial assets originated or purchased	1,417,247	-	121	**1,417,368**
Foreign exchange and other movements	(481)	(22)	503	-
Balances at 31 December 2021	**9,842,804**	**1,043**	**5,838**	**9,849,685**

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

The following table provides for the year 2022 and 2021 a reconciliation between opening and closing balances of loss allowance per class of financial instrument:

	Loans and advances to banks	Loans and advances to customers	Investment securities at FVOCI	Investment securities at amortized cost	Total
Net remeasurement of loss allowance	(8,216)	(69,210)	(395,007)	(139,336)	**(613,178)**
New financial assets originated or purchased	1,797	323,844	451,993	-	**777,634**
Balances at 31 December 2022	**(6,419)**	254,634	**56,986**	**(139,336)**	**164,456**

	Loans and advances to banks	Loans and advances to customers	Investment securities at FVOCI	Investment securities at amortized cost	Total
Net remeasurement of loss allowance	(9,455)	(65,141)	(52,237)	133,970	7,137
New financial assets originated or purchased	4,069	490,137	482,547	-	976,753
Balances at 31 December 2021	**(5,386)**	**424,996**	**430,310**	**133,970**	983,890

(vi) Write-off policy

Financial assets are written off either partially or in their entirety only when the Bank has no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. The Bank writes off a loan (and any related allowances for impairment losses) when the Bank's Board of Directors determines that the loans are uncollectible.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(vii) Concentration of Credit Risk

The Bank monitors concentration of credit risk by sector and location. An analysis of credit risk at the reporting date is shown below:

	Net Loans and advances to customers	
Concentration by sector	**31 December 2022**	**31 December 2021**
Services	18,402,542	20,074,711
Wholesale	9,236,584	9,106,404
Manufacturing	6,779,735	5,728,502
Construction	2,394,284	2,439,035
Real Estate	488,761	471,135
Other	943,091	859,361
Corporate total	**38,244,997**	**38,679,148**
Mortgage	13,138,593	11,934,543
Consumer	2,883,642	2,354,152
Retail total	**16,022,235**	**14,288,695**
Carrying amount	**54,267,232**	**52,967,843**

	Loans and advances to banks	
Concentration by sector	**31 December 2022**	**31 December 2021**
Related parties bank	9,777,889	22,199,347
Other EU countries	22,609,759	18,969,807
Local banks	970,901	2,682,265
Carrying amount	**33,358,549**	**43,851,419**

	Investment securities	
Concentration by sector	**31 December 2022**	**31 December 2021**
Sovereign (Note 16)	70,842,243	73,603,707
Bank	-	-
Other Financial Institutions	2,355,224	531,672
Carrying amount	**73,197,467**	**74,135,379**

The following concentrations of credit risk arise in the Bank's credit-risk portfolio.

	31 December 2022	Exposure In %	31 December 2021	Exposure In %
Republic of Albania securities	66,241,297	61%	68,260,450	65%
Balances with Bank of Albania	25,538,309	24%	18,123,184	17%
Total direct Albanian Sovereign risk	**91,779,606**	**85%**	**86,383,634**	**83%**
Largest bank	11,571,065	11%	15,499,342	15%
Largest customer	5,134,780	5%	2,412,904	2%
Total largest bank and customer	**16,705,845**	**15%**	**17,912,246**	**17%**
Total on-balance-sheet risk	**100,669,529**		**104,295,880**	

The largest exposure toward the banks is exposure to the Group parent and the largest customer is a private company operating in service sector.

Republic of Albania securities includes securities invested with Government of Albania classified as FVOCI and AC. Balances with Bank of Albania include current account and mandatory reserve with Bank of Albania.

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9. Financial Risk Management (continued)

(a) Credit Risk (continued)

(viii) Settlement risk

The Bank's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of a counterparty to honor its obligations to deliver cash, securities or other assets as contractually agreed. The settlement risk with financial institutions and government counterparties is included within a system of limits for all the transactions with such counterparties and is subject to daily monitoring, defined and regulated in the internal documents "ISBA Credit Autonomy Level" and "ISBA Rules for the management and maintenance of the FI-s limits" and the Central Bank of Albania regulation "On risk management arising from the large exposures of the Bank".

Following the approval with the aim to prevent any breaches of local regulatory counterparty limits with Financial Institutions, generated by fluctuations of exchange rates, the bank has integrated warning level limits (soft limits), 23.4 % of regulatory capital for the exposures toward ISP Group and 18.7 % of regulatory capital for the exposures toward other Financial Institutions/Governments, as approved by Financial risk committee ("RCO") on 24 January 2017 and reapproved the same level of soft limits by ALCO 21 March 2019. The Bank of Albania regulation "On risk management arising from the large exposures of Bank" was revised in force in March 2015 has been complied for the year ended 31 December 2021.

(b) Liquidity Risk

Liquidity risk is defined as the possibility that an institution is unable to meet its payment obligations due to its incapacity to liquidate assets or obtain adequate funding from the market (funding liquidity risk), or due to the difficulty of easily unwinding positions in financial assets without negatively and significantly affecting their price due to inadequate market depth or temporary market disruptions.

(i) Management of liquidity risk

The Bank's approach to managing liquidity risk is to ensure, as much as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Bank's reputation. The Bank defines the guidelines for liquidity risk management and the contingency liquidity plan, which are subject to review by Group structures and approval by the Bank's Financial Risk Committee and Board of Directors. The Treasury and ALM Department is responsible for liquidity management and the Risk Management Division is responsible for monitoring indicators and verifying adherence to the limits and the Bank's Regulation on Liquidity Risk Management is annually updated.

The Bank monitors liquidity, in accordance with this regulation, in order to manage its obligations when they fall due and activate emergency procedures in case of escalation.

A balanced ratio should be maintained between incoming sources and outflows, in both the short and medium-long term. This target is organized through the use of the following specific metrics "Liquidity Coverage Ratio up to 30 days" and "Net Stable Funding Ratio".

- **Liquidity Coverage Ratio (LCR)** up to 30 days**:** aims to ensure that the Bank maintains an adequate level of unencumbered high-quality liquid assets (HQLA) to meet its short-term liquidity needs under liquidity stress scenario (LCR≥105%).
- **Net Stable Funding Ratio (NSFR):** aims to guarantee an adequate liquidity position over a medium/long-term time horizon. It establishes a minimum "acceptable" amount of funding over one-year horizon in relation to the needs arising from the liquidity characteristics and the residual maturities of assets and off-balances exposures (NSFR≥102.5%).

Holding reserves of liquid assets (so-called Liquidity Buffer) is one of the main tools for mitigating liquidity risk. For the purpose of identifying and measuring this risk, both short and medium-long term, the classification of highly-liquid assets takes on crucial importance.

Furthermore, the Bank prepares liquidity scenarios, based on assumptions provided by the Group guidelines, such as market or firm specific crisis situations, monitors "Early Warning LCR" threshold and additional monitoring tools. The short-term indicator (LCR) shows a very well level of liquidity of the bank, under a liquidity stress scenario.

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9. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

(i) Management of liquidity risk (continued)

In its Liquidity Policy, the bank measures and monitors the Survival Period Indicator, an indicator which measures the first day in which the Net Liquidity Position of a Bank turns negative, namely when there is no more additional liquidity to cover the simulated net liquidity outflows. The Net Liquidity Position, on a certain date, amounts to the difference between the available Liquidity Reserves (including the related variations arising from secured positions) and the net outflows expected until that date. The monitoring of the Survival Period indicators represents an important early warning system regarding the potential deterioration of the LCR indicator. An internal limit is defined at individual level. The bank should monitor that, under the stressed condition, the Net Liquidity Position is always positive at least up to 90 days.

The short term indicator (LCR) shows a very well level of liquidity of the bank, under a liquidity stress scenario.

The Bank monitors liquidity, in accordance with the Central Bank regulations, in order to manage its obligations when they fall due and activate emergency procedures in case of escalation.

A balanced ratio should be maintained between incoming sources and outflows, in both the short and medium-long term. This target is organized through the use of the following specific metrics:

- **Bank of Albania Liquidity Ratio** in total, in foreign currency and in local currency, which is used to measure the Bank's compliance with the liquidity limits established by the Central Bank of Albania, 20% for all currencies and foreign currency and above 15% for the local currency.
- **Bank of Albania Liquidity Coverage Ratio (LCR) up to 30 days**: aims to ensure that the bank maintains an adequate level of unencumbered high-quality liquid assets (HQLA) to meet its short-term liquidity needs under liquidity stress scenario (LCR≥100% in Total currencies and LCR≥80% in foreign significant currencies). For each significant single currency LCR≥80%.
- **Bank of Albania Net Stable Funding Ratio (NSFR)** has the purpose of guaranteeing an adequate liquidity position over a medium/long-term time horizon. It establishes a minimum "acceptable" amount of funding over one year horizon in relation to the needs arising from the liquidity characteristics and the residual maturities of assets and off-balances exposures. The regulation enter in force on 1 January 2023, Banks, until the entry into force of this regulation, shall report on a quarterly basis to the Bank of Albania, the net stable funding ratio on an individual basis for total net stable funding ratio and for total significant currencies, starting from March 2022.

All the above liquidity ratios are periodically monitored by the ISBA Bank' Enterprise, Market and Financial Risk office with reference to Group internal limits and guidelines and to Central Bank of Albania requirements.

During the year 2022, the bank has been within the internal and regulatory limits.

(ii) Compulsory reserve

On 7 February 2018 Bank of Albania approved the decision no.14 for the change on the Compulsory Reserve requirement. These changes have entered in force during June 2018 up to August 2019 and consist of the following:

- Decrease for the obligatory reserve requirement rate for local currency liabilities to 7.5% and 5% (previous rate applied: 10%).
- The new obligatory reserve requirement rate for foreign currency liabilities is 12.5% and 20%. Liabilities in foreign currency up to 50% of the total liabilities have a 12.5% requirement rate and for the part of above 50% of the total liabilities the requirement rate is 20% (previous rate applied: 10 %).

All the above liquidity ratios are periodically monitored by the Bank with reference to the Group internal limits and guidelines and to the Bank of Albania requirements. During the year 2022 and 2021, the Bank has been within the internal and regulatory limits.

9. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

The table enclosed shows breakdown by the earliest contractual residual maturity of undiscounted balances of financial assets and liabilities. The FVOCI securities portfolio in Level 1 of fair value measurement is classified as less than 1 months since they are traded on active markets. The other securities are classified as per remaining maturity, since are considered as not liquid assets. Behavioral coefficients of ISP Group are applied for the drawdown percentages for off-balance-sheet categories such as committed credit lines and guarantees. The breakdown considers the cash flows in/out of the Bank for on and off-balance-sheet financial assets and liabilities, according to the earliest contractual residual maturity and not reflecting any retention history assumptions or earlier repayment.

31 December 2022	Up to 1 month	1-3 months	3-12 months	1-5 years	> 5 years	Total
Assets (Cash Flow IN)	**104,869,778**	**5,023,115**	**24,601,610**	**50,126,218**	**19,699,353**	**204,320,074**
Cash on hand	1,521,159	-	-	-	-	1,521,159
Minimum reserve requirements	-	-	-	17,866,771	-	17,866,771
Advances to banks	5,389,546	-	-	-	-	5,389,546
Investment Securities at FVOCI	64,229,446	-	-	-	-	64,229,446
Investment Securities at AC	98,742	387,122	4,330,455	7,466,383	1,395,151	13,677,853
Loans to banks	11,981,440	3,030,321	13,096,039	-	-	28,107,800
Loans and advances to customers (gross performing loans)	21,649,445	1,605,672	7,175,116	24,793,064	18,304,202	73,527,499
31 December 2022						
Liabilities (Cash flow OUT)	**(123,322,294)**	**(7,949,436)**	**(24,686,331)**	**(13,136,173)**	**(189,424)**	**(169,283,658)**
Deposits from banks and customers- Current accounts	**(120,164,731)**	**-**	**-**	**-**	**-**	**(120,164,731)**
Current accounts with banks	(102,587)	-	-	-	-	(102,587)
Current accounts with customers	(120,062,144)	-	-	-	-	(120,062,144)
Deposits from banks	**(914,075)**	-	**-**	**-**	**-**	**(914,075)**
Deposits from customers- Time deposits	(2,243,488)	(7,949,436)	(24,686,331)	(13,136,173)	(189,424)	(48,204,852)
Total gap on-balance sheet	**(18,452,516)**	**(2,926,321)**	**(84,721)**	**36,990,045**	**19,509,929**	**35,036,416**
Off-Balance sheet (Cash flow in)	-	-	-	-	-	-
Off- Balance sheet (Cash flow out)	(500,115)	-	-	-	-	**(500,115)**
Total gap off-balance sheet	**(500,115)**	**-**	**-**	**-**	**-**	**(500,115)**
Total gap 31 December 2022	**(18,952,631)**	**(2,926,321)**	**(84,721)**	**36,990,045**	**19,509,929**	**34,536,301**
Cumulated gap 31 December 2022	**(18,952,631)**	**(21,878,952)**	**(21,963,673)**	**15,026,372**	**34,536,301**	

The Bank manages liquidity positions in accordance with Central Bank rules and regulations and it is compliant with all liquidity ratios. Contractual maturities of liabilities, particularly those up to one month are high due to significant current accounts of customers. However, the rate of renewal of the current accounts is significantly high and settlement in not expected in the short term.

9. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

31 December 2021	Up to 1 month	1-3 months	3-12 months	1-5 years	> 5 years	Tot
Assets (Cash Flow IN)	**108,039,462**	**7,297,992**	**22,791,218**	**45,736,588**	**17,761,153**	**201,626,41**
Cash on hand	1,520,918	-	-	-	-	1,520,91
Minimum reserve requirements	-	-	-	17,518,407	-	17,518,40
Advances to banks	13,831,198	-	-	-	-	13,831,19
Investment Securities at FVOCI	64,109,984	-	-	-	-	64,109,98
Investment Securities at AC	75,234	3,247,617	3,679,169	7,154,766	2,118,515	16,275,30
Loans to banks	14,102,946	2,490,382	12,611,126	-	-	29,204,45
Loans and advances to customers (*gross performing loans*)	14,399,182	1,559,993	6,500,923	21,063,415	15,642,638	59,166,15
31 December 2021						
Liabilities (Cash flow OUT)	**(124,155,805)**	**(8,402,992)**	**(20,540,730)**	**(18,479,508)**	**(174,693)**	**(171,753,728**
Deposits from banks and customers- Current accounts	(119,603,837)	-	-	-	-	(119,603,83
Current accounts with banks	(115,731)	-	-	-	-	(115,73
Current accounts with customers	(119,488,106)	-	-	-	-	(119,488,10
Deposits from banks	(1,360,882)		-	-	-	(1,360,88
Deposits from customers- Time deposits	(3,191,086)	(8,402,992)	(20,540,730)	(18,479,508)	(174,693)	(50,789,00
Total gap on-balance sheet	**(16,116,343)**	**(1,105,000)**	**2,250,488**	**27,257,080**	**17,586,460**	**29,872,68**
Off-Balance sheet (Cash flow in)	-	-	-	-	-	
Off- Balance sheet (Cash flow out)	(347,797)	-	-	-	-	(347,79
Total gap off-balance sheet	**(347,797)**	**-**	**-**	**-**	**-**	**(347,79**
Total gap 31 December 2021	**(16,464,140)**	**(1,105,000)**	**2,250,488**	**27,257,080**	**17,586,460**	**29,524,88**
Cumulated gap 31 December 2021	**(16,464,140)**	**(17,569,140)**	**(15,318,652)**	**11,938,428**	**29,524,888**	

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9. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

The information provided relates to cash flows deriving from financial off-balance-sheet liabilities, therefore it considerably differs from the face of the statement of financial position. The analysis does not include non-financial liabilities and equity and comprises of cash flows of contractual interest.

The table below shows the Bank's financial contingent liabilities and financial commitments.

31 December 2022	1 Month	1-3 Months	3-12 Months	1-5 Years	>5 Years	Total
Commitments	9,659,518	-	-	-	-	**9,659,518**
Guarantees	5,797,477	-	-	-	-	**9,659,518**
31 December 2021						
Commitments	5,887,122	-	-	-	-	**5,887,122**
Guarantees	4,900,405	-	-	-	-	**4,900,405**

The Bank expects only a small part of the commitments to be demanded within one month and guarantees to be closed at maturity date. (Refer also to note 37 Commitment and contingencies)

Reconciliation between contingent liabilities and commitments maturity table and note 37 Commitment and contingencies is as follows:

	31 December 2022	31 December 2021
Commitments	**9,659,518**	**5,887,122**
Un-drawn credit facilities	9,659,518	5,887,122
Guarantees	**5,797,477**	**4,900,405**
Letters of credit	17,728	77,238
Guarantees in favor of customers	5,779,750	4,823,168

(c) Market Risk

Market risk is the risk that changes in market prices, such as interest rate, equity prices, foreign exchange rates and credit spreads (not relating to changes in the obligor's / issuer's credit standing) will affect the Bank's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return on risk.

Management of market risks

The Bank holds its securities portfolio in accordance with IFRS 9 as either Held to Collect (HTC) or Held to collect and sell (HTCS). ISBA Security Portfolio is managed by "ISBA Financial Portfolio Policy "which defines the below specific limits:

- According to the ISBA Financial Portfolio Policy, approved in ISBA Board of Directors on 30 June April 2020, the Bank is not allowed to invest in new Hold to Collect Portfolio.
- According to the provision of the Capital Adequacy Ratio as of 01/01/2021, the assigned risk for the securities issued by the Albanian Government in foreign currency will be increased from 50% to 100%, with exceptions for securities issued in foreign currency by Albanian Government in years 2020 and 2021, risk weight to be applied 0%, decision taken from the Supervisory council of Bank of Albania
- The security portfolio should obey the specific limits related to type of issuer limits presented on the below table. The overall portfolio must comply with some pre-defined type of issuer limits, which are categorized based on the issuer type, rating and currency. These limits are internally imposed by the Group

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9. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

Management of market risks (continued)

Intesa Sanpaolo Bank Albania – Issuer Limits (Nominal amounts, Euro mln Equivalent)					
	TYPE OF ISSUER	**Tot. Max Limit on the Overall Financial Portfolio (Nominal Value)**	**Total Maximum Limit by Business Model (Nominal Value)**		**Single Issuer Maximum Limit on the Overall Financial Portfolio (Nominal Value)**
			HTC	**HTCS**	
i)	Government T-Bills and T-Bonds issued by Albania Government and denominated in local currency.	None	No new purchases	None	None
ii)	Government securities issued by Albania Government denominated in foreign currency.	The lower between Regulatory Limit[1] and EUR 42 mln	No new purchases	The lower between Regulatory Limit[1] and EUR 42 mln	The lower between Regulatory Limit[1] and EUR 42 mln
iii)	-Foreign Government securities issued by G7 countries (exempt-Japan), -Securities issued by Government Agencies or Government Development Banks, with rating Aaa/AAA, -Securities issued by Supranationals with rating Aaa/AAA, denominated in currencies of the G7 members (exempt-JPY) – where the credit approval procedure is fulfilled for non-Government securities.	None	No new purchases	None	100
iv)	Foreign Government securities – issued by EU countries not included in point iii) and rated at least A3/A-, denominated in currencies of G7 members (exempt-JPY).	50	0	50	15

1.Regulatory limit: sum of each Albania security in FC x respective Risk Weight, as defined in the regulation < 20% of the Regulatory Capital.

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9. Financial Risk Management (continued)

(b) Market Risk (continued)

Management of market risks

- Investments in Portuguese and Greek government securities and covered bonds of the same countries are not allowed.
- With reference to item iii) of the Table, investments in Italian government securities are subject to credit sensitivity limits (CR01) approved by GFRC.
- For all the investments in debt securities, classified as HTCS or HTC, issued by countries considered "at risk" according to ISP Country Risk Guidelines (i.e. countries not belonging to euro area with an internal rating lower than AA-), the approval process and authorization procedure required by the guidelines in force must be followed.
- The HTCS security portfolio should be in within a VaR Limit, which was a requirement of the ISP Risk management department. The limit has been defined from ISP Risk management using the historical data of securities portfolio of ISBA. The methodology used for the calculus of the VaR is based on the simulation method applied in full-revaluation and supported by the architecture of HO IBM's "Mark-to-Future". This limit has been introduced and is monitored by ISP Financial and Market Risks Head Office Department/Risk Monitoring & Governance Office on daily basis. In the case of limit violation, they will inform accordingly ISBA structures, ISP Treasury and ISBA Local Risk in order to take all necessary steps to get back to limits. The limit assigned to Intesa Sanpaolo Bank Albania, the last approved in ISBA BOD 28 October 2022, are:

HTCS Securities Portfolio Limits	Limit	Currency
HTCS Early Warning VaR	1,850,000	EUR
HTCS Soft Limit VaR	2,050,000	EUR
HTCS Managerial Alert (Stressed VAR)	2,300,000	EUR
HTCS Early Warning Stressed VaR	2,000,000	EUR

(i) Exposure to Foreign Exchange rate risk

Foreign exchange rate risk is defined as the possibility that foreign exchange rate fluctuations will produce significant changes, both positive and negative, in the Bank's statement of financial position. The key sources of exchange rate risk consist of:

- Foreign currency loans and deposits held by corporate and retail customers;
- Investment securities in foreign currencies;
- Trading of foreign banknotes;
- Collection and/or payment of interest, commissions, administrative costs, etc. in foreign currencies.

The Bank's exposure to exchange rate risk is monitored on a daily basis by Market and Operational Risk Office ensuring compliance with the internal and regulatory limits. Internal regulations set limits for each open currency position, global open position, maximum loss and Value at Risk (VaR).

9. Financial Risk Management (continued)

(c) Market Risk (continued)

(i) Exposure to Foreign Exchange rate risk (continued)

Assets	LEK	USD	EUR	OTHER	TOTAL
Cash and cash equivalents	1,697,922	2,433,046	19,376,372	2,481,812	**25,989,152**
Loans and advances to banks	3,536,235	2,110,362	28,778,866	-	**34,425,463**
Investment securities at FVOCI	52,562,930	-	7,957,587	-	**60,520,517**
Investment securities at amortized cost	9,177,095	2,015,946	1,483,909	-	**12,676,950**
Loans and advances to customers	18,386,316	3,178,574	32,702,226	116	**54,267,232**
Property and equipment's	1,886,036	-	-	-	**1,886,036**
Right of use	515,150	-	-	-	**515,150**
Intangible assets	604,206	-	-	-	**604,206**
Investment Property	502,498	-	-	-	**502,498**
Deferred tax assets	376,559	-	-	-	**376,559**
Current tax assets	154,092	-	-	-	**154,092**
Other assets	516,967	17,263	343,085	1,422	**878,737**
Total Assets (1)	**89,916,006**	**9,755,191**	**90,642,045**	**2,483,350**	**192,796,592**
Liabilities					
Due to Banks	849,793	2,209	161,462	4,319	**1,017,783**
Due to customers	64,570,836	9,993,659	90,090,556	2,459,961	**167,115,012**
Provisions	281,662	31,294	168,115	-	**481,071**
Lease liabilities	3,732	-	491,889	-	**495,621**
Other liabilities	949,835	22,203	343,607	6,819	**1,322,464**
Net Equity	22,691,228	-	(326,587)	-	**22,364,641**
Total Liabilities (2)	**89,347,086**	**10,049,365**	**90,929,042**	**2,471,099**	**192,796,592**
Net FX Position at 31 December 2022 (1)-(2)	**568,920**	**(294,174)**	**(286,997)**	**12,251**	**-**
Off balance sheet Assets	18,474,906	4,449,024	146,638,174	441,050	**170,003,154**
Off balance sheet Liabilities	18,472,271	4,176,293	146,907,834	446,756	**170,003,154**
Net Off BSH FX Position at 31 December 2022	**2,635**	**272,731**	**(269,660)**	**(5,706)**	**-**
Total Net FX Position at 31 December 2022	**571,555**	**(21,443)**	**(556,657)**	**6,545**	**-**
Balance sheet Assets as at 31 December 2021	15,640,001	5,373,081	140,472,310	-	**161,485,392**
Balance sheet Liabilities as at 31 December 2021	15,510,159	5,613,526	140,361,707		**161,485,392**
Net Off BSH FX Position at 31 December 2021	**129,842**	**(240,445)**	**110,603**	**-**	**-**
Total Net FX Position at 31 December 2021	**698,763**	**(534,619)**	**(176,395)**	**12,251**	**-**

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9. Financial Risk Management (continued)

(c) Market Risk (continued)

(ii) Exposure to Interest Rate risk

The principal Interest Rate risk to which the Bank's portfolios are exposed is the risk of loss from fluctuations in the future cash flows or fair values of financial instruments because of the change in market interest rates. This risk arises primarily from securities portfolio, retail and corporate banking. Interest rate risk is managed principally through periodic monitoring of interest rate spreads between the Bank's assets and liabilities and also preparing related scenario analysis on interest rates for decision making purposes.

The method used to measure Interest Rate risk of the Bank's assets and liabilities is based on the sensitivity analysis. The measurement system adopted by the Bank must ensure that the risk profile can be examined from two distinctive but complementary points of view:

- the economic value perspective (EVE - Economic Value of Equity), that evaluates the impact of interest rates shocks (and their volatilities) on the present value of future cash flows;
- the net interest income perspective (NII - Net Interest Income), that evaluates the impact of interest rates shocks (and their volatilities) on net interest income.

The Bank's financial assets and liabilities have mainly variable interest rate or have a re-pricing date of less than one year, except for Albanian Securities and for certain non-Albanian securities investment, which have fixed coupon rates between 3.36% - 6.9% for USD denominated securities (2021: 0.19% - 6.87%) and between 1.06% - 4.13% for EUR denominated securities (2021: 0.17 – 3.5%).

The Bank's Regulation on Interest Rate Risk Management, "ISBA Guidelines on the governance of IRRBB" and "ISBA Rules on the measurement and control of IRRBB" have been approved by the ISBA Board of Directors on 16 December 2022 and approved by ALCO meeting on 2 December 2022, based on the latest versions of IRRBB Guidelines issued by Parent Company in 2022.

These documents implement the latest regulatory provisions, recently defined in the Guidelines issued by the Parent Company on March 2021, based on the EBA regulation (EBA/GL/2018/02), and keeping the provisions of the Bank of Albania guideline "On managing interest rate risk in the banking book", approved as per decision No. 33, dated 30 April 2013. Interest rate risk generated by the Bank's assets and liabilities, as measured through shift sensitivity of Fair Value analysis of ± 100 basis points, registered at the end of December 2022 a value of ALL -248 million (for +100 basis points) compared to the end of year 2021 ALL -825 million.

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9. Financial Risk Management (continued)

(c) Market Risk (continued)

(ii) Exposure to Interest Rate risk (continued)

The table below shows the currency breakdown of the shift sensitivity for the year end 2022 and 2021.

Shift sensitivity

31-Dec-22	Increase in basis points	Total	Sensitivity of Profit & Loss	Sensitivity of Equity
EUR	**+100 b.p. / -100 b.p.**	(14,229)/18,392	127,219/(131,204)	(141,447)/149,595
USD	**+100 b.p. / -100 b.p.**	(39,989)/43,665	(39,989)/43,665	0/0
ALL	**+100 b.p. / -100 b.p.**	(194,324)/168,842	311,740/(353,025)	(506,064)/521,866
Other (GBP & CHF)	**+100 b.p. / -100 b.p.**	923/(939)	923/(939)	0/0
31-Dec-21	**Increase in basis points**	**Total**	**Sensitivity of Profit & Loss**	**Sensitivity of Equity**
EUR	**+100 b.p. / -100 b.p.**	(456,323)/356,880	(313,945)/239,403	(142,378)/117,477
USD	**+100 b.p. / -100 b.p.**	(61,806)/67,675	(60,780)/66,638	(1,025)/1,037
ALL	**+100 b.p. / -100 b.p.**	(308,653)/307,721	136,681/(131,670)	(445,334)/439,391
Other (GBP & CHF)	**+100 b.p. / -100 b.p.**	1,423/(1,451)	1,423/(1,451)	0/0

The limits on shift sensitivity of Fair Value (EVE) for shock +100bp and the NII Sensitivity for shocks +/-50bp are part of the RAF limits for ISBA 2022.

The NII sensitivity records the NII effects generated by the market rates movement on the renewal/re-pricing of the banking book. It quantifies the short-term impact on the net interest income of a parallel, instantaneous, permanent shock of ±50 basis points to the interest rate curve. This measure highlights the effect of variations in market rates on the interest margin generated by the portfolio that is being measured, excluding potential effects deriving from the new operations and future changes in the mix of assets and liabilities. The reference time horizon is typically limited to 1 year and according to the hypothesis that the institution is able to continue its activities ("going concern" approach).

The sight positions with customers in ALL and EUR are treated based on behavioral model for the NII sensitivity defining the customer interest rate in the long-term and including the behavioral features and delayed reaction to market interest rates (in the short-term) resulting from the model. The behavioral model is developed by ISP Financial and Market Risks Head Office Department, based on the ISBA historical data provided from the Local Risk structure. The model results have been update based on the latest historical data of ISBA sight position (sight loans and sight deposits up to July 2019) by the HO above structure for what concern Net Interest Income (NII) while, for what concern the potential changes to economic value of equity (EVE), is developed for the first-time in order to take into consideration: the positive trend in stocks, the periodic adjustments to the parameters used and various methodological refinements. The updated parameters results for NII and the new ones for EVE representation are approved in GFRC November 2019 and ISBA BOD August 2020.Both are fully implemented in August 2022 in the ALMPro risk system.

A different method used to measure Interest Rate risk is required by the Bank of Albania, which consists of quarterly monitoring of the interest rate risk exposure towards a parallel shock of ±200 basis points of the interest rate curve. For all the financial categories of assets and liabilities divided into either fixed or floating rate, their present value is calculated and is distributed in 14-time buckets. The total present value is then multiplied accordingly with the estimated modified duration of each time bucket. The limit for this exposure is 20% of the Bank's regulatory capital. The Bank has been within the limit with the interest rate risk exposures at 31 December 2022 being 6.3% of the Bank's regulatory capital (31 December 2021: 9.6%).

The Bank has been within the limits in accordance with Bank of Albania regulation and the internal regulation during the year 2022.

9. Financial Risk Management (continued)

(c) Market Risk (continued)

(ii) Exposure to Interest Rate risk (continued)

The tables below summarize the Bank's interest-bearing financial assets and liabilities with both fixed and floating interest rates, as reported to Parent company and management of the Bank.

Based on the management of Interest Rate risk regulation, the carrying amount of each financial instrument is mapped to the repricing gap based on contractual undiscounted cash-flows or behavioral re-pricing date. The contractual includes instruments where the Bank knows exactly when the maturity or next re-pricing takes place.

31-Dec-22		O/N	0-3 months	3-18 months	18m - 3 years	3 - 5 years	>5 years	Total
Assets	**Interest rate type**							
Loans and advances to banks	Fix rate	13,784,902	32,193,091	13,096,039	-	-	-	59,074,033
	Floating rate	-	-	-	-	-	-	-
Loans and advances to customers	Fix rate	5,554,329	7,474,431	4,477,641	3,063,900	1,496,764	1,537,772	23,604,836
	Floating rate	261,657	7,227,226	25,706,861	629,139	500,404	668,189	34,993,476
Financial investments	Fix rate	-	14,013,561	41,689,425	10,349,912	7,456,039	1,412,580	74,921,517
	Floating rate	-	1,103,549	1,496,342	-	-	-	2,599,891
Other financial assets	Fix rate	115,096	44,384	446,432	55,940	151,351	81,917	895,120
	Floating rate	1,521,159	-	-	-	-	-	1,521,159
Total financial assets (interest-bearing)		**30,945,278**	**21,237,143**	**62,056,241**	**86,912,740**	**14,098,891**	**9,604,558**	**3,700,458**
Liabilities								
Deposits to banks	Fix rate	(102,587)	(788,355)	(125,719)	-	-	-	(1,016,662)
	Floating rate	-	-	-	-	-	-	-
Due to customers	Fix rate	(78,206,891)	(22,529,405)	(43,758,636)	(15,191,171)	(8,382,102)	(189,424)	(168,257,629)
	Floating rate	-	-	-	-	-	-	-
Other liabilities	Fix rate	(727,355)	(75,572)	(600,677)	(268,621)	(182,814)	(57,182)	(1,912,221)
	Floating rate	-	-	-	-	-	-	-
Total financial liabilities (interest-bearing)		**(120,713,311)**	**(79,036,833)**	**(23,393,332)**	**(44,485,032)**	**(15,459,792)**	**(8,564,916)**	**(246,606)**
Interest sensitivity gap		**(57,799,690)**	**38,662,909**	**42,427,708**	**(1,360,901)**	**1,039,641**	**3,453,852**	**26,423,520**

The behavioral includes instruments whose residual life and/or interest rate have high levels of uncertainty that may depend on specific behaviors by customers, as the sight loans (advances to banks and advances to customers) and sight deposits (current accounts to customers) which are positioned in time buckets as per behavioral coefficients values, results of the model developed from Parent company based ISBA historical data. The model results, after the approval, are implemented in August 2022. The reprising gap is calculated according to the internal rules on Interest rate risk as the difference between interest-bearing assets and interest-bearing liabilities in a given time bucket. Other financial assets/liabilities, capital and reserves, are items not included in the reprising gap, not considered interest-bearing.

9. Financial Risk Management (continued)

(c) Market Risk (continued)

(ii) Exposure to Interest Rate risk (continued)

31-Dec-21		O/N	0-3 months	3-18 months	18m - 3 years	3 - 5 years	>5 years	Total
Assets	**Interest rate type**							
Loans and advances to banks	Fix rate	15,910,894	33,333,961	12,626,979	-	-	-	61,871,834
	Floating rate	-	-	-	-	-	-	-
Loans and advances to customers	Fix rate	13,119,322	852,384	3,442,928	2,364,878	1,408,885	1,687,421	22,875,818
	Floating rate	305,128	4,895,905	26,398,560	366,730	347,434	515,790	32,829,547
Financial investments	Fix rate	-	13,429,206	38,249,049	10,291,043	9,062,094	2,623,183	73,654,575
	Floating rate	-	1,673,964	1,571,224	4,674	-	-	3,249,862
Other financial assets	Fix rate	89,016	128,722	361,313	154,873	186,565	118,654	1,039,143
	Floating rate	1,520,918	-	-	-	-	-	1,520,918
Total financial assets (interest-bearing)		**30,945,278**	**54,314,143**	**82,650,053**	**13,182,198**	**11,004,977**	**4,945,049**	**197,041,697**
Liabilities								
Deposits to banks	Fix rate	(115,731)	(1,140,055)	-	(220,827)	-	-	(1,476,613)
	Floating rate	-	-	-	-	-	-	-
Due to customers	Fix rate	(119,965,860)	(11,408,175)	(24,579,319)	(11,669,354)	(2,760,793)	(175,317)	(170,558,818)
	Floating rate	-	-	-	-	-	-	-
Other liabilities	Fix rate	(631,720)	(67,591)	(591,493)	(238,964)	(215,029)	(80,556)	(1,825,353)
	Floating rate	-	-	-	-	-	-	-
Total financial liabilities (interest-bearing)		**(120,713,311)**	**(12,615,820)**	**(25,170,812)**	**(12,129,146)**	**(2,975,822)**	**(255,873)**	**(173,860,782)**
Interest sensitivity gap		**(89,768,033)**	**41,698,321**	**57,479,241**	**1,053,053**	**8,029,156**	**4,689,175**	**23,180,913**

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9. Financial Risk Management (continued)

(c) Operational Risk

Operational risk is defined as the risk of loss resulting from inadequate or failed internal processes, people, systems or external events. This definition includes: legal risk, or the risk of losses resulting from violations of law or regulations, from contractual or constructive liability or from other disputes; model risk, defined as the potential loss which can be suffered by an entity, resulting from decisions mainly based on the results of internal models, caused by errors occurred during their development, implementation or use; Compliance risk, defined as the risk to incur judicial or administrative penalties, relevant financial losses resulting from the violation of mandatory rules or self-regulation; ICT risk (Information and Communication Technology, or simply computer risk), defined as the risk to incur economic losses related to the use of information and communication technology. Strategic and reputational risks are excluded.

The Bank's Board of Directors has approved the guidelines on the overall operational risk management framework adopting a policy and an organizational process for measuring, managing and controlling operational risk. The Bank's Regulation on Guideline for Operational Risk Management is fully in compliance with the latest Group Guidelines for the Governance of Operational Risk issued on June 2020.

The Bank's Operational Risk Management Committee (hereinafter as ORCO) is responsible for the management of the operational risk of the Bank in terms of reviewing operational risk governance documentation and approving changes, preparing policies, standards and methodologies regarding operational risk management. One of the tools introduced for the management of operational risk is the definition of Operational Risk Key Indicators (KRIs). The final list of KRIs and thresholds was approved in ISBA Operational Risk Committee on October 2015. Since their approval, the Internal KRIs have been monitored and reported on quarterly bases in the ORCO and BoD meetings. The Internal KRIs are subject of an annual review process in order to ensure that they are aligned with the dynamic of the operational context and the significant risks that the Bank faces. Any amendment on KRIs policy will be submitted in ORCO and BoD for approval.

Thresholds for Bank of Albania KRI-s are defined and integrated within "ISBA KRIs Policy", approved in ISBA BOD 4 May 2018. The KRI-s are monitored on quarterly basis as per regulation BoA "On Operational Risk Management" in place, and reported in ORCO and BoD meetings.

The Bank's Risk Management Division is responsible for the identification, assessment, management and mitigation of operational risks, the verification of mitigation effectiveness and reporting to the Bank Senior Management and Group Risk Management with the aim of assessing the potential economic impact of particularly serious operational events.

The Bank carries out an annual assessment campaign set up by Intesa Sanpaolo Group, Self-Diagnosis process, which consists on the operational risk identification and assessment linked to the activity of each single unit within a structure.

The objectives of the Self Diagnosis process are to identify, measure, monitor, and mitigate operational risks. The Self Diagnosis process contributes to the spread of risk - control culture within the Bank. This process is composed of phases relative to the Assessment of the Business Environment, which determines the quality of each structure's risk control profile through the analysis of the importance and the level of management of risk factors in the operating context and phases relative to Scenario Analysis, which determine the size of each structure's risk profile by collecting estimated quantitative data from Business and Operational Units Responsible.

The Bank has the same responsibilities towards the Bank of Albania, based on the regulation on management of operational risk, entered into force on January 2011. The Bank reports regularly on the key indicators and classifications of effective operational losses as per business lines according to the regulatory requirements.

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9. Financial Risk Management (continued)

(d) Capital Management

The Bank's lead regulator, the Central Bank of Albania, sets and monitors capital requirements for the Bank. The Bank's policy is to maintain the capital base within limits, capitalizing all activity earnings so as to sustain future development of the business recognizing the impact of the level of capital on shareholders' return. The Bank recognizes the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

Implementing the current capital requirements, the Central Bank of Albania requires the Bank to maintain a prescribed ratio of total capital to total risk-weighted assets and off-balance sheet items, at a minimum level of 12%. During financial year 2022 the Bank achieved an adequacy ratio well above the minimum required which as at 31 December 2022 is calculated 26.45% (2021: 23.77%).

The modified capital adequacy ratio, which represents the ratio of base capital to risk-weighted assets and off-balance sheet items, is another limit set by the Central Bank of Albania at a level of 6%. Throughout the period, there were no material changes in the Bank's management of capital and all externally imposed capital requirements were complied with.

Regulation on Capital Adequacy Ratio entered into force in March 2015 and is based on Basel II criteria and in line with the European Directives for Financial Institutions.

	Note	31 December 2022	31 December 2021
Tier 1 capital - CET1			
Share capital	20	5,562,518	5,562,518
Share premium	20	1,383,880	1,383,880
Legal and regulatory reserves	21	1,825,623	1,825,623
Regulatory retained earnings		13,444,175	11,866,348
		22,216,196	**20,638,369**
Deductions:			
Regulatory intangible assets		(739,638)	(655,023)
Total qualifying Tier 1 capital		**21,476,558**	**19,983,345**
Risk-weighted assets:			
On and off-balance sheet		72,349,150	75,106,060
Risk assets for operational risk		8,807,288	8,963,432
Total risk-weighted assets		**81,156,438**	**84,069,492**
Tier I capital to risk- weighted asset ratio (Capital adequacy ratio)		**26.46%**	**23.77%**

As at 31 December 2017, the Bank of Albania the guideline "On the internal capital adequacy assessment process" entered in force which set out the requirements for banks on drafting and implementing the Internal Capital Adequacy Assessment Process (ICAAP), as well as the expectations of the supervisor on the structure and content of the regulatory report of this process. ICAAP, which is independently realized by the bank and approved from its governing bodies by acknowledging also regulatory requirements, shall ensure the assessment of the current and future levels of capital adequacy, based on its risk profile and strategies ICAAP has been prepared by the Bank starting from year 2013 following also the ISP Group requirement and also have been timely submitted to the regulator within April 2022.

10. Fair value measurement

The following table provides the fair value measurement hierarchy of the bank's assets and liabilities.

		Fair value measurement using							
		31-Dec-22				31-Dec-21			
Assets measured at fair value:	**Date of valuation**	**Total**	**Quoted prices in active markets (Level 1)**	**Significant observable inputs (Level 2)**	**Significant unobservable inputs (Level 3)**	**Total**	**Quoted prices in active markets (Level 1)**	**Significant observable inputs (Level 2)**	**Significant unobservable inputs (Level 3)**
Investment securities at FVOCI	12/31/2022	**60,520,517**	6,431,205	54,076,282	13,030	**51,351,170**	8,119,315	43,231,855	-
Property and equipment	12/31/2022	**1,256,998**			1,256,998	**1,274,659**	-	-	1,274,659
Investment property	12/31/2022	**502,498**			502,498	**533,798**	-	-	533,798
		62,280,013	**6,431,205**	**54,076,282**	**1,772,526**	**53,159,627**	**8,119,315**	**43,231,855**	**1,808,457**

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11. Financial Assets and Financial Liabilities

(a) Fair values of financial assets and financial liabilities

		Carrying Amount					Fair Value			
31 December 2022	**Note**	**Investment securities at amortized cost**	**Investment securities at FVOCI**	**Loans and advances to banks**	**Other financial liabilities**	**Total carrying amount**	**Level 1**	**Level 2**	**Level 3**	**Total**
Loans and advances to banks	16	-	-	33,225,482	-	**33,225,482**	-	-	33,225,482	**33,225,482**
Investments securities at amortized cost	17	12,676,950	-	-	-	**12,676,950**	3,594,231	9,354,627	-	**12,948,858**
Investment securities at FVOCI	17	-	60,520,517	-	-	**60,520,517**	6,431,205	54,076,282	13,030	**60,520,517**
Total		**12,676,950**	**60,520,517**	**33,225,482**	**-**	**106,422,949**	**10,025,436**	**63,430,909**	**33,238,512**	**106,694,857**
Deposits from customers	26	-	-	-	**167,115,012**	**167,115,012**	-	-	166,721,524	**166,721,524**
Total		**-**	**-**	**-**	**167,115,012**	**167,115,012**	**-**	**-**	**166,721,524**	**166,721,524**

31 December 2021	**Note**	**Investment securities at amortized cost**	**Investment securities at FVOCI**	**Loans and advances to banks**	**Other financial liabilities**	**Total carrying amount**	**Level 1**	**Level 2**	**Level 3**	**Total**
Loans and advances to banks	16	-	-	32,631,895	-	**32,631,895**	-	-	32,631,895	**32,631,895**
Investments securities at amortized cost	17	22,784,209	-	-	-	**22,784,209**	3,628,000	19,443,242	-	**23,071,242**
Investment securities at FVOCI	17	-	51,351,170	-	-	**51,351,170**	5,148,965	46,202,205	-	**51,351,170**
Total		**22,784,209**	**51,351,170**	**32,631,895**	**-**	**106,767,273**	**8,776,965**	**65,645,447**	**32,631,895**	**107,054,307**
Deposits from customers	26	-	-	-	169,461,419	**169,461,419**	-	-	170,031,068	**170,031,068**
Total		**-**		**-**	**169,461,419**	**169,461,419**	**-**	**-**	**170,031,068**	**170,031,068**

HTC Albanian Government securities are fixed and floating rate bonds. The floating rate bond is given as the average yield of the last three Treasury bill auctions with the maturity of one year plus the spread. The measurement of the fair value for these securities is performed using the mark-to-market model valuation technique, by discounting all future cash flows deriving from such instruments. The rest of the HTC foreign securities denominated in foreign currencies represent Banks and Financial Institutions' securities whose fair value is measured according the "ISBA fair value internal rules".

Loans and advances to customers have carrying amount, which is considered also their fair value, as the major part of portfolio is based on floating interest rates. The fair value of Time Deposits from customers is re-priced using the net present value. The interest rates applied are the market interest rates published from Bank of Albania. These rates are an estimate of the market rates. The fair value of current accounts, savings accounts is considered to approximate their carrying amount, given they have short-term maturity.

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11. Financial Assets and Financial Liabilities (continued)

(b) Classification of financial assets and financial liabilities

See accounting policies in Notes 9 (f)(ii).

The following table provides a reconciliation between line items in the statement of financial position and categories of financial instruments.

	Note	Amortized cost	FVOCI	Total carrying amount
31 December 2022				
Financial Assets				
Cash and cash equivalents	13	27,189,133	-	**27,189,133**
Loans and advances to banks	14	33,225,482	-	**33,225,482**
Investment securities	15	12,676,950	60,520,517	**73,197,467**
Loans and advances to customers	16	54,267,232	-	**54,267,232**
Total		**127,358,797**	**60,520,517**	**187,879,314**
Financial Liabilities				
Due to banks	23	1,017,783	-	**1,017,783**
Due to customers	24	167,115,012	-	**167,115,012**
Total		**168,132,795**	-	**168,132,795**

	Note	Amortized cost	FVOCI	Total carrying amount
31 December 2021				
Financial Assets				
Cash and cash equivalents	13	29,643,298	-	29,643,298
Loans and advances to banks	14	33,853,071	-	33,853,071
Investments securities	15	22,784,209	51,351,170	**74,135,379**
Loans and advances to customers	16	52,967,843	-	**52,967,843**
Total		**139,248,421**	**51,351,170**	**190,599,591**
Financial Liabilities				
Due to banks	23	1,476,439	-	**1,476,439**
Due to customers	24	169,461,419	-	**169,461,419**
Total		**170,937,858**	**-**	**170,937,858**

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12. Maturity analysis of assets and liabilities

The table below shows an analysis of assets and liabilities presented according to their contractual maturity. Due to customers portfolio within 12 months are renewable and is expected to be recovered or settled after one year.

		31 December 2022		
Assets	**Note**	**Within 12 months**	**After 12 months**	**Total**
Cash and cash equivalents	13	25,989,152	-	25,989,152
Loans and advances to banks	14	34,425,463	-	34,425,463
Investment securities	15	41,348,950	31,848,517	73,197,467
Loans and advances to customers	16	13,669,727	39,459,682	54,267,232
Current tax assets		154,092	-	154,092
Property and equipment	18	-	1,886,036	1,886,036
Right- of use	19		515,150	515,150
Intangible assets	20	-	604,206	604,206
Investment property	21	-	502,498	502,498
Inventory and other assets	22	602,978	275,759	878,737
Deferred tax assets		-	376,559	376,559
Total Assets		**115,433,292**	**76,225,477**	**192,796,592**
Liabilities				
Due to banks	23	1,017,783		1,017,783
Due to customers	24	144,495,170	22,619,842	167,115,012
Lease liability	19	-	495,621	495,621
Other liabilities	27	-	1,322,463	1,322,463
Provisions	26		481,071	481,071
Total Equity		-	22,262,181	22,262,182
Total Liabilities and Equity		**145,512,953**	**47,181,178**	**192,694,131**

		31December 2021		
Assets	**Note**	**Within 12 months**	**After 12 months**	**Total**
Cash and cash equivalents	13	29,643,298	-	29,643,298
Loans and advances to banks	14	33,853,071	-	33,853,071
Investment securities	15	42,835,118	31,300,261	74,135,379
Loans and advances to customers	16	12,510,566	40,457,277	52,967,843
Current tax assets		-	290,395	290,395
Property and equipment	18	-	1,974,017	1,974,017
Right- of use	19		469,669	469,669
Intangible assets	20	-	517,811	517,811
Investment property	21	-	533,798	533,798
Deferred tax assets		-	862,348	862,348
Inventory and other assets	22	-	422,933	422,933
Total Assets		**118,842,052**	**76,828,511**	**195,670,563**
Liabilities				
Due to banks	23	1,476,439	-	1,476,439
Due to customers	24	151,278,236	18,183,183	169,461,419
Lease liability	19	-	468,760	468,760
Deferred tax liabilities	25	-	1,182,079	1,182,079
Provisions	26	-	220,618	220,618
Other liabilities	27	-	534,549	534,549
Total Equity		-	22,326,699	22,326,699
Total Liabilities and Equity		**152,754,675**	**42,915,888**	**195,670,563**

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13. Cash and cash equivalents

Cash and cash equivalents as at 31 December 2022 and 31 December 2021 are detailed as follows:

	31 December 2022	31 December 2021
Cash on hand	1,519,879	1,521,766
Current accounts with banks	5,381,970	13,847,919
Unrestricted balances with Bank of Albania	7,695,379	588,994
Money market placements	11,392,480	13,690,431
Less impairment loss allowance	(556)	(5,812)
Total	**25,989,152**	**29,643,298**

14. Loans and advances to banks

Loans and advances to banks as at 31 December 2022 and 31 December 2021 are composed as follows:

	31 December 2022	31 December 2021
Compulsory reserve with Bank of Albania	17,842,930	17,534,190
Deposits with correspondent banks	16,584,100	15,604,577
Repurchase agreement	-	717,486
Less impairment loss allowance	(1,567)	(3,182)
Total	**34,425,463**	**33,853,071**

In accordance with the Bank of Albania requirements, the Bank at the reporting date should maintain a minimum of compulsory reserve as per percentages determined by the regulator (See note 9.(b).(ii)).

Such reserves are maintained in original currency for due to customer balances denominated in local currency. For due to customer balances denominated in foreign currency the Bank is obliged to maintain in original currency.

The amount required to be deposited is calculated monthly in arrears. According to the Bank of Albania regulation 70% of this reserve in Lek is available for daily use by the Bank.

The remuneration interest rate of obligatory reserve denominated in Lek is 70% of repurchase agreements rate equal to 3.75% for 31 December 2022 (31 December 2021: 1.00%).

The remuneration interest rate of the obligatory reserve in EUR is equal to 0% for EUR for 31 December 2022 (31 December 2021: minus 0.50%).

Deposits with banks comprise money market placements with an original maturity of over three months, which are not part of cash and equivalents.

15. Investment securities

	31 December 2022	31 December 2022
Investment securities measured at FVOCI-debt instruments	60,520,517	51,351,170
Investment securities measured at amortized cost- debt instruments	12,676,950	22,784,209
Total	**73,197,467**	**74,135,379**

Investment securities measured at FVOCI as at 31 December 2022 and 31 December 2021 can be detailed as follows:

	31 December 2022	31 December 2021
Sovereign issuers		
Republic of Albania	**55,580,294**	**48,074,914**
Unlisted	54,089,312	43,231,855
Listed	1,490,982	4,843,059
EU member states	**2,591,127**	**2,744,584**
Listed	2,591,127	2,744,584
Other Financial Institutions	**2,349,096**	**531,672**
Listed	2,349,096	531,672
Total	**60,520,517**	**51,351,170**

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15. Investment securities (continued)

Investment securities measured at amortized cost as at 31 December 2022 and 31 December 2021 can be detailed as follows:

	31 December 2022	31 December 2021
Sovereign issuers		
Republic of Albania	**10,661,004**	**20,760,243**
Unlisted	9,177,096	19,189,974
Listed	1,483,908	1,570,269
US and EU member states	**2,015,946**	**2,023,966**
Listed	2,015,946	2,023,966
Total	**12,676,950**	**22,784,209**

As at 31 December 2022 and 31 December 2021 no Albanian Government securities have been pledged as collateral for repurchase agreements.

16. Loans and advances to customers

Loans and advances to customers measured at amortized cost are composed as follows:

	31 December 2022	31 December 2021
Loans	43,079,273	41,701,801
Overdrafts	12,901,058	12,965,298
Financial lease	436,074	482,897
Deferred disbursement fees	(184,623)	(168,122)
Gross amount	**56,231,782**	**54,981,874**
Less impairment loss allowance (see Note 9.(a).(v))	(1,964,550)	(2,014,031)
Total net amount	**54,267,232**	**52,967,843**

The Bank leases out certain equipment under finance leases in its capacity as a lessor.

The following table sets out a maturity analysis of lease receivables, showing the undiscounted lease payments to be received after the reporting date.

	31 December 2022	31 December 2021
Less than one year	208,216	6,281
Between one and five years	223,587	473,048
Over 5 years	4,271	3,568
Gross finance lease	**436,074**	**482,897**
Less impairment allowance	(32,943)	(4,494)
Total	**403,131**	**478,403**

The following table sets out presentation of loans and advances to customers as per loan category.

	2022			2021		
	Gross carrying amount	ECL allowance	Carrying amount	Gross carrying amount	Impairment allowance	Carrying amount
Retail customers	**29,224,959**	**1,070,030**	**28,154,929**	**27,467,998**	**1,023,893**	**26,444,105**
Mortgage lending	12,594,254	286,848	12,307,406	12,219,230	284,687	11,934,543
Personal loans	16,560,463	773,584	15,786,879	15,200,563	731,550	14,469,013
Credit cards	46,910	7,690	39,220	28,468	6,266	22,202
Leasing	23,332	1,908	21,424	19,737	1,390	18,347
Corporate customers	**27,006,823**	**894,520**	**26,112,303**	**27,513,876**	**990,138**	**26,523,738**
Investment loans	24,229,616	682,232	23,547,384	24,389,408	836,436	23,552,972
Working capital	2,364,465	181,253	2,183,212	2,661,308	150,598	2,510,710
Leasing	412,742	31,035	381,707	463,160	3,104	460,056
Total	**56,231,782**	**1,964,550**	**54,267,232**	**54,981,874**	**2,014,031**	**52,967,843**

17. Property and Equipment

Property and Equipment as at 31 December 2022 and 31 December 2021 is as follows:

	Land and Building*	IT and Electrical Equipment	Furniture and Fine Art Works	Other non-Electrical Assets	Assets acquired not put into use	Total
Cost or fair value*						
Balance as at 1 January 2021	**1,320,839**	**1,244,300**	**167,521**	**255,882**	**275,526**	**3,264,068**
Additions	-	147,448	19,898	14,037	47,776	**229,159**
Disposals	-	(24,152)	(17,537)	(1,445)	-	**(43,134)**
Adjustment of Revaluation	-	-	-	-	-	-
Balance as at 31 December 2021	**1,320,839**	**1,367,596**	**169,882**	**268,474**	**323,302**	**3,450,093**
Additions	29,428	180,515	8,943	49,547	(158,541)	109,892
Disposals	-	(267,885)	(13,808)	(66,347)	-	(348,040)
Adjustment of Revaluation	-	-	-	-	-	-
Balance as at 31 December 2022	**1,350,267**	**1,280,226**	**165,017**	**251,674**	**164,761**	**3,211,945**
Accumulated Depreciation						
Balance as at 1 January 2021	**-**	**1,069,719**	**128,179**	**150,588**	**-**	**1,348,486**
Depreciation for the year	46,180	76,444	11,450	20,278	-	**154,352**
Disposals	-	(5,975)	(14,217)	(6,570)	-	**(26,762)**
Used on the Impairment loss	-	-	-	-	-	-
Balance as at 31 December 2021	**46,180**	**1,140,188**	**125,412**	**164,296**	**-**	**1,476,076**
Depreciation for the year	47,089	98,425	11,233	22,042	-	178,789
Disposals	-	(256,352)	(10,878)	(61,726)	-	(328,956)
Used on the Impairment loss	-	-	-	-	-	-
Balance as at 31 December 2022	**93,269**	**982,261**	**125,767**	**124,612**	**-**	**1,325,909**
Carrying amount						
At 31 December 2021	**1,274,659**	**227,408**	**44,470**	**104,178**	**323,302**	**1,974,017**
At 31 December 2022	**1,256,998**	**297,965**	**39,250**	**127,062**	**164,761**	**1,886,036**

*The fair value of land and building was determined by external, independent property valuers, having appropriate recognized professional qualifications and recent experience in the location and category of the property being valued. The independent valuers provide the fair value of the Bank's own-used property portfolio every three years and its fair value measurement is categorized as a Level 3 fair value based on the inputs to comparable approach used.

Fully depreciated assets still in use for the year ended 2022 have an historical cost of ALL 52,697 thousand.

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18. Right of use of assets and lease liability

A. Leases as lessee

The Bank leases a number of branch and office premises. This leases typically run for a period of 10 years, with an option to renew the lease after that date. For some leases, payments are renegotiated every five years to reflect market rentals. Some lease provides for additional rent payments that are based on changes in local price indices. The Bank also leases IT equipment with contract terms of one to three years. These leases are short-term and/or leases of low-value items. The Bank has elected not to recognize right-of-use assets and lease liabilities for these leases. The information about leases for which the Bank is a lessee is presented below:

	Right-of-use assets		
	Buildings	**Other tangible assets**	**Total**
Cost			
At 1 January 2021	**745,346**	**67,251**	**812,597**
Additions	32,787	-	32,787
Modifications	-	-	-
Disposal/Transfer	(41,212)	-	(41,212)
At 31 December 2021	**736,921**	**67,251**	**804,172**
Additions	269,583	-	269,583
Modifications	-	-	-
Disposal/Transfer	(228,645)	-	(228,645)
At 31 December 2022	**777,859**	**67,251**	**845,110**
Accumulated Depreciation			
At 1 January 2021	**(193,779)**	**(17,659)**	**(211,438)**
Depreciation charge	(148,218)	(14,119)	(162,337)
Depreciation charge for disposals	39,272	-	**39,272**
At 31 December 2021	**(302,725)**	**(31,778)**	**(334,503)**
Depreciation charge	(134,034)	(14,118)	**(148,152)**
Depreciation charge for disposals	152,695	-	152,695
At 31 December 2022	**(284,064)**	**(45,896)**	**(329,960)**
Net book amount			
At 31 December 2021	**434,196**	**35,473**	**469,669**
At 31 December 2022	**493,795**	**21,355**	**515,150**
Average Discount rate	**2.31%**	**0.66%**	

The Bank has rental agreements with renewal options for its offices in Albania. During 2022, the amount of Lek 27,679 thousand was recognized as operating lease expense under IAS 17 in respect of lease rentals (2021: Lek 17,160 thousand).

i. Extension options

Some leases of office premises contain extension options exercisable by the Bank up to one year before the end of the non-cancellable contract period. Where applicable, the Bank seeks to include extension options in new leases to provide operational flexibility. The extension options held are exercisable only by the Bank and not by the lessors. The Bank assesses at lease commencement date whether it is reasonably certain to exercise the extension options. The Bank reassesses whether it reasonably certain to exercise the options if there is a significant event or significant changes in circumstances within its control.

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18. Right of use of assets and lease liability (continued)

Lease Liability

Set out below are the carrying amounts of lease liabilities and the movements during the period:

	2022	2020
At 1 January	**468,760**	**602,986**
Additions	266,124	32,746
Disposals	(74,500)	(1,911)
Modifications	-	-
Accrual of interest	10,045	8,756
Lease payment	(149,894)	(161,202)
Revaluation effect	(24,914)	(12,615)
At 31 December	**495,621**	**468,760**

The maturity analysis of lease liabilities is disclosed in Note 12.

19. Intangible Assets

Intangible assets as at 31 December 2022and 31 December 2021 are as follows:

	Software and Licenses	Advances for Software	Total
Cost			
Balance as at 1 January 2021	**2,180,370**	**120,027**	**2,300,397**
Additions during period	162,728	21,787	184,515
Transfers	-	-	-
Balance as at 31 December 2021	**2,343,098**	**141,814**	**2,484,912**
Additions during period	207,082	35,786	242,868
Transfers	-	-	-
Balance as at 31 December 2022	**2,550,180**	**177,600**	**2,727,780**
Amortization and Impairment Losses			
Balance as at 1 January 2021	**1,810,566**	-	**1,810,566**
Amortization charge for the year	156,535	-	**156,535**
Disposals	-	-	**-**
Balance as at 31 December 2021	**1,967,101**	**-**	**1,967,101**
Amortization charge for the year	156,473	-	**156,473**
Disposals			
Balance as at31 December 2022	**2,123,574**	**-**	**2,123,574**
Carrying amount			
At 1 January 2021	**369,804**	**120,027**	**489,831**
At 31 December 2021	**375,997**	**141,814**	**517,811**
At 31 December 2022	**426,606**	**177,600**	**604,206**

Fully depreciated assets still in use for the year ended 2022 have an historical cost of ALL 1,717 mio.

20. Investment property

The Bank holds investment property as consequence of acquisitions through enforcement of security over loans and advances. As at 31 December 2022, the investment property represents a foreclosed collateral repossessed during 2017. During 2022, investment property rentals of Lek 15,719 thousand (2021: Lek 15,146 thousand) have been recognized in other income. Based on the agreement between parties the annual rent for the first year is calculated 2.8% of the historical cost. The annual rent change over the period based on the payment of instalment for purchase of the property.

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20. Investment property (continued)

The following table shows a reconciliation from the beginning balances to the closing balances for the fair value measurements of the Bank's investment property.

	2022	2021
Balance at 1 January	**533,798**	**533,798**
Acquired during the year	-	-
Assets sold during the year	-	-
Net changes in fair value	(31,300)	-
Balance at 31 December	**502,498**	**533,798**

The fair value of investment property was determined by external, independent property valuers, having appropriate recognized professional qualifications and recent experience in the location and category of the property being valued. The independent valuers provide the fair value of the Bank's investment property portfolio every year and its fair value measurement is categorized as a Level 3 fair value based on the inputs to comparable approach used.

Description of valuation techniques used and key inputs to valuation of investment property is as following:

		2022	2021
Valuation technique	**Significant unobservable inputs**	**Range (weighted average)**	
Discounted cash flow method (DCF)	Estimated rental value per sqm per month	1,167 - 12,376 EUR	1,167 - 12,376 EUR
	Discounted rate	9%	9%

Using the DCF method, fair value is estimated using assumptions regarding the benefits and liabilities of Ownership over the asset's life including an exit or terminal value. This method involves the projection of a series of cash flows on a real property interest. To this projected cash flow series, a market-derived discount rate is applied to establish the present value of the income stream associated with the asset.

21. Other assets

Other assets as at 31 December 2022 and 31 December 2021 are as follows:

	31 December 2022	31 December 2021
Sundry debtors	26,964	42,076
ATM & POS transactions	100,861	81,151
Leasehold improvements	109,605	77,080
Prepayments	60,266	22,226
Cheques for collection	2,570	7,425
VAT Receivable	224,651	175,217
Others	78,061	98,164
Total	**602,978**	**503,339**

The movement of leasehold improvements during the reporting period is presented as follows:

	31 December 2022	31 December 2021
At beginning of the period	**77,080**	**92,913**
Additions during period	60,125	6,075
Write off	-	-
Amortization of the period	(17,422)	(15,516)
Transfer for Integration Costs (note 26)	(10,178)	(6,392)
At end of the period	**109,605**	**77,080**

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22. Repossessed assets

Inventory represents repossessed assets acquired in the process of collection of defaulted loans. The movement of "repossessed assets" item during the reporting period is presented as follows. The foreign exchange effect arises due to the fact that such assets are typically priced in Euro in the market.

	2022	2021
At beginning of the period	359,008	668,996
Additions during period	47,098	36,681
Disposals of the period	(26,506)	(161,274)
Write back/(down) to net realizable value	(91,421)	(176,780)
Effect of movements in foreign exchange	(12,420)	(8,615)
At end of the period	**275,759**	**359,008**

23. Due to banks

Due to banks as at 31 December 2022 and 31 December 2021 are as follows:

	31 December 2022	31 December 2021
Correspondent banks		
Current accounts	**229,783**	**336,423**
Resident	1,574	*7,778*
Non-resident	228,209	*328,645*
Deposits	**788,000**	**1,140,016**
Resident	788,000	1,140,016
Non-resident	-	-
Current Accounts with Central Bank		
Total	**1,017,783**	**1,476,439**

As at 31 December 2022 and 31 December 2021, no Albanian Government securities have been pledged as collateral for repurchase agreements.

24. Due to customers

Due to customers as at 31 December 2022 and 31 December 2021 are composed as follows:

	31 December 2022			31 December 2021		
Current accounts	**Local Currency**	**Foreign Currency**	**Total**	**Local Currency**	**Foreign Currency**	**Total**
Retail	14,202,597	29,929,058	44,131,655	13,225,273	27,531,909	40,757,182
Corporate	14,065,469	30,239,899	44,305,368	14,876,537	32,170,681	47,047,218
	28,268,066	**60,168,957**	**88,437,023**	**28,101,810**	**59,702,590**	**87,804,400**
Deposits						
Retail	35,382,306	38,423,515	73,805,821	36,917,950	40,199,260	77,117,210
Corporate	920,465	3,951,703	4,872,168	1,294,413	3,245,396	4,539,809
	36,302,771	**42,375,218**	**78,677,989**	**38,212,363**	**43,444,656**	**81,657,019**
Total	**64,570,837**	**102,544,175**	**167,115,012**	**66,314,173**	**103,147,246**	**169,461,419**

Balances due to customers by maturity and currency type are as follows:

	31 December 2022			31 December 2021		
	Local Currency	**Foreign Currency**	**Total**	**Local Currency**	**Foreign Currency**	**Total**
Current Accounts	**28,455,618**	**59,981,405**	**88,437,023**	**28,101,810**	**59,702,590**	**87,804,400**
Deposits						
On demand	5,934,735	25,544,518	31,479,253	6,330,861	25,457,736	31,788,597
One month	7,135	32,018	39,153	307,529	66,315	373,844
Three months	394,454	3,935,198	4,329,652	471,070	1,129,399	1,600,469
Six months	1,225,832	1,884,377	3,110,209	1,460,054	1,849,714	3,309,768
Nine months	65,353	35,450	100,803	87,997	30,878	118,875
Twelve months	8,032,719	8,966,358	16,999,077	8,545,461	12,545,936	21,091,397
Twenty-four months	4,198,582	1,350,566	5,549,148	4,452,010	1,694,361	6,146,371
Other	16,443,698	626,996	17,070,694	16,557,381	670,317	17,227,698
	36,302,508	**42,375,481**	**78,677,989**	**38,212,363**	**43,444,656**	**81,657,019**
Total	**64,758,126**	**102,356,886**	**167,115,012**	**66,314,173**	**103,147,246**	**169,461,419**

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24. Due to customers (continued)

For current accounts (for which is paid interest) and time deposits, the annual published interest rates applicable for the various fixed terms were:

2022	ALL (%)	USD (%)	EUR (%)
Current accounts and demand deposits	0.05 - 2.35	0.05 - 3.16	0.58 - 1.51
Time deposits - 1 month	0.20 - 0.20	0.05 - 0.10	0.00 - 0.00
Time deposits - 3 months	0.20 - 0.70	0.10 - 0.20	0.00 - 0.20
Time deposits - 6 months	0.20 - 0.80	0.10 - 0.25	0.00 - 0.30
Time deposits - 9 months	0.40 - 0.40		0.00 - 0.00
Time deposits - 10 months	0.50 - 0.85	0.35 - 0.35	
Time deposits - 12 months	0.20 - 1.30	0.10 - 0.30	0.00 - 0.50
Time deposits - 13 months	0.80 - 0.80		
Time deposits - 15 months	0.85 - 1.25	0.45 - 0.45	
Time deposits - 18 months	0.90 - 1.17	0.20 - 0.20	0.00 - 0.00
Time deposits - 21 months	0.95 - 1.35		
Time deposits - 24 months	1.05 - 1.80	0.20 - 0.25	0.00 - 0.80
Time deposits - 30 months	1.20 - 1.32		
Time deposits - 36 months	1.40 - 2.95	0.25 - 0.25	0.00 - 1.10
Time deposits - 60 months	2.26 - 3.6	0.25 - 0.25	0.00 - 0.00
Time deposits - 84 months	3.09 - 3.25		
2021	**ALL (%)**	**USD (%)**	**EUR (%)**
Current accounts and demand deposits	0.05 - 1.53	0.05 - 0.1	0.20 - 0.65
Time deposits - 1 month	0.20 - 0.20	0.05 - 0.10	0.00 - 0.00
Time deposits - 3 months	0.20 - 0.30	0.10 - 0.20	0.00 - 0.00
Time deposits - 6 months	0.20 - 0.40	0.10 - 0.25	0.00 - 0.00
Time deposits - 9 months	0.40 - 0.40	-	0.00 - 0.00
Time deposits - 10 months	0.50 - 0.50	0.35 - 0.35	-
Time deposits - 12 months	0.20 - 0.75	0.10 - 0.30	0.00 - 0.00
Time deposits - 13 months	0.80 - 0.80	-	-
Time deposits - 15 months	0.85 - 0.85	0.45 - 0.45	-
Time deposits - 18 months	0.90 - 0.95	0.20 - 0.20	0.00 - 0.00

All individual and cooperate customer deposits, in accordance with the Law No. 52, dated 25.05.2014 "On the Insurance of Deposits" amended, are protected without any cost for customers, up to the amount of Lek 2,500,000 (or in Lek equivalent if in foreign currency) with the Deposit Insurance Agency (DIA).

25. Deferred Tax

Recognized deferred tax assets and liabilities are attributable to the following:

	31 December 2022			31 December 2021		
	Assets	**Liabilities**	**Net**	**Assets**	**Liabilities**	**Net**
Investment securities measured at FVOCI	169,421	-	169,421	-	54,392	(54,392)
Allowance for expected credit losses	53,180	-	53,180	91,002	-	91,002
Investment Property	-	1,599	(1,599)	-	1,599	(1,599)
Repossessed assets	147,014	-	147,014	148,944	-	148,944
Properties		94,177	(94,177)	-	94,177	(94,177)
Right-of-use assets	74,343	77,272	(2,929)	70,569	70,450	119
Equipment and intangible assets	105,649	-	105,649	112,418	-	112,418
Net deferred tax assets	**549,607**	**173,048**	**376,559**	**422,933**	**220,618**	**202,315**

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25. Deferred Tax (continued)

Movements in temporary differences during the year are as follows:

31 December 2022	Opening balance	Recognized in profit or loss	Recognized in other comprehensive income	Closing Balance
Investment securities measured at FVOCI	(54,392)	-	223,813	**169,421**
Allowance for expected credit losses	91,002	-	(37,822)	**53,180**
Investment Property	(1,599)	-	-	**(1,599)**
Repossessed assets	148,944	(1,930)	-	**147,014**
Properties	(94,177)	-	-	**(94,177)**
Right-of-use assets	119	(3,048)	-	**(2,929)**
Equipment and intangible assets	112,418	(6,769)	-	**105,649**
Total	**202,315**	**(11,747)**	**185,991**	**376,559**

31 December 2021	Opening balance	Recognized in profit or loss	Recognized in other comprehensive income	Closing Balance
Investment securities measured at FVOCI	(73,396)	-	19,004	**(54,392)**
Allowance for expected credit losses	102,297	-	(11,295)	**91,002**
Investment Property	(1,599)	-	-	**(1,599)**
Repossessed assets	173,816	(24,872)	-	**148,944**
Properties	(94,177)	-	-	**(94,177)**
Right-of-use assets	275	(156)	-	**118**
Equipment and intangible assets	91,758	20,660	-	**112,418**
Total	**198,974**	**(4,368)**	**7,709**	**202,315**

26. Provisions

Movements in provisions during the year are as follows:

	Tax Litigation	Other Litigations	Off-Balance Sheet ECL	Integration costs	Total
Balance at 1 January 2022	**154,094**	**218,646**	**43,175**	**118,634**	**534,549**
Provisions made/(reversed) during the year	145	(45,514)	28,354	(26,733)	**(43,748)**
Provisions used during the year	-	(754)	-	-	**(754)**
Effect of movements in foreign exchange	-	(6,775)	(2,201)	-	**(8,976)**
Balance at 31 December 2022	**154,239**	**165,603**	**69,328**	**91,901**	**481,071**

27. Other liabilities

Other liabilities as at 31 December 2022 and 31 December 2021 are composed as follows:

	31 December 2022	31 December 2021
Accrued expenses	407,414	511,039
Sundry creditors	140,915	98,988
Suspense accounts	284,872	235,551
Bank cheques issued and payments in transit	277,879	179,216
Other tax liabilities	184,026	127,104
Due to third parties	27,356	24,957
Other	2	5,222
Total	**1,322,464**	**1,182,077**

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28. Share capital and share premium

The issued share capital comprises one class of shares as follows:

	Number of Shares (In number)	Nominal Value (In Lek)	Total Shares Value (In Lek)
Share Capital at 31 December 2021 and 2022	**15,581,282**	**357**	**5,562,517,674**

Share premium represents the amount paid from the shareholder in excess of the registered share capital. Intesa Sanpaolo S.p.A is the sole shareholder and also ultimate parent and there are no changes in the number of shares for year ended 31 December 2022 and 2021. During 2022 no dividend was recognized as distribution to the ultimate parent (2021: Lek 1,702 thousand).

29. Reserves

As at 31 December 2022 and 31 December 2021, the reserves were:

	31 December 2022	31 December 2021
Regulatory reserve (*a*)	1,125,443	1,125,443
Legal reserve (*b*)	700,180	700,180
Fair value reserve (*c*)	(329,668)	884,331
Revaluation reserve (*d*)	533,669	533,669
Other capital reserve (*e*)	714,554	714,554
Merger reserve (*f*)	2,813,396	2,813,396
Total	**5,557,574**	**6,771,573**

Nature and purpose of the reserves

a. The regulatory reserve was established according to the Central Bank of Albania regulation "On the Bank's Regulatory Capital", no.69, dated 18 December 2014. Banks and branches of foreign banks are required to create reserves of 1.25% to 2% of total risk-weighted assets, by appropriating one fifth of the profit after taxes and before payment of dividends, until the balance on this measure reaches at least 1.25% of total risk-weighted assets. At 31 December 2022, the regulatory reserve represented 1.34% of total risk-weighted assets (2021: 1.34%).

b. The legal reserve was established according to the provisions of the Commercial Law requiring the creation of reserves of 5% of the Bank's net income after deduction of accumulated losses from previous years, until the balance of this reserve reaches 10% of the Bank's share capital. At 31 December 2022, the balance represented 10% of the Bank's share capital (2021: 10%). This threshold is not mandatory, when the existing reserves are not less than one tenth of the Bank's share capital.

c. The Fair value reserve represent the cumulative net change in fair value of the securities at FVOCI until the asset are derecognized or reclassified.

Below is disclosed the gross value of the fair value reserve and the deferred tax as at 31 December 2022 and 2021:

	31 December 2022	31 December 2021
Gross reserve	(499,089)	829,939
Deferred tax	169,421	54,392
Total	**(329,668)**	**884,331**

d. The revaluation reserve relates to the revaluation of owed used property. The fair value reserve comprises the cumulative net change in the fair value of available-for-sale financial assets until the assets are derecognized or impaired.

e. Other capital reserve represents the differences arising from the conversion of the Bank's share capital from USD to Lek. Out of this balance, the amount of Lek 297,666 thousand was received as at 1 January 2008 from the merger with former BIA, as raised by the same denomination currency change of the share capital.

f. The merger reserve represents the contribution by owner equal to the net assets transferred considering that the Bank did not pay a consideration to acquire net assets of VBA (refer also to note 1).

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2022
(in thousands of Lek, unless otherwise stated)

30. Net Interest income

Interest income calculated using the effective interest method are as following:

Interest income	**2022**	**2021**
Loans and advances to customers	2,257,590	2,113,699
Investment securities at amortized cost	772,096	1,115,343
Loans and advances to banks	202,203	37,972
Investment securities at FVOCI	1,363,218	964,513
Total interest income	**4,595,107**	**4,231,527**
Interest expenses		
Demand and time deposits	677,095	680,855
Deposits from banks	114,440	154,902
Current accounts of customers	35,711	31,812
Lease liability (note 20)	9,996	8,756
Negative interest on interest bearing assets	69,767	64,169
Total interest expenses	**907,009**	**940,494**
Net interest income	**3,688,098**	**3,291,033**

31. Net fee and commission income

	2022			**2021**		
	Retail Banking	**Corporate Banking**	**Total**	**Retail Banking**	**Corporat e Banking**	**Total**
Fee income earned from services that are provided over time:						
Unused/advanced liquidated credit lines	8,653	21,997	30,650	17,123	22,905	40,028
Active current accounts	226,792	14,628	241,420	221,823	24,973	246,796
Arrangement fees and others	5,304	26,356	31,660	3,054	9,886	12,940
Guarantees given	723	41,339	42,062	921	25,794	26,715
Fee income from providing financial services at a point in time:						
ATMs and POSs	402,927	116,808	519,735	295,728	84,436	380,164
Collection and payment services	254,835	323,502	578,337	261,054	316,371	577,425
Fee and commission income	**899,234**	**544,630**	**1,443,864**	**799,703**	**484,365**	**1,284,068**
ATMs and POSs	328,475	119,165	447,640	274,542	89,220	**363,762**
Banking services	618	10,798	11,416	567	8,166	**8,733**
Collection and payment services	9,340	15,530	24,870	12,752	22,067	**34,819**
Guarantees received	-	5,072	5,072	-	3,763	**3,763**
Fee and commission expenses	**338,433**	**150,565**	**488,998**	**287,861**	**123,216**	**411,077**
Net fee and commission income	**560,801**	**394,065**	**954,866**	**511,842**	**361,149**	**872,991**

Fee and commissions do not include fees received for loans and advances to customers (transaction costs), which are adjusted on initial recognition for the carrying value of these financial assets as per effective interest rate method. Fee and commission income from contracts with customers are measured based on the consideration specified in a contract with a customer. The Bank recognizes revenue when it transfers control over a service to only a customer. The Bank provides banking services only to retail and corporate customers, including account management, provision of overdraft facilities, foreign currency transactions, credit card and servicing fees. Fees for ongoing account management are charged to the customer's account on a monthly basis.

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2022
(in thousands of Lek, unless otherwise stated)

32. Net other income

	2022	2021
Foreign exchange gains	631,829	587,565
Recoveries on written off loans	79,615	165,035
Rent income	15,719	15,146
Gain on sale of repossessed assets	12,202	10,289
(Loss)/ gain from sale of investment securities	(610)	5,049
Total	**738,755**	**783,084**

33. Net other operating expenses

	2022	2021
Premium on deposits insurance	450,635	432,195
Loss on sundry net operational	36,241	46,174
Total	**486,876**	**478,369**

34. Personnel expenses

	2022	2021
Salaries	1,191,091	1,073,596
Social Insurance	149,936	142,385
Total salaries and social insurance	**1,341,027**	**1,215,981**
Personnel on secondment	95,575	87,206
Training & similar	15,037	1,440
Termination indemnities and others	60,920	54,665
Total	**1,512,559**	**1,359,292**

Salaries and social insurance for the year ended 31 December 2022 and 2021 are further breakdowns as follows:

	2022	2021
Board of Directors	8,974	6,796
Executive Management	439,533	360,384
Other personnel	1,030,606	848,801
Total	**1,479,113**	**1,215,981**

For the year ended 31 December 2022 the Bank had an average number of 701 employees (2021: 659).

35. Other administrative expenses

	2022	2021
Software maintenance	516,120	389,114
Maintenance and repair	96,521	100,104
Security	66,613	78,135
Indirect Taxes	94,458	77,636
Telephone and electricity	68,986	63,502
Consulting, legal and professional fees	47,121	61,498
Stationery	48,132	43,725
Transport and security services	36,629	39,413
Advertising and publications	23,390	36,923
Integration Fees	35,624	29,695
Insurance	11,264	13,576
Short term and low-value leases	21,346	8,918
Travel and business trips	6,424	1,580
Other	23,720	16,286
Total	**1,096,348**	**960,105**

Consulting, legal and professional fees for the year ended 31 December 2022 include statutory and non-statutory audit fees amounting to Lek 23,889 Million (2021: Lek 22,141 Million).

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2022
(in thousands of Lek, unless otherwise stated)

36. Income tax expenses

The components of income tax expense for the year ended 31 December 2022 and 2021 are:

	2022	2021
Current tax for the year	216,073	122,591
Current tax expense	**216,073**	**122,591**
Origination and reversal of temporary differences	11,747	4,366
Deferred tax income	11,747	**4,366**
Income tax expense/(benefit)	**227,820**	**126,957**

Reconciliation of the income tax expense with the accounting profit for the year ended 31 December 2022 and 2021 is presented as follows:

	2022		2021	
Accounting Profit before tax		**1,517,583**		**646,636**
Income tax at domestic corporate tax rate	15.00%	227,637	15.0%	96,995
Non-deductible expenses	4.35%	66,082	15.7%	101,822
Income exempted from income tax	-5.12%	(77,646)	-11.8%	(76,227)
Origination and reversal of temporary differences	0.77%	11,747	0.7%	4,367
Income tax Expense	**15.01%**	**227,820**	**19.6%**	**126,957**

Non-deductible expenses are detailed as follows:

	2022	2021
Representations & Sponsorships expenses	30	294
Sundry operational losses	22,068	8,332
Operating leases expenses	4,337	3,587
Personnel expenses	31,986	26,848
Office expenses	13,408	6,356
Other provisions expenses	211,177	200,373
Litigation expenses	94	239
Losses on unrecoverable loans and overdrafts	93,487	393,922
Depreciation and amortization expenses	3,314	34,971
IFRS 16 impact	4,779	3,894
Write down of inventory	55,861	-
Total	**440,541**	**678,816**
At 15%	**66,082**	**101,822**

Income exempted from income tax are generally reversals of accruals and provisions that were treated as non-deductible in prior years and are detailed as follows

	2022	2021
Write down of inventory	-	(156,607)
Recovery of accruals litigation cases	(45,608)	(143,608)
Reversal of accruals related to prior years	(113,841)	(59,837)
Allowance reversals for expected credit losses	(252,150)	(148,129)
Eurobond Income	(106,038)	-
Total	**(517,637)**	**(508,181)**
At 15%	**(77,646)**	**(76,227)**

The Bank prepaid income tax in the amount of Lek 79,625 thousand were paid during 2022 (2021: Lek 161,667 thousand).

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2022
(in thousands of Lek, unless otherwise stated)

37. Commitments and contingencies

Commitments and contingencies as at 31 December 2022 and 31 December 2021 are as follows:

	31 December 2022	31 December 2021
Contingent Assets	**154,546,158**	**150,697,865**
Guarantees received from credit customers	130,979,236	127,478,196
Guarantees received from Government	5,560,701	5,758,534
Money market future dated deals	3,595,156	2,500,300
Forward foreign exchange contracts	911,433	633,717
Other	13,499,632	14,327,118
Contingent Liabilities	**15,456,996**	**10,787,528**
Guarantees in favor of customers	5,779,750	4,823,168
Un-drawn credit facilities	9,659,518	5,887,122
Letters of credit	17,728	77,238

Guarantees are mainly represented by bid and performance bonds. Guarantees and letters of credit are collateralized by cash and deposits. The Bank issues guarantees to its customers. These instruments bear a credit risk similar to that of loans granted.

Contingent assets, like letters of credit and un-drawn credit facilities, are off-balance sheet items representing future commitments where the Bank acts as the beneficiary. Forward foreign exchange contracts are off- balance sheet items used to offset currency fluctuations and the effect on the income statement is reflected on the maturity date when the contract is executed.

Litigation

The Bank is defending an action related to a partial payment of a bank guarantee amounting EUR 4,830 thousand. The guarantee was issued in favor of an Albanian entity upon the request of its Parent Company Intesa Sanpaolo S.P.A. The Bank has successfully defended itself in a legal process, in which both the First Instance Court and Court of Appeal judged in favor of the Bank.

The plaintiff has appealed to the Supreme Court which has not yet issued its decision. Management does not consider that there are any legal grounds for the existing judgments in its favor to be overturned.

Nevertheless, given the complexity of the case, involving also the Italian Jurisdiction, and taking into consideration no other cases of that kind have been ever judged in the Albanian courts, some operational risks may occur. In the ordinary course of business, the Bank may be involved in other various claims and legal actions which in the opinion of management, the ultimate settlement of these matters will not have a material adverse effect on the Bank's financial position or changes in net assets, other than those for which a provision has already been included in these financial statements.

38. Related parties

The Bank's immediate parent is Intesa Sanpaolo S.p.A, which ultimately holds a 100% interest. The Bank, therefore, considers that it has a related-party relationship, in accordance with International Accounting Standard 24 Related Party Disclosures ("IAS 24") with the following:

Shareholders and parties related to shareholders:

- Intesa Sanpaolo S.p.A and its subsidiaries and associates

Key management personnel and parties related to key management personnel:

- Supervisory Board members, Management Board members and other key management personnel defined as persons having authority and responsibility for planning, directing and controlling the activities of the Bank, directly or indirectly, including any director (whether executive or otherwise) of the Bank, collectively "key management personnel", close family members of key management personnel, and companies and un-incorporated businesses controlled, or jointly controlled by key management personnel and/or their close family members.

Intesa Sanpaolo Bank Albania sh.a.
Notes to the financial statements for the year ended 31 December 2022
(in thousands of Lek, unless otherwise stated)

38. Related parties (continued)

The following transactions have taken place during the year ended 31 December 2022 and 31 December 2021:

	ISP Group companies		Key management personnel and Other related parties	
	31 Dec 202	**31 Dec 2021**	**31 Dec 2022**	**31 Dec 2021**
Assets at end of year	**9,786,449**	**13,771,556**	**209,545**	**117,836**
Loans and advances to credit institutions	9,777,650	13,757,203	-	-
Impairment losses	(238)	(1,435)	-	-
Loans and advances to customers	-	-	209,545	117,836
Impairment losses	-	-	(775)	(926)
Other assets	8,799	14,353	-	-
Liabilities at end of year	**23,722**	**76,739**	**388,274**	**463,156**
Loans and advances from credit institutions	-	-		-
Customer deposits	-	-	388,274	463,156
Invoices to be received	23,722	76,739		
Off balance sheet	**6,034,664**	**4,322,616**	-	-
Letter of credit/Letter of Guarantees given	49,091	62,464	-	-
Letter of credit/Letter of Guarantees received	2,000,346	1,919,653	-	-
Foreign currency contracts and money market deals	3,985,227	2,340,499	-	-
Commitments given	-	-	-	-
Collaterals	-	-	-	-
Income for year ending	**140,338**	**69,199**	**3,051**	**2,844**
Interest income	93,090	7,118	2,283	2,333
Commission Income	47,247	62,081	768	511
Expenses for the year ending	**424,138**	**329,505**	**1,301**	**209**
Interest expense	12,263	54,056	1,301	209
Commission expense and others	17,674	24,914	-	-
Other Administrative Costs	394,201	250,535	-	-
Compensation of Key Managers	**-**	-	**151,021**	**176,869**
Net Salary	-	-	105,799	74,791
Net Bonus paid	-	-	14,278	22,392
Social & Health Insurance	-	-	5,728	4,345
Other expenses (Lecoip)	-	-	5,461	13,387
Other expenses	-	-	19,755	14,539

39. Subsequent events

There are no events after the reporting date that require disclosure in these financial statements.

Organizational Structure of the Bank

Organisational Structure

The Organizational Code Document of Intesa Sanpaolo Bank Albania **describes its organizational structure** by means of:

- **The mission of each Division and Department**
- **The duties and key responsibilities of all other Intesa Sanpaolo Bank Albania organizational structures**

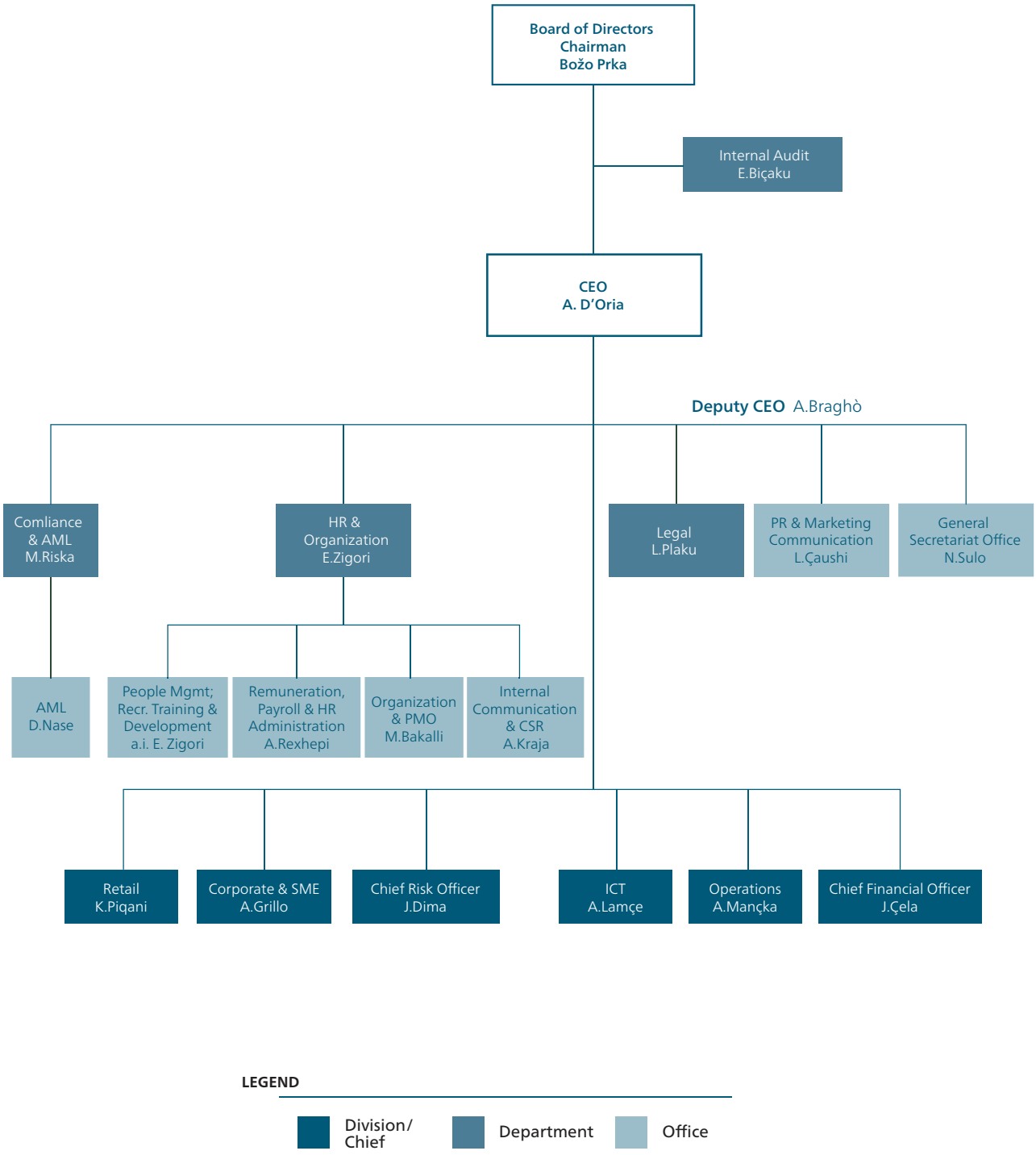
This document also **includes provisions for the functional relations in place among Intesa Sanpaolo Bank Albania and the Intesa Sanpaolo Group** (Parent Company).

The order adopted to list the organizational structures within this document is the same applied to the Bank's organizational charts:

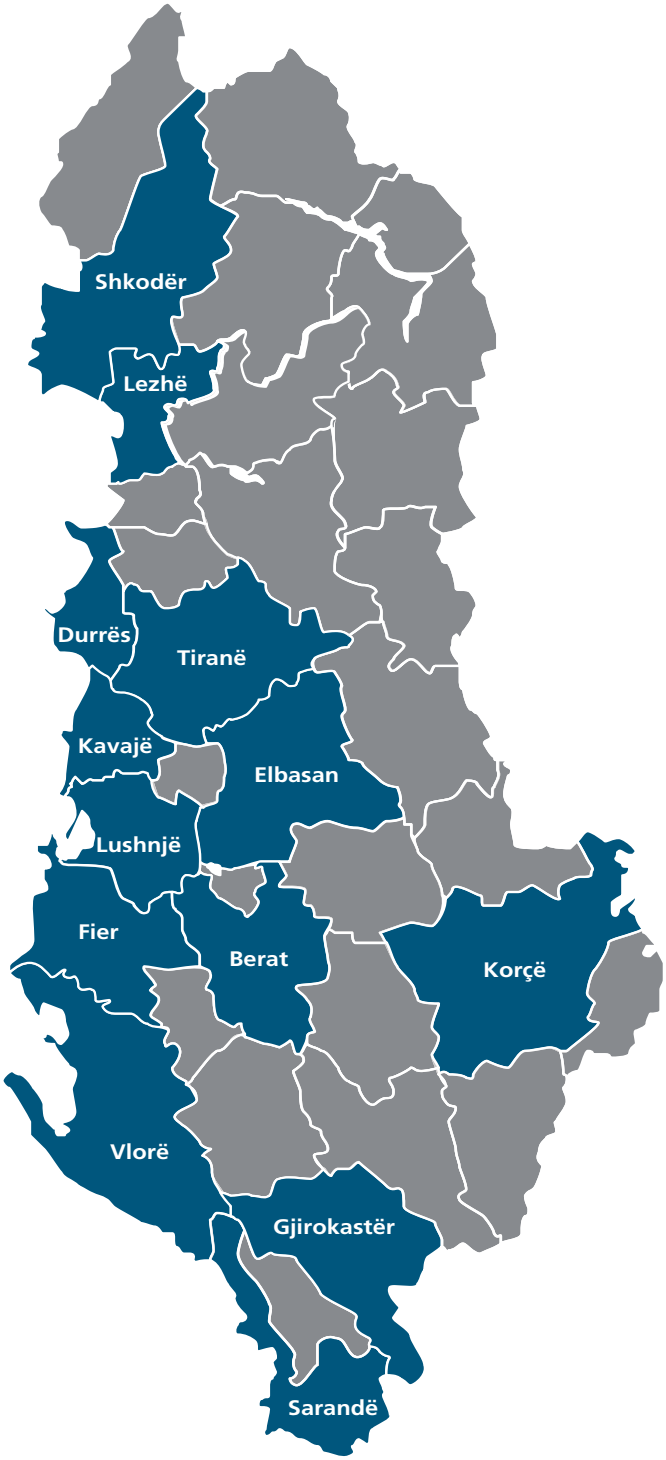
Structures that report to the Board of Directors

- Department and its related organizational structures (Offices) Structures that report to CEO
- Department and its related organizational structures (Offices)
- Office
- Division which may include
  - Departments and its related organizational structures (Offices)
  - Offices

Organisational Structure as of 31st December 2022



Bank Business
Network

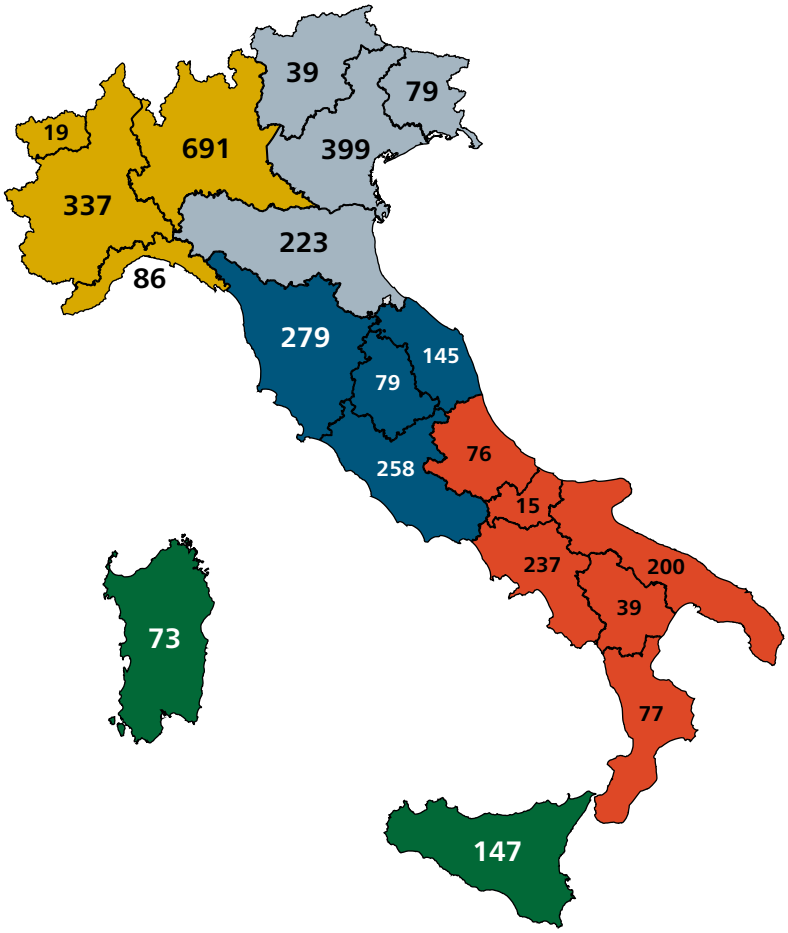

Shkodër
Lezhë
Durrës
Tiranë
Kavajë
Elbasan
Lushnjë
Fier
Berat
Korçë
Vlorë
Gjirokastër
Sarandë

Intesa Sanpaolo Bank Albania Business Network

Nr.	Branch	Branch code	Address
1.	Ismail Qemali Branch	000	Str. "I.Qemali", Nr. 27 P.O. Box 8319 1001 Tirana, Albania
2.	Durrës Main Branch	001	Nbhd. No 1, Str. "Taulantia ", Suqare "M.Ulqinaku" near the port , 2001 Durrës
3.	Vlorë Branch	002	Nbhd. "24 Maji" Str. Transballkanike Vlora, Albania
4.	Elbasan Branch	003	Blvd. "Qemal Stafa" Box 3001 Elbasan, Albania
5.	Fier Branch	004	Nbhd. "15 Tetori" Box 9301 Fier, Albania
6.	Gjirokastër Branch	005	Nbhd. "18 Shtatori" Box 6001 Gjirokastër, Albania
7.	Korçë Branch	006	Blvd. "Republika" Korçë, Albania
8.	Lushnjë Branch	007	Nbhd. "Kongresi" near Art Business Center, Box 9001 Lushnjë, Albania
9.	Lezhë Branch	008	Nbhd. "Besëlidhja", Box 4501 Lezhë, Albania
10.	Str. Barrikadave Branch	010	Str. "Barrikadave" 1016 Tirana, Albania
11.	Train Station Durrës Branch	011	Str. "9 Maji" (near the train station) 2002 Durrës, Albania
12.	Str. Sadik Zotaj Vlora Branch	012	Str. "Sadik Zotaj" Box 9401 Vlora, Albania
13.	Shkodër Branch	018	Str. "13 Dhjetori" Box 4001 Shkodër, Albania
14.	Laprakë Branch	020	Str. "Dritan Hoxha" Nd 203, H. 1, 1023 Tirana, Albania
15.	Branch at the Beach Durrës	021	Nbhd. 13, (near beach railway) 2007 Durrës, Albania
16.	A.Goga Durrës Branch	022	Str. "Aleksander Goga" Durrës, Albania
17.	Rinas Durrës	023	International Airport "Nënë Tereza" (Mother Tereza), 1032 Rinas, Albania
18.	U.S.A Embassy Branch	024	(Only for the Embassy) 1010 Tirana, Albania
19.	Italian Embassy Branch		(Only for the Embassy) Str. "Lek Dukagjini" 1010 Tirana, Albania
20.	Rr. e Kavajës Branch	025	(Volkswagen building, at the entrance to Ambasada street) 1001 Tirana, Albania
21.	Rr. e Durrësit Branch	026	"Rilindja" square (intersection "Zogu i Zi") 1001 Tirana, Albania
22.	Blvd. "Zogu I" Branch	027	Shopping Center Tirana, near the train station,1001 Tirana, Albania
23.	Str. Elbasan Branch	028	Str. Elbasanit Kryqëzimi me Rr. Jul Variboba, 1010 Tirana, Albania
24.	Unaza e re Branch	029	Unaza e Re Teodor Keko 1, 1052 Yzberisht Tirana, Albania
25.	BRUNES Branch	030	(BRUNES) Autostrada Tiranë - Durrës, km7 1029 Tirana, Albania
26.	Rr. e Kavajës Branch 2	031	Str. Kavajes 1012 Tirana, Albania
27.	Komuna e Parisit Branch	032	Str. Medar Shtylla, Nd. 27 H. 4 (Tiranë e Re) 1019 Tirana, Albania
28.	Kombinat Branch	033	"Rruga e kavajes" (in front of the municipal unit nr 6) - Kombinat Tirana, Albania
29.	Str. Bardhyl Branch	034	Str. Bardhyl, Pallati Progin, in front of UKT
30.	TEG Branch	036	Str. Elbasanit, Sauk TEG Shopping Center Tirana, Albania
31.	Kavaja Branch	037	Blvd. "Indrit Cara", Kavajë, Albania
32.	Berat Branch	038	Nbhd. "22 Tetori", Blvd. "Republika" Berat, Albania
33.	S. Delvina Branch	041	Str. Sulejman Delvina, pranë Stadiumit "S. Stermasi"
34.	A. Demi Branch	042	Str. Ali Demi, Kompleksi Vind, Tirana
35.	Saranda Branch	043	Str Skenderbeu, Nbhd. Nr 1, Saranda

Intesa Sanpaolo Group
Italian Network

The Group Italian Network



NORTH WEST

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
1,023	Fideuram	110

CENTRE

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
713	Fideuram	48

ISLANDS

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
210	Fideuram	10

NORTH EAST

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
679	Fideuram	61

SOUTH

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
610	Fideuram	34

Figures as at 31 December 2022

The Group International Network

EUROPE

Direct Branches	Representative Offices
Amsterdam	Brussels
Frankfurt	Moscow
Istanbul	
London	
Madrid	
Paris	
Warsaw	

Country	Subsidiaries	Branches
Albania	Intesa Sanpaolo Bank Albania	35
Belgium	Intesa Sanpaolo Wealth Management	2
Bosnia and Herzegovina	Intesa Sanpaolo Banka Bosna i Hercegovina	45
Croatia	Privredna Banka Zagreb	146
Czech Republic	VUB Banka	1
Hungary	CIB Bank	60
Ireland	Intesa Sanpaolo Bank Ireland	1
Luxembourg	Intesa Sanpaolo Wealth Management	2
	Intesa Sanpaolo Bank Luxembourg	1
Moldova	Eximbank	17
Romania	Intesa Sanpaolo Bank Romania	34
Russian Federation	Banca Intesa	27
Serbia	Banca Intesa Beograd	146
Slovakia	VUB Banka	158
Slovenia	Intesa Sanpaolo Bank	41
Switzerland	Reyl Intesa Sanpaolo	3
Ukraine	Pravex bank	43

AFRICA

Representative Offices	Country	Subsidiaries	Branches
Cairo	Egypt	Bank of Alexandria	173

AMERICA

Direct Branches	Representative Offices
New York	Washington D.C.

Country	Subsidiaries	Branches
Brazil	Intesa Sanpaolo Brasil	1

AUSTRALIA/OCEANIA

Direct Branches
Sydney

ASIA

Direct Branches	Representative Offices
Abu Dhabi	Beijing
Doha	Beirut
Dubai	Ho Chi Minh City
Hong Kong	Jakarta
Shanghai	Mumbai
Singapore	Seoul
Tokyo	

Figures as at 31 December 2022

INTESA SANPAOLO BANK
Albania